



PREMIA
VER 11

Reinsurance
User Manual

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Document Icon Library

Icons are used as easy indicators to draw your attention to certain important points.

Use this Document Library to identify the icons and their descriptions in the user manual.

Field	Description
 Mandatory	Required field details that must be entered before submitting the form
 TAB <u>Tab</u> s	Represents the Tab detail
 Button	Represents a Button
 Note	A note or additional information useful to the user.
 Important	Information that is crucial to setting up proper functionality of PREMIA are separately written under important heading

Reinsurance

MASTERS

All the generic codes that are used in the application are created in the Reinsurance Masters menu.

All the codes generated in Masters are stored in a database and displayed through the List of Values (LOV) during runtime.

The usages of codes are multi-fold:

- ☐ Codes help in relating ID information of a transaction
- ☐ Codes save time, and wherever necessary use them, as it is possible to get them as LOVs
- ☐ It is possible to reuse one set of data across several transactions

The list of menu items available under RI Masters Menu is:

- ☐ Peril Group Master
- ☐ Peril Type Master
- ☐ Risk Class Master
- ☐ Treaty Business Type Mapping
- ☐ Treaty Type Code
- ☐ Policy Classification
- ☐ Cut off Reason
- ☐ Commission Code
- ☐ Period Code
- ☐ XOL Treaty Layer
- ☐ IWPT Treaty Type Codes
- ☐ FAC Outward Commission
- ☐ Fac Outward Tax
- ☐ Fac Outward Override

The usability of the menu items and their field level validations is explained in the respective sections.

PERIL GROUP MASTER

Peril Group Master is collection of peril classes. The peril group set up screen is used to configure various peril groups; and these groups are displayed in the LOV when a peril group is specified across the application.

The screen displayed is shown below:

Fig. 1 – Peril Group Master

Peril Group Code

Enter a unique peril group code in this field. It is possible to view all the existing codes available in the LOV.

Description

Enter a name or description for the entered code.

Short Description

The data entered in the description field is defaulted in this field. User may alter it if necessary. This description is used across the application.

Long Description

Enter a long description for the code entered. This description is used in schedules and reports.

☒ Code By Class

Select the checkbox to restrict by class of business for which this code is valid. This restriction is applicable during product setup. Disable the checkbox to permit the usage of code across all classes of business.

Class

Select from the LOV, the class of business. The system displays the description in the adjacent field.

Value

Use this field to set any particular behavior or functionality for the set master code. This value can be used in transactions and/or validations to achieve the desired behavior or functionality.

Applicable Modules

This field specifies that the defined Peril Group is applicable to General Insurance. The system displays the description in the adjacent field.

Effective From and To Date

Enter or select the validity period from the Application Calendar.

On completing the field entries, click 'save' icon to save the details.



Branches

The applicable division block has been provided to restrict or give access to the various offices to use these codes. In some instances, only a few divisions use certain codes.

Example: Account related codes like Ledger; Balance sheet etc.



To make this product applicable across all the divisions, enter "0" in the 'office from' field and 'zzzzzz' in the 'office to' field.

This button allows the user to map these codes to selected divisions. The sample screen is displayed as shown below:

Office From*	Description	Office To*	Description	Include?
100	Head Office	100	Head Office	☒
				☐
				☐
				☐
				☐

Fig. 2 – Division

Office From and Office To

Enter or select 'Office From' and 'Office To' from the LOV. The LOV displays codes set in the Office/Division Master. Once the codes are selected, the description is automatically displayed in the respective fields.

Include

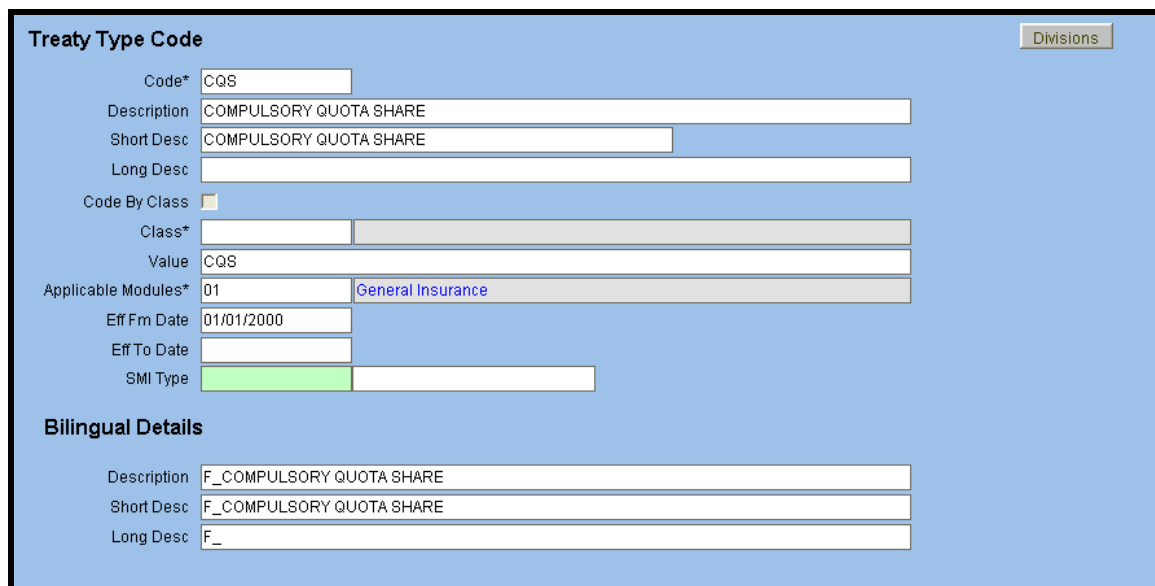
Select this checkbox to include the range of offices. It is always possible to select/unselect based on requirements.

On completing the field entries, click 'Save' icon to save the details.

TREATY TYPE CODE

Treaty Type Code screen enables the user to define treaty type codes and map these codes to their corresponding values like CQS (Compulsory Quota Share) ,Retention , Surplus and so on

Click 'Treaty Type Code' menu item. The screen displayed is shown below:



The screenshot shows the 'Treaty Type Code' master screen. It includes a 'Divisions' button in the top right. The main form has the following fields:

- Code***: CQS
- Description**: COMPULSORY QUOTA SHARE
- Short Desc**: COMPULSORY QUOTA SHARE
- Long Desc**: (empty)
- Code By Class**: ☐
- Class***: (empty)
- Value**: CQS
- Applicable Modules***: 01 (with a link to 'General Insurance')
- Eff From Date**: 01/01/2000
- Eff To Date**: (empty)
- SMI Type**: (empty)

Below the main form is a section titled 'Bilingual Details' with the following fields:

- Description**: F_COMPULSORY QUOTA SHARE
- Short Desc**: F_COMPULSORY QUOTA SHARE
- Long Desc**: F_

Fig. 3 – Treaty Type Code Master



Treaty Type Code

Enter a unique treaty type code in this field. It is possible to view existing codes from the LOV.

Description

Enter a name or description for the entered code.

Short Description

The data entered in the description field is defaulted in this field. It is possible to alter it if necessary. This description is used all through the application.

Long Description

Enter a long description for the code entered. This description is used in schedules and reports.

☒ Code By Class

Select the checkbox to restrict by class of business for which this code is valid. This restriction is applicable during product setup. Disable the checkbox to permit the usage of code across all classes of business.



Class

Select the class of business from the LOV. The system displays the description in the adjacent field.

Value

Use this field to set any particular behavior or functionality for the set master code. This value can be used in transactions and/or validations to achieve the desired behavior or functionality.

Applicable Modules

This field specifies that the defined Treaty Type is applicable to General Insurance.

Effective From and To Date

Enter or select the From and To dates from the Application Calendar. It is possible to access by using the LOV key. These dates specify the validity period.

On completing the field entries, click 'save' icon to save the details.



Division

Refer Division section for detailed explanation on division button.

TREATY BUSINESS TYPE MAPPING

Treaty business type mapping set up enables user to map the underwriting business types like Direct with coinsurance outward, coinsurance inward etc to treaty business type (reinsurance business codes) which are parameterized values like 01,02. It is based on this mapping, user is able to define treaty set up for reinsurance business type and this is used during reinsurance allocation.

The screen displayed is shown below:

Fig. 4 – Treaty Business Type Mapping

Business Type Code

Enter or select the policy business type (underwriting) code from the LOV, the values displayed in the LOV are parameterized.

Treaty Business Type Description

Enter a description for the code entered in the business type code field. This description is used in schedules and reports.

Short Description

Enter a short description for the code entered. This description is used in schedules and reports.

Long Description

Enter a long description for the code entered in the business type code field. This description is used in schedules and reports.

☒ Code By Class

Select the code by class checkbox to restrict by class of business for which this code is valid. This restriction is applicable during product setup. Allow it to be disabled so that it is possible to use across all classes of business.

Value

Use this field to set any particular behavior or functionality for the set master code. This value can be used in transactions and/or validations to achieve the desired behavior or functionality.



Applicable Modules

This field specifies that the defined treaty business type is applicable to General Insurance. The system displays the description of the code in the adjacent field. T

Effective From and To Date

Specify the period from the application calendar. It is possible to access using the LOV key. These dates specify the validity period.

On completing the field entries, click 'Save' to save the details entered.



Branches

Refer [Branches](#) section for detailed explanation on Branches button.



The menu items mentioned below under Masters Menu are similar to that of Peril Group Master in their working process. Only the field name changes from screen to screen.

Similar Menu Items

PERIL TYPE MASTER

Peril Type describes the type of cover i.e., General Peril, War Peril, Terrorism Peril and so on. It is possible to set it through the 'Peril Type' screen. The codes configured here are used for reports.

RISK CLASS MASTER

In Risk Class Master, the risks class codes are set, based on Risk attribute. Limit to be ceded differs, so to classify this, the limits are defined on Risk Class limits independent of Cover group limit (i.e. Peril Class limit). Risk Class codes are updated in UW transaction through external validation. Based on business requirement, the Risk Class limits are to be defined in Outward Proportional Treaty Set up under the required Peril Group limit.



The field entries for the following sub menus within the 'RI Master' are similar to that of the '[Peril Group Master](#)'. Only the first field name changes from screen to screen.

- ☐ Policy Classification
- ☐ Commission Code
- ☐ Period Code
- ☐ XOL Treaty Layer
- ☐ Fac Outward Commission
- ☐ Fac Outward Tax
- ☐ Fac Outward Override

For field level explanation and details refer the respective section in the manual

PERIOD CODE

Period Code is similar to the Peril Group Master. So refer peril group master for process explanation on period code.

XOL TREATY LAYER CODE

This is similar to treaty type layer of proportional treaty setup. The various layers of non-proportional treaty are set here. For example: XOL1, XOL2, etc.

XOL Treaty Layer Code is similar to the peril code. So refer peril code for process explanation on XOL Treaty Layer code.

SETUP

Setup is the act of putting the program or application in a computer system so that the transactions, queries and reports can be executed in a defined manner.

PERIL CLASS SETUP

Peril Class is a logical grouping of product, section and cover. Grouping in such a fashion facilitates to define a common limit set-up and single allocation. The allocation is applicable to every product, section, cover or the group combination.

Based on the current year treaty program, except for built-in and summary cover, all other covers are mapped to a peril class. It is mandatory to define the peril class before getting into mapping section.

The screen displayed is shown below:



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Peril Class Master

Peril Class Code:

Description:

Short Description:

Peril Class Type:

Map Cvr

View Map...

Proportional Treaty ☒

Fac Y/N ☒

XOL Treaty ☒

Fac XOL Y/N ☒

Active Y/N ☒

Bi-lingual Details

Description:

Short Description:

Fig. 5 – Peril Class Setup



Peril Class Code

Enter a new, unique peril class code in this field. User is able to view an existing code from the LOV.



Description

Enter a name or description for the peril class code entered.

Short Description

The data entered in the description field is defaulted in this field. User is able to alter it if necessary. This description is used all through the application.

Peril Class Type

Enter or select the peril class type from the LOV. The description corresponding to it is defaulted in the adjacent field. The values displayed in the LOV are codified.

☒ Proportional Treaty

Select the checkbox if proportional treaty set up is applicable for the peril class.

☒ XL Treaty

Select the checkbox if excess of loss treaty set up is applicable for the peril class.

☒ Active Y/N

This check box is automatically selected indicating that the peril class is active. To inactive the same uncheck this option.



When peril class is defined in Outward Proportional Treaty Set up, only active peril class as on that date is considered.

☒ Fac Y/N

Select the checkbox to enable facultative option in the proportional treaty for the peril class.



In policy allocation screen the special retention amount is shown against facultative, only if this flag is set to 'Y', else it has to be displayed as others special retention.

☒ Fac XL.Y/N

Select the checkbox to enable facultative option in the excess of loss treaty for the peril class.



View Map

Click this button to view the peril class mapping.

Peril Class Mapping Details

Whenever a cover is mapped to a product and section, in the product set-up, the system checks; whether, the same mapping is available in RI module. If it does not exist, then the system creates the mapping in the RI module. This menu enables the user to map the Product/Section/Cover mapped already with applicable peril class or to change the existing peril class. The screen displayed is shown below:

Peril Class Master

Peril Class Code: PC-1000
Description: Peril Class for Own Damage Motor
Short Description: Peril Class for Own Damage Motor
Peril Class Type:

Map Cvr
View Map...

Proportional Treaty ☒ XL Treaty ☒ Active Y/N ☒
Fac Y/N ☒ Fac XL Y/N ☒

Bi-lingual Details

Peril Class Mapping

Peril Class Mapping Details

Select All ☐
Back

Product Code	Section Code	Cover Code	Add SI Y/N	Add RI SI Y/N	Peril Y/N	Effective From	Effective To	Peril Class Code	Peril Class Type
1001	100101	3101	☒	☒	☒	01/01/2000		PC-1000	
1001	100101	3102	☐	☐	☒	01/01/2000		PC-1000	
1001	100101	3103	☐	☐	☒	01/01/2000		PC-1000	
1001	100101	3104	☐	☐	☒	01/01/2000		PC-1000	
1001	100101	3105	☐	☐	☒	01/01/2000		PC-1000	

Product Description: Motor Commercial
Section Description: Motor Commercial
Cover Description: Own Damage
Peril Class Code Description: Peril Class for Own Damage Motor
Peril Class Type Description:

Fig. 6 – Peril Class Mapping Details



For mapping unmapped peril class code, it is mandatory to query the peril class code to be mapped in the header. For changing the existing peril class code it is not required.

Logical Mapping of the selected unmapped covers to the peril class is done in peril class mapping details section.



Mapping Cover

Click 'Map Cover' button. The screen displayed is shown below:

Product Code*	Section Code*	Cover Code*	Add SI Y/N	Add RI SI Y/N	Peril Y/N	Effective From	Effective To	Peril Class Code*	Peril Class Type
1001	1001	3106	☐	☒	☒	01/01/2000		PC-1001	
1001	1001	3107	☐	☒	☒	01/01/2000		PC-1001	
1002	1002	3106	☐	☒	☒	01/01/2000		PC-1001	
1002	1002	3107	☐	☒	☒	01/01/2000		PC-1001	
1003	1003	3106	☐	☐	☒	01/01/2000		PC-1001	

Product Description: Motor Gold
Section Description: Motor Gold
Cover Description: Third Party Injury
Peril Class Code Description: Peril Group for Third Party Motor
Peril Class Type Description:

Fig. 7 – Peril Class Mapping Details



Product/Section/Cover Code

All the covers along with its corresponding section and product codes are displayed in their respective fields.

Product/Section/Cover Description

The description corresponding to the selected product code, section code and cover code is displayed in their respective description fields under the multi record block.

☒ Add SI (Sum Insured) Y/N

For the fetched Product/Section/Cover the system fetches this value from product set-up – 'Products Applicable Cover Code'.

☒ Add Reinsurance Sum Insured Y/N

Select this option, if the Sum Insured in covers has to be considered for RI allocation. If the flag is not selected, then the SI of that cover code is not considered for allocation.



Based on the application requirement, user is able to check and uncheck this flag.

☒ Peril Y/N

Select the check box to map the selected unmapped cover to the displayed peril class code (in the header).



User is able to un-map a cover from a peril class by un-checking this flag before saving. Once the peril class code is mapped the un-mapping is not possible instead update the effective to date.

☒ Select All

Select the checkbox if all the listed unmapped covers are to be mapped to the displayed peril class code.

Effective From/To Date

Enter or select the effective 'From' and 'To' dates for the covers being mapped.

	☐ Duplication/overlapping of effective date range are not allowed for the combination of product/section/cover/peril class code. ☐ In between the effective period peril class code or add RI SI flag needs to be changed depending on the amendment in treaty program, this is done by using 'Change Peril Class' option.
---	--

Peril Class Code

If the peril class has been changed then the changed peril class code is displayed in this field.

The description of the peril class code (within the multi record block) is displayed in the 'Peril Class Code Description' below the multi record block.

	For further reference please refer to 'Change Peril Class' section in the manual.
---	---

Peril Class Type

Peril class type is defaulted depending on the peril class code. This is used for reporting purpose.

The description of the peril class code (within the multi record block) is displayed in the Peril Class Type Description below the multi record block.

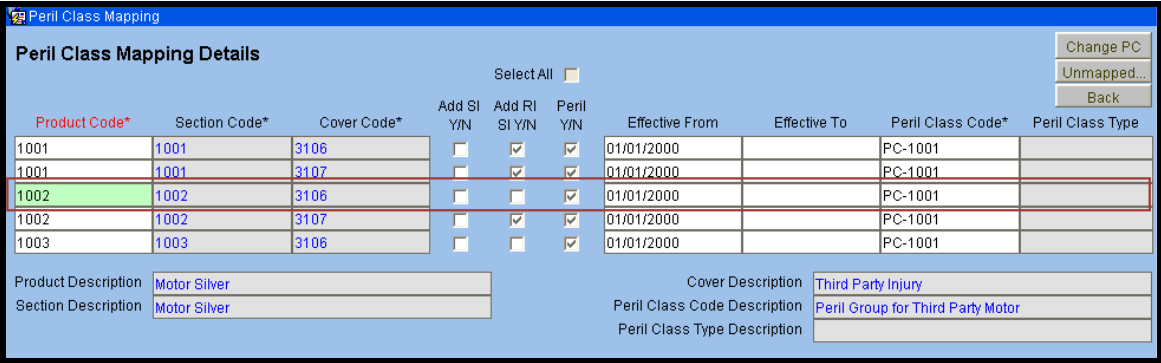


Change Peril Class

To change the peril class code of a cover, perform the following steps:

- ☐ In Peril Class Mapping section query for the Product/Section/Cover for which the peril class or add RI SI is to be changed
- ☐ The peril classes displayed as a result of this query display their mapped peril class codes if any

The screen displayed is shown below:



Product Code*	Section Code*	Cover Code*	Add SI Y/N	Add RI SI Y/N	Peril Y/N	Effective From	Effective To	Peril Class Code*	Peril Class Type
1001	1001	3106	☐	☒	☒	01/01/2000		PC-1001	
1001	1001	3107	☐	☒	☒	01/01/2000		PC-1001	
1002	1002	3106	☐	☐	☒	01/01/2000		PC-1001	
1002	1002	3107	☐	☒	☒	01/01/2000		PC-1001	
1003	1003	3106	☐	☐	☒	01/01/2000		PC-1001	

Product Description: Motor Silver
Section Description: Motor Silver
Cover Description: Third Party Injury
Peril Class Code Description: Peril Group for Third Party Motor
Peril Class Type Description:

Fig. 8 – Peril Class Mapping Details

Select the peril class code (marked in red) and click 'Change PC' (change peril class) button.

A pop-up window displayed is shown below:

Peril Class Change	
Product Code*	1002 Motor Silver
Section Code*	1002 Motor Silver
Cover Code	3106 Third Party Injury
Existing Peril Class Code	PC-1001 Peril Group for Third Party Motor
New Peril Class Code*	PC-1505 Peril Class for 1505

New Add RI SI Y/N ☐

Effective From: 07/03/2013 Effective To: 07/03/2015

Ok Cancel

Fig. 9 – Peril Class Change Window

The current product code, section code, cover code and, the existing peril class code of the cover are defaulted, along with corresponding descriptions in the respective fields.



New Peril Class Code

Enter or select the new peril class code from the LOV to which user needs to map the selected cover. The values displayed in LOV are set in codes master – Reciprocity number set up.



This new code is reflected in peril class code field under the 'Peril Class Mapping Details' section.

☒ New Add RI SI Y/N

Select this check box, if the Sum Insured in covers has to be considered for the RI allocation.



Whenever the change peril class option is selected, the current value of the 'Add RI SI flag' is automatically defaulted. If it is already mapped, and now user may wish to uncheck the Add RI SI flag alone without change in peril class code; then uncheck this flag, and enter the existing peril class code in the New Peril Class code field.

Effective From/To Date

Select the effective from and to dates for this changed peril class.

These dates are reflected in effective from and to dates field under the Peril class mapping details section.

Click 'OK' a window pop-up for the confirmation of the approval process is displayed as shown below:

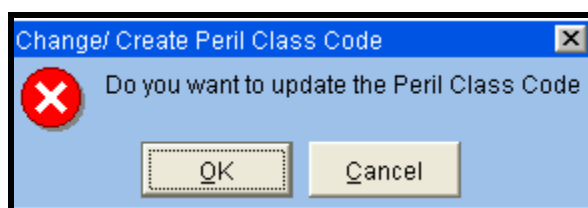


Fig. 10 – Peril Class Change Confirm Window

Click 'Cancel' to cancel the process. The screen displayed is shown below after changing the peril class code.

Product Code*	Section Code*	Cover Code*	Add SI Y/N	Add RI SI Y/N	Peril Y/N	Effective From	Effective To	Peril Class Code*	Peril Class Type
1001	1001	3106				01/01/2000		PC-1001	
1001	1001	3107				01/01/2000		PC-1001	
1002	1002	3106				01/01/2000	06/03/2013	PC-1001	
1002	1002	3106				07/03/2013	07/03/2015	PC-1505	
1002	1002	3107				01/01/2000		PC-1001	

Product Description: Motor Silver
Section Description: Motor Silver
Cover Description: Third Party Injury
Peril Class Code Description: Peril Class for 1505
Peril Class Type Description:

Fig. 11 – Peril Class – Changed

To map the unmapped covers, perform the following:

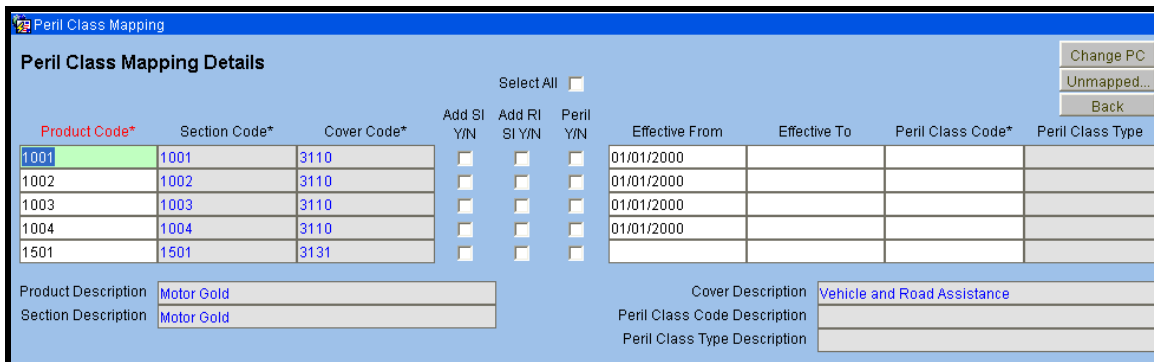
- ☐ Query the Peril Class Code. The peril class details are displayed in the header block of the screen
- ☐ For the fetched Peril Class Code in the header, user is able to map to the Cover Code by giving a query criteria

For example, follow the process given below to map the above fetched peril class code to the entire product/section/cover code for which the peril class code is not yet mapped:

- ☐ In the Peril Class Mapping details section, press F7 (Enter-Query mode)
- ☐ In the product code field enter '100%'

Unmapped

Click this button to view the unmapped covers as shown in the screen below:



Peril Class Mapping

Peril Class Mapping Details

Select All ☐

Change PC
Unmapped...
Back

Product Code*	Section Code*	Cover Code*	Add SI Y/N	Add RI SI Y/N	Peril Y/N	Effective From	Effective To	Peril Class Code*	Peril Class Type
1001	1001	3110	☐	☐	☐	01/01/2000			
1002	1002	3110	☐	☐	☐	01/01/2000			
1003	1003	3110	☐	☐	☐	01/01/2000			
1004	1004	3110	☐	☐	☐	01/01/2000			
1501	1501	3131	☐	☐	☐				

Product Description: Motor Gold
Section Description: Motor Gold

Cover Description: Vehicle and Road Assistance
Peril Class Code Description:
Peril Class Type Description:

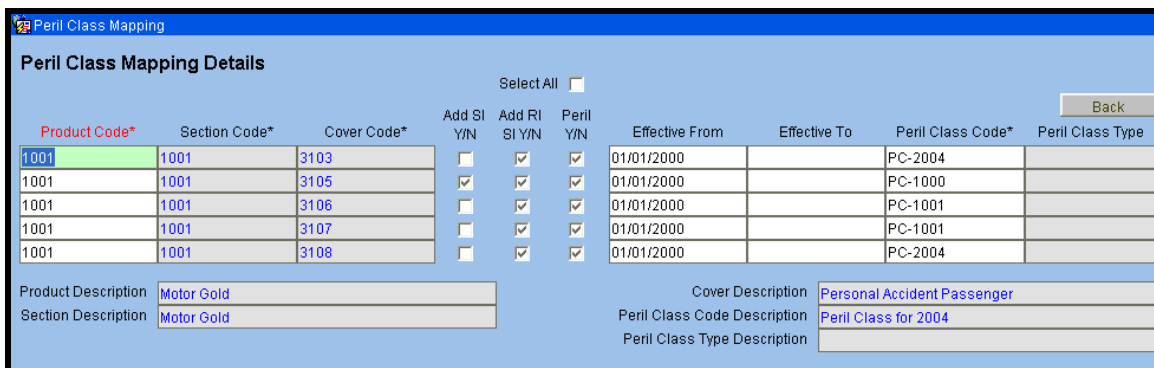
Fig. 12 – Unmapped Cover



To view all the available unmapped covers, without entering the product code, click the 'Unmapped Cover' button directly in this screen.

View Map

Click 'View Map' button. The screen displayed is shown below:



Peril Class Mapping

Peril Class Mapping Details

Select All ☐

Back

Product Code*	Section Code*	Cover Code*	Add SI Y/N	Add RI SI Y/N	Peril Y/N	Effective From	Effective To	Peril Class Code*	Peril Class Type
1001	1001	3103	☒	☒	☒	01/01/2000		PC-2004	
1001	1001	3105	☒	☒	☒	01/01/2000		PC-1000	
1001	1001	3106	☒	☒	☒	01/01/2000		PC-1001	
1001	1001	3107	☒	☒	☒	01/01/2000		PC-1001	
1001	1001	3108	☒	☒	☒	01/01/2000		PC-2004	

Product Description: Motor Gold
Section Description: Motor Gold

Cover Description: Personal Accident Passenger
Peril Class Code Description: Peril Class for 2004
Peril Class Type Description:

Fig. 13 – View Map



For further field-level explanations of the screen please refer the 'Peril Class Mapping Details' section.

OUTWARD PROPORTIONAL TREATY SET UP

Click 'Outward Proportional Treaty Setup' menu from the main menu to configure the outward proportional treaty. The screen displayed is shown below:

Fig. 14 – Outward Proportional Treaty Setup

Treaty Code

Enter a new, unique treaty code in this field. If document set up exists then this code is auto generated.

Treaty Description

Enter a name or description for the code entered in Treaty Code field.

Treaty Short Description

The data entered in the description field is defaulted in this field. User is able to alter it if necessary. This description is used all through the application.

Start Date

Enter or select the start date of this treaty from the application calendar that is also accessed using LOV.

End date

End Date is defaulted with one year from treaty start date and allows user to modify.



- ☐ User is not allowed to modify the Start and End Date of the treaty after saving
- ☐ Treaty End date has to be greater than treaty Start date

Treaty Year

The Treaty Year is automatically displayed based on table set up (PCOM_APP_PARAMETER). If Start date is set as treaty year, then that start date year is displayed in this field and vice versa. User is allowed to modify the treaty year.

Currency

Enter or select the treaty base currency from the LOV. The description is automatically displayed in the adjacent field. The values displayed in LOV are set in currency master set up. An allocation is made only in treaty currency.



All the values defined in the Treaty Set up have to be interpreted in treaty currency only.

Rate Basis

Select the rate basis from the drop-down list; the options available are as follows:

- ☐ From Exchange Rate – Rate from the FMI Exchange Rate
- ☐ User Enterable – Rate entered by the user

Rate Type

Select the rate type from the drop-down list; the options available are as follows:

- ☐ Average
- ☐ Buying
- ☐ Fixed
- ☐ Selling
- ☐ Quarterly Average
- ☐ Quarter Closing

Rate 1 / Rate 2 /Rate 3

These are the Local Currency Rates, if the rate basis is from the exchange. Depending on the rate type these values are automatically displayed. Select the rate type and enter rate 1, 2 and 3 in the respective fields.



The highest of three rates is used during the premium calculation and the lowest is used during the claim settlement.

Round Off

Enter or select the round off value from the LOV. The values displayed in LOV are parametric. When allocation is made, based on the Round Off value given in this column allocated value is rounded off.

Effective From / To Date

The effective from and to dates are displayed as start and end dates of the treaty. User is allowed to modify these dates, if required.

	'Effective From Date' has to be within the treaty period (treaty start date and treaty end date). The 'Effective To Date' is always the Treaty End Date. User is allowed to modify the end date after the amendment.
---	---

Approve

Click this button to accept the Treaty Program. A pop-up displayed is shown below:

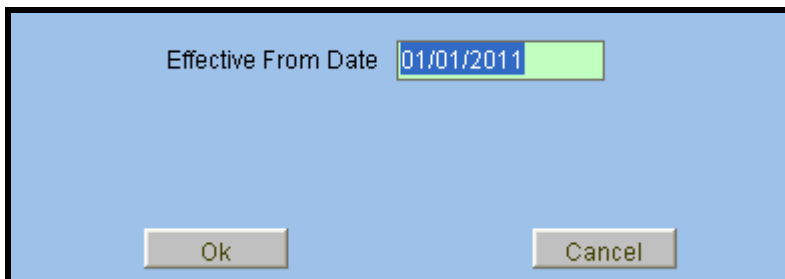


Fig. 15 – Approval Details Window

Effective From Date

The 'Effective From Date' value as displayed in the header block is defaulted in this field. If modification is required, enter or select the effective from date of the approval through the application calendar.

	The Effective From Date must be within the treaty Effective From and To Dates.
--	---

Click 'OK' to approve the treaty program. On approval, the Approve button in the screen is disabled and no changes are possible (except through Amendment) to the treaty program. The screen displays the current status as 'Approved'..

Click 'Cancel' to cancel the process.

Amendment

To make amendments (changes) to the treaty program, perform the following,

Click the 'Amendment' button, an 'Outward Proportional Treaty Setup History' screen. The screen displayed is shown below:

Proportional Treaty Setup - History

Treaty Code: ENGG/2013
Treaty Desc: Engineering treaty for 2013
Start Date: 01/01/2013 End Date: 31/12/2013
Currency: 001 US DOLLAR
Rate Type: Buying Rate 1: 1. Rate 2: 1. Rate 3: 1.
Round Off: 00 NO ROUND OFF
Effective From: 01/01/2013 Effective To: 31/12/2013

Amend Idx: 0
Short Desc: Engineering treaty for 2013
Treaty Year: 2013
Rate Basis: From Exchange Rate
Amend Type: 02 Treaty Terms Changes

Bi-lingual Details

Treaty Desc: Short Desc:

Treaty Type: Peril Group

Business Type

Priority	Code	Treaty Type Code*	Description	Treaty Basis	Uw Open	Yrs	Share Limit	Treaty Account To	PLA Limit	CLA Limit
1	01	RETN	Retention	Under Writing ...	5	100% Limit	Broker			
2	01	QS	Quota Share	Under Writing ...	5	100% Limit	Broker			
3	01	SUR-01	Surplus	Under Writing ...	5	100% Limit	Broker			

A/C Stmt Freq: Quarterly Bordx Stmt Frequency: Quarterly

Ren. Notice Period(In Days): Notice of Cancel(In Days):

Geo. Scope Code*: EPI

Repl. Treaty Code: Business Type Desc: Direct / Coins Outward

Bi-lingual Details

Exclusion BI:

RI Confirm Req'd. YN
Participant Alloc. Req'd. YN
Override Beyond Treaty Limit YN
Include Non PSU YN
RA Applicable Y/N

Fig. 16 – Outward-Proportional Treaty Setup – History

User cannot make any amendments to the treaty program if it has any unapproved IWPT transaction.

Click the 'Amend' button in the screen, to view the following screen:

Amendment Type

Amendment Type: Treaty Set up Changes

Amendment Eff.Fm Date: 01/01/2013

OK Cancel

Fig. 17 – Amendment Type

Amendment Type

Select the amendment type from the drop-down list. The available options are:

- ☐ Treaty Setup Changes – This option allows user to make changes to the treaty layers, limits, peril group mapping and participants
- ☐ Treaty Terms Changes – This option allows user to make changes in the standard terms block only

Amendment Effective From Date

Select the date from when the change becomes effective.

Click 'OK'.

Make the required changes/amendments and click 'Approve' button to approve the amendments made to the treaty program.

	Approval date has to be greater than or equal to the previous amendment date.
---	---

Cancel Amendment

Before approval of the amendment, user can cancel it by clicking the 'Can Amend' button. The pop-up displayed is shown below:

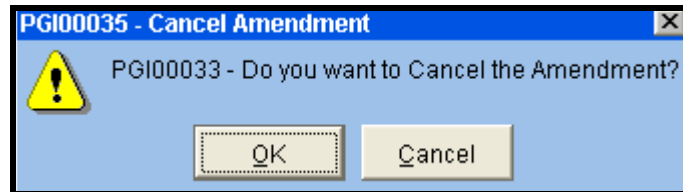


Fig. 18 – Cancel Amendment Confirmation Window

Click 'OK'. As a result of this action, the current records are deleted from the treaty program and the latest approved records are pulled up from the history table.

Click 'Cancel' to cancel the process.

Renewal

The Renewal button is displayed only when the selected treaty program is approved.

By default treaty program is valid for one year. Through this renewal option, user is allowed to renew the treaty program for the next year.

	In the renewed treaty, the treaty program undergoes some changes like withdrawal/inclusion of new participants/increase or decrease in participant's share/change in treaty limits.
---	---

Click the 'Renew' button to renew the treaty program. The pop-up screen displayed is shown below:

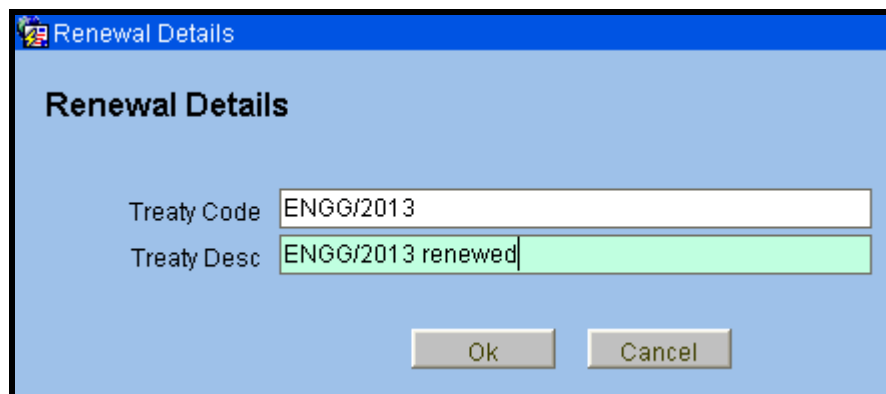


Fig. 19 – Renewal Details

Click 'OK' to proceed with the renewal process. A message appears asking for the confirmation for renewal processing. Click 'OK' to proceed with the renewal process, or else click 'Cancel' to stop the renewal process.

TAB Peril Group

Click 'Peril Group' to select and attach the peril classes to peril groups. A peril group is a logical grouping of some peril classes. For a group of peril classes - the range limits and participants are same. Hence, instead of defining the treaty limits for each peril class, they are grouped logically and the limits are defined for that whole peril group.

The screen displayed is shown below:

Peril Group Code*	Description
PG-250001	PERIL GROUP FOR 2500 MATERIAL DAMAGE
PG-250002	PERIL GROUP FOR 2500 THIRD PARTY

Fig. 20 – Peril Group

Peril Group Code

Enter or select the peril group codes from the LOV. The description of the peril group code is automatically displayed in the adjacent field. The values displayed in LOV are set in Codes Master – Peril Group Code.

A Peril Group Code must be unique within the treaty program and are duplicated across treaty program defined within the same treaty period.

Appl Peril

Click this button to attach the peril class code in the tab 'Appl Peril' classes for a given peril group.

The screen displayed is shown below:

Peril Class Code*	Description
PC-250101	Peril Class for 2501 Material Damage
PC-250201	Peril Class for 2502 Material Damage
PC-250301	Peril Class for 2503
PC-250401	Peril Class for 2504 Machinery Breakdown
PC-250501	Peril Class for 2505 Plant All Risk

Fig. 21 – Appl Peril

Peril Class Code

Enter or select the peril class code from the LOV. The description of the peril class code is automatically displayed in the description field. The values displayed in LOV are set in the peril class master.

	☐ User is allowed to attach the active peril class code as on that date to the treaty ☐ Within a treaty program peril class code has to be unique across peril group code ☐ It is not possible to attach a peril class to more than one treaty if the treaty validity period falls within the treaty validity period of any other treaty
---	---

Click 'Back' to return to the 'Peril Group' screen.

TAB Treaty Type

Click the 'Treaty Type' tab to enter the details of the proportional treaty set up. The screen displayed is shown below:

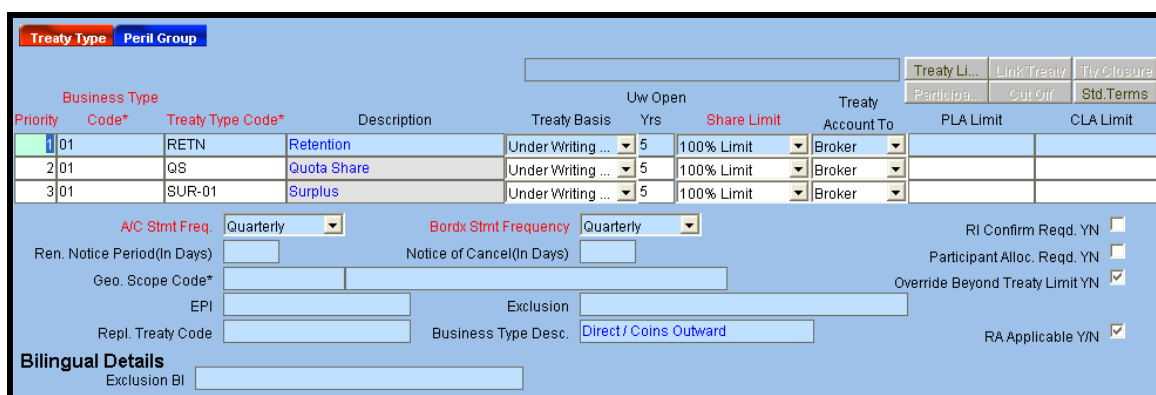


Fig. 22 – Treaty Type

The following buttons are available in 'Treaty Type' screen:

- ☐ Treaty Limit
- ☐ Participants
- ☐ Standard Terms



Priority

Enter the priority number in this field; the priority is also termed as the Arrangement Number. Based on priority of treaty type code for a business type, the allocation happens in the ascending order; where, '1' is the highest priority and so on.

	For a Business Type and Treaty Type Code the priority number has to be unique.
---	---



Business Type Code

Enter or select the business type code from the LOV. The values displayed in LOV are as follows:

- ☐ 01- Direct / Coins inward
- ☐ 02- FAC Inward Local
- ☐ 03- FAC Inward Foreign
- ☐ 04 – Co insurance Inward

The description of the business type code is displayed in the Business Type Description field. The values displayed in LOV are parametric.

Treaty Type Code

Enter or select the treaty type code from the LOV. The LOV displays all the treaty codes with its description. On selection of the treaty code, its description is automatically displayed in the adjacent field.

	For the given business type, treaty type codes has to be unique. ☐ In the Treaty setup if any one of the Treaty Type Code Allocation Mode is set as 'On Retention' then in allocation screen system displays the net amount against the retention layer (Gross Retention – Sum of allocated value for treaty type codes for which the allocation mode is set as 'On Retention')
---	--

Treaty Basis

Select the treaty basis from the drop down list; the options available are as follows:

- ☐ Clean Cut
- ☐ Underwriting Year

UW Open Years

If the Treaty basis is a Clean Cut, then 'UW Open Years' displays '1' by default, and does not allow user to modify it. If that basis is underwriting, then user is required to enter in the UW Open Years.

Share Limit

Select the share limit option from the dropdown list; the options available in dropdown are as follows:

- ☐ Our Share Limit
- ☐ 100 % Limit
- ☐ In a policy having coinsurance, these options are significant. If the option is set to 'Our Share Limit', then the ceding happens only for the leader's share in the policy. But if the option is set to '100 % Limit', then the ceding happens according to the entire sum insured. In a normal policy, ceding always happen for the entire sum insured, whether the option is 'Our Share Limit' or '100 % limit'

Treaty Account To

The 'Treaty Account To' is of two types. They are 'Re-insurer' or 'Broker'.

By default, the display value is 'Broker'. Based on the selection in this field, the accounting entry is generated. Select a type from the LOV.

Preliminary Loss Advice Limit (PLA Limit)

Enter the Preliminary loss advice limit in this field. The claims allocation is done, if the claim estimate amount exceeds the PLA limit defined in the treaty type; then, a separate report is generated on request. This report is sent as intimation to the re-insurer, so that the re-insurer is prepared to pay the share in the claim.

Cash Loss Advice Limit (CLA Limit)

Enter the cash loss advice limit in this field. The claims allocation is made for the payment, if the payment amount exceeds the CLA limit defined in the treaty type, the adhoc treaty account process may be carried out to initiate the immediate accounting and recovery for a huge loss.



Account Statement Frequency

Select the account statement generation frequency option from the dropdown list; the options available are as follows:

- ☐ Quarterly
- ☐ Half-Yearly
- ☐ Annual

Accounting statements are generated for the participants in that treaty type.



Bordereaux Statement Frequency

Select the bordereaux statement generation frequency option from the dropdown list; the options available are as follows:

- ☐ Quarterly
- ☐ Half-Yearly
- ☐ Annual

Bordereaux statements are generated for the participants in that treaty type. This information is more for statistical purpose which is captured in the system as the actual reports of RI allocation may be executed for any period independent of this definition.

☒ Re Insurance Confirm Required Y/N

Select the check box if operating office needs RI department approval before risk acceptance for the particular treaty type layer.

If the policy / endorsement allocation is made for the following conditions, then the operating office needs the RI department approval.

- ☐ When the limit ceded is within the treaty program
- ☐ Appears in any of the allocated layer
- ☐ The flag is set as 'Y'

Renewal Notice Period (In Days)

Enter the renewal notice period given by the ceding company to the Re-insurers for the selected treaty type layer in terms of days in this field. Presently from system perspective, this information is captured for statistical reference.

Notice of cancellation (In Days)

Enter the participant's cancellation notice period to withdraw from treaty for selected treaty type layer in terms of days in this field. Presently from system perspective, this information is captured for statistical reference.

☒ Participant Allocation Required Y/N

When a policy / endorsement allocation is made, then the system does not allocate for the participants defined under each peril group limit. If the check box is selected, then the allocation is made for all the participants defined under the allocated peril group limit.

Select the check box, if the participant allocation has to be done for the selected treaty type layer.



This option is normally set for Inter-Group layer, as and when allocation is made for co-insurance policy. The participant's share need not be considered, if any of the participants is a co-insurer.

Geographical Scope Code

The Geographical scope code is to identify the location of the risk. Enter or select the geographical scope of this treaty from the LOV. The description of the selected code is automatically displayed in the adjacent field. The values displayed in LOV are set in the codes master – Geographical Scope Code. Presently from system perspective, this information is captured for statistical reference.

☒ Override Beyond Treaty Limit Y/N

In the 'Policy Allocation' screen, when the limit is overridden, whether the overridden limit exceeds the limit defined in the treaty is checked. If the overridden limit exceeds the limit defined in the treaty, then the system displays an error.

But in some treaty layers like Market Surplus Treaty, user is allowed to override with the limit exceeding the treaty limit to utilize the unutilized share.

Hence to bypass the above validation, this check box is set to 'Y'. This is normally set for MST layers.

EPI (Estimated Premium Income)

Enter the estimated premium income, which is normally entered based on the previous treaty experience. Presently from system perspective, this information is captured for statistical reference.

Exclusion

Enter the exclusions, if any for the selected treaty type layer. Presently from system perspective, this information is captured for statistical reference.

Exclusion BL

Enter the exclusion bilingual language. Presently from system perspective, this information is captured for statistical reference.

☒ RA Applicable YN

Select the check box if the risk accumulation needs to be applied for a specified product.

On selecting the check box, the RI Treaty Basis is defaulted as 'Risk', and the user is not allowed to modify it.

Standard Terms

Click this button to assign the standard terms individually to the various treaty types in a treaty setup. The screen is shown below:

Outward Proportional Treaty Setup

Treaty Type: QS Quota Share
Treaty Type Code: QS Quota Share
Business Type: 01 Direct / Coins Outward

Commission Brokerage Terms

Drill to other levels

Commission Code*	Comm Type	Ovr Calc Type	Commission Calc Type	Commission %	Commission Amount	A/C stmt freq
TTY-COM-01	01		Percentage	15.00000		Quarterly
TTY-COM-06	06		Percentage	5.00000		Quarterly
TTY-COM-02	02	On Gross	Percentage	3.00000		Quarterly

Commission Code Desc: Treaty Commission
Commission Type Desc: Commission

Fig. 23 – Standard Terms

The tabs available are as follows:

- ☐ Commission
- ☐ Brokerage
- ☐ Terms

TAB Commission

A fee for services rendered is based on a percentage of an amount received or collected or agreed to be paid. Following are the three types definitions made:

- ☐ Commission
- ☐ Brokerage
- ☐ Terms

Treaty Type, Treaty Type Code, and Business Type are displayed by default and their descriptions are displayed in their adjacent field.

Commission Code

Enter or select the code of commission from the LOV for which the percentage is to be specified in this field. The available options are:

- ☐ Commission
- ☐ Overriding Commission

Once a code is entered, the description of it gets automatically displayed in the 'Commission Code Description' field.

Commission Type

Enter or select the commission type from the LOV. Its description is displayed in the Commission Type Description.

Over Riding Calculation Type



This field is enabled only when the commission code chosen represents an 'Overriding Commission'.



Commission Calculation Type

Select from the drop down menu, the commission type applicable for the particular option. The available options are:

- ☐ Fixed amount
- ☐ Percentage

If the fixed amount option is chosen, the commission amount is specified and the percentage is set to null. Alternatively if Percentage is opted, then the percentage is specified and the commission amount is set to null.

Commission %

Enter the percentage of the commission amount in the commission percentage field.

Commission Amount

Enter the commission amount in the commission amount field.

A/C stmt frequency

Select the account frequency from the dropdown list. The options available are:

- ☐ Monthly
- ☐ Quarterly
- ☐ Half-yearly
- ☐ Annual

TAB Brokerage

Click this tab to define the brokerage details. The screen displayed is shown below:

Treaty Type	QS	Quota Share
Treaty Type Code	QS	Quota Share
Business Type	01	Direct / Coins Outward

Commission
Brokerage
Terms

Broker Code*	Description	Broker %

Fig. 24 – Brokerage



Broker Code

Enter or select from the LOV the required broker code for this field. Once a code is entered, the description is displayed in the adjacent field.

Broker Percentage

Specify the broker percentage in this field.

TAB Terms

The 'Terms' tab allows the user to enter the following details:

- ☐ Portfolio
- ☐ Sliding Scale
- ☐ Profit Commission
- ☐ P/L Reserves

The screen displayed is shown below:

Treaty Type	QS	Quota Share
Treaty Type Code	QS	Quota Share
Business Type	01	Direct / Coins Outward

Commission **Brokerage** **Terms**

Portfolio
 Premium Withdrawal % Loss Withdrawal % [Ditto other tabs](#)

Sliding Scale
 Commission Code* [Sliding Scale Commission](#)
 Prov. % Prov.Freq Prov.St Yr Prov.End Yr
 Final Freq* Final Perd Final St Yr Final End Yr
 Min. Comm % Max Comm % Differential Comm%
 Min.Incurred Loss Ratio % Max Incurred Loss Ratio% Diff Incurred Loss Ratio%

Profit Commission
 Commission Code* [Profit Commission](#)
 Provisional % Freq Starting Year End Year
 Final Freq* Final Perd Final start year Final end year
 Calculation Method Final % Mgmt. Exp. % Avg No of Yrs
 LCF No Of Yrs LCF St Yr % On Prem % on Balance

P/L Reserves
 Prem Reserve Retained% Prem.Freq St Yr End Yr
 Loss Reserve Retained% Loss Freq St Yr End Yr
 Prem.Res.Rel.Prov Freq* Prem.Res.Rel.Final Freq* Period Prem Rel Int %
 Loss Res.Rel.Prov Freq* Loss Res.Rel.Final Freq* Period Loss Rel Int %
 Prem Res waived YN ☐ Loss Res Waived YN ☐

Fig. 25 – Terms

Portfolio

Premium/Loss Withdrawal Percentage

Enter the premium and loss withdrawal percentages applicable for the particular treaty in their respective fields. The premium and loss withdrawal calculations are done as annual processes, and the percentages specified are used to calculate the actual withdrawal amounts for a particular treaty.

Sliding Scale

This is used for defining commission based on sliding scale method.

Commission Code

Enter the commission (code) for which the details are to be entered in this field.

Provision Percentage

Enter the sliding scale provision percentage for calculation in this field.

Provision Frequency

Enter the frequency in which the provision amount is to be paid in this field.



The provision frequency has to be greater than the accounting frequency.

Provision Start Year and End Year

Enter the start and end years for the sliding scale calculation in this field.



- ☐ The system defaults the start year to '1'
- ☐ The end year has to be less than the underwritten open years.

Final Frequency

Enter the frequency for the final sliding scale calculation in this field.



If the accounting frequency or the provisional frequency is annual , then final frequency has to be annual.

Final Start Year and End Year

Specify the start and end years for final profit commission process in these fields.



The Start year is defaulted to one. It has to be less than the underwritten treaty open years

End year has to be earlier than the underwritten treaty open year

End year has to be greater than or equal to the Start year.

Final Period

Enter the period based on which the sliding scale calculation is to be done in this field. For example, If the final period is 1 and the final frequency is half year then the sliding scale is calculated for every six months.

Minimum, Maximum and Differential Commission Percentage

Enter the minimum, maximum and differential commission percentage values in their respective fields. The actual value obtained during the SSC Final calculation is compared with these values.

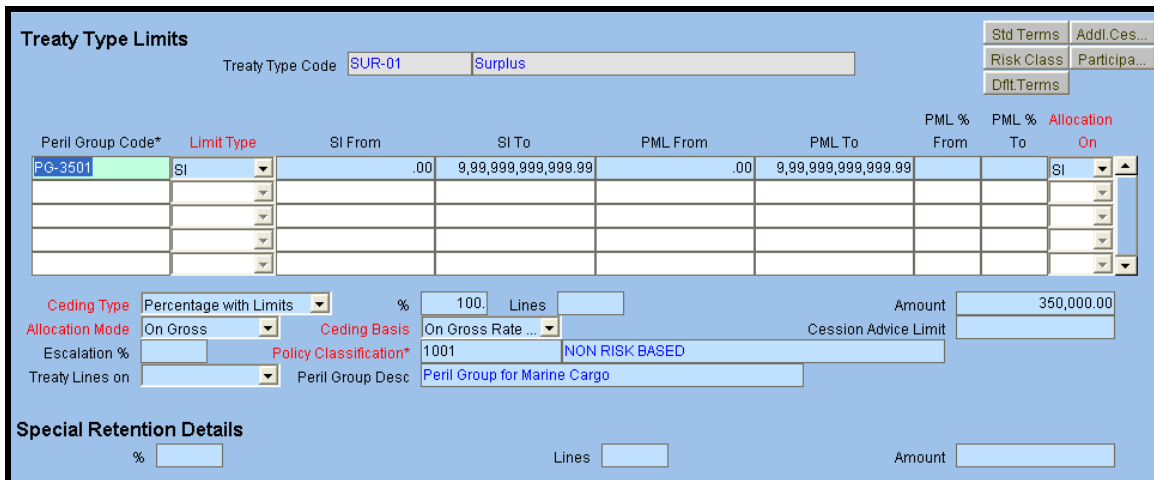
Minimum, Maximum and Differential Incurred Loss Ratio Percentage

Enter the minimum, maximum and differential Incurred Loss Ratio Percentage values in their respective fields. If the actual calculated value is between minimum and maximum then the differential values are used for subtraction/addition to get the commission percentage for that particular loss ratio.

Presently the frequency difference of incurred claims and difference of the scale of commission has to be same.

Treaty limit

Click this button to enter the treaty type limit for each treaty type. The screen displayed is shown below:



The screenshot shows the 'Treaty Type Limits' screen. At the top, there are buttons for 'Std Terms', 'Addl Ces...', 'Risk Class', 'Participa...', and 'Dflt Terms'. Below these, the 'Treaty Type Code' is set to 'SUR-01' with the description 'Surplus'. The main table has columns for 'Peril Group Code*', 'Limit Type', 'SI From', 'SI To', 'PML From', 'PML To', 'PML % From', 'PML % To', and 'Allocation On'. The first row is populated with 'PG-3501', 'SI', and numerical values for SI and PML ranges. Below the table, there are fields for 'Ceding Type' (Percentage with Limits), 'Allocation Mode' (On Gross), 'Ceding Basis' (On Gross Rate), 'Escalation %', 'Policy Classification*' (1001 NON RISK BASED), and 'Treaty Lines on'. At the bottom, there are 'Special Retention Details' fields for percentage, lines, and amount.

Fig. 26 – Treaty Type Limits

The following buttons are available in this screen:

- ☐ Standard Terms
- ☐ Additional Cession
- ☐ Risk Class
- ☐ Participants
- ☐ Default Terms

Treaty Type Code

This field automatically displays the selected treaty type code and description for which the limits are to be entered.

Peril Group Code

Enter or select the peril group code from the LOV, the description is displayed in Peril Group Description field under the multi record block. The values displayed in LOV are set in codes master – Peril group set up.

Limit Type

Select the limit type from the drop-down list; the options available are as follows:

- ☐ SI – selection of this option allows user to enter SI range and default it in PML range, default PML from % with 0 and PML to % with 100, where user is not allowed to modify the PML range.
- ☐ SI & PML-selection of this option allows user to enter SI as well as PML range.

Sum Insured From / To

Enter the sum insured range for the selected peril group.

Probable Maximum Loss From / To

Enter the probable maximum loss range for the selected peril group.

	☐ User is allowed to enter the PML only if the limit type selected is SI & PML ☐ PML range has to be different from SI range
--	---

Probable Maximum Loss % From / To

Enter the probable maximum loss percentage range for the selected peril group.

	PML percentage and amount are to be declared separately.
--	--

Allocation On

Select the allocation on from the drop-down list; the options available are as follows:

- ☐ SI
- ☐ PML

Depending on the allocation type selected here, the allocation happens on SI/PML.

Ceding Type

Select the ceding type for the selected peril group from the drop-down list; the options available are as follows that allows user to perform the following when the respective options are selected.

	User is not allowed to modify the ceding type if the current peril group limit is a replaced treaty for a cut-off treaty.
--	---

Lines

Enter the number of lines in the Lines field and it is calculated using the following formulae:

Net Retention X No. of lines

Percentage

Enter the percentage in the Percentage field.

Amount

Enter the amount of the limits in Amount field.

Allocation Mode

Select the allocation mode for the selected peril group from the drop-down list; the options available are as follows:

- ☐ On Gross – The allocation amount is on the gross sum insured amount
- ☐ On Balance – The allocation amount is on the balance amount after ceding the previous layer
- ☐ On Retention – The allocation amount is on the balance of sum insured and retention



The overridden value is treated as Gross Retention, and the same is considered for calculating the subsequent layer allocated amount for which the allocation mode is set to 'On Retention'



Ceding Basis

Select the ceding basis for the selected peril group from the drop-down list; the options available are as follows:

- ☐ On Gross Rate (Total Premium)
- ☐ On Net Rate (Total Premium – Agency Commission)
- ☐ Duplication / Overlapping of SI and PML range for the same Peril Group and Ceding

Basis (OGR / ONR) within a treaty type code is not allowed.

Cession Advice Limit

Enter the cession advice limit for the selected peril group. On exceeding this limit, the Re-insurers are notified about the risk being covered.

Escalation Percentage

Enter the escalation percentage; this is the percentage of original policy SI that is allocated at the maximum for this treaty during endorsement allocation.



Policy Classification

Enter or select the policy classification for the selected peril group from the LOV, the description is automatically displayed in the adjacent field. Policy classification is mainly captured for report purpose to categorize the risk as Large Risk / Medium Risk / Mega Risk etc based on the SI value. The values displayed in LOV are codified.

Special Retention Details

Percentage – Lines – Amount

These are display items populated when a treaty type is cancelled. The percentage / Lines / Amount defined in the peril group limit are reflected in special retention columns on cancellation of treaty type.

When the replacement is made against the cancelled treaty, special retention get reduced based on the limit of replacement.

Click 'Save' to save the entered details.



Additional Cession

Additional cession button enables you to define additional cession limit. For any of the peril class defined under the selected peril group, if additional cession limit is to be ceded then for those peril class additional cession limit is defined in the screen as shown below:

Applicable Perils
Back

Treaty Type Code

QS

Quota Share

Peril Group Code

PG-250001

PERIL GROUP FOR 2500 MATERIAL DAMAGE

SI From

.00

SI To

9,99,999,999.99

PML From

.00

PML To

9,99,999,999.99

PML % From
PML % To

Peril Class Code*	Peril Group Desc	Ceding Type	Addl. Cession %	Addl. Cession Limit
		Percentage Only		

Special Retention Details

%

Amount

Fig. 27 – Applicable Perils

Treaty Type Code

This field automatically displays the treaty type code and description for the peril group selected.

Peril Group Code

This field automatically displays the peril group code and description for the peril group selected.

SI From/To

This field automatically displays the SI range for the selected peril group.

PML From From/To

This field automatically displays the PML range for the selected peril group, if applicable.

PML % From/To

This field automatically displays the PML % range for the selected peril group, if applicable.

Peril Class Code

Enter or select the peril class code from the LOV, the description is automatically displayed in the Peril Class Description field. The values displayed in LOV are set in treaty master.



Ceding Type

Select the ceding type for the selected peril class from the drop-down list; the options available are as follows:

Additional Cession Percentage

Enter the percentage in the Additional Cession Percentage field.

Additional Cession Limits

Enter the limits in Additional Cession Limit field.

Special Retention Details

Percentage – Lines – Amount

These are display items populated when a participant withdraws from the treaty program, the share percentage is reflected here under the special retention details, and the ceding company retains this share.

After entering details in applicable perils section, click 'Back' to go to the previous screen



Risk Class

Click this button to enter the risk class limits for the selected peril group. Independent of peril group limit is based on the specific risk attribute. If that limit is to be changed, and then user is allowed to define in Risk Class limits under the peril group limit.

Risk Class are codified values defined in Codes Master – Risk Class. In UW transaction, Risk classes are updated through external validation.

Limits are defined for the risk class in the treaty program. The allocation happens only if same risk class is available in transaction. If a risk class is not available in transaction then the allocation is based on the peril group limit.

For any peril group limit, if a risk class is to be defined then it is not mandatory to define the peril group limit as it is defined in risk class limit. If a risk class is not defined then on approval of policy, the system checks for the peril group limit.

The screen displayed is shown below:

Risk Class*	Risk Class Desc	Ceding Type	Lines	%	Treaty Lines on	Amount	Customer Req Y/N
A	Risk Category A -100%	Percentage with Li...		50.		500,000.00	✓
B	Risk Category B -75%	Percentage with Li...		50.		375,000.00	✓
C	Risk Category C -50%	Percentage with Li...		50.		250,000.00	✓
D	Risk Category D -40%	Percentage with Li...		50.		200,000.00	✓
E	Risk Category E -30%	Percentage with Li...		50.		150,000.00	✓

Special Retention Details

Lines % Amount

Fig. 28 – Risk Class Limits

Treaty Type Code

This field automatically displays the treaty type code and description for the peril group selected.

Peril Group Code

This field automatically displays the peril group code and description for the peril group selected.

SI From/To

This field automatically displays the SI range for the selected peril group.

PML From From/To

This field automatically displays the PML range for the selected peril group, if applicable.

PML % From/To

This field automatically displays the PML % range for the selected peril group, if applicable.

Risk Class Code

Enter or select the risk class code from the LOV, the description corresponding to it is automatically displayed in the Risk Class Description field. The values displayed in LOV are codified.

Ceding Type

Select the ceding type for the selected peril group from the drop-down list; the options available are as follows that allows user to perform the following when the respective options are selected.

Lines

Enter the number of lines in the Lines field.

Percentage

Enter the percentage in the Percentage field.

Amount

Enter the amount of the limits in Amount field.

Special Retention Details

Percentage – Lines – Amount

These are the display items that are populated when a participant withdraws from the treaty program. The participants share percentage is reflected here under the special retention details, and the ceding company retains this share.

After entering details in Risk Class Limits section, click 'Back' to go to the previous screen.

Participants

Click this button to enter the participant's information for the selected treaty type. The screen displayed is shown below:

Treaty Type Code	QS	Quota Share			Std Terms	Diff Terms
Peril Group Code	PG-250001	PERIL GROUP FOR 2500 MATERIAL DAMAGE			PC Std Terms	Diff to PC
SI From	.00	SI To	9,99,999,999.99			
PML From	.00	PML To	9,99,999,999.99			
PML % From		PML % To				

Customer Code*	Rating Status	YN	Leader Broker Code*	Intermediate Broker Code*	Share Type	Share %	Lines	Amount	Reciprocity No*
RI0000001		☒	LB0000001		Percentage Only	100			
		☐							
		☐							
		☐							

Customer Name	Swiss Re
Broker Name	Local Brokers
Intermediate Broker Name	

Fig. 29 – Participants

Treaty Type Code

This field automatically displays the treaty type code and description of the selected treaty type.



Customer Code

Enter or select the Re-insurer code from the LOV, the description is automatically displayed in the Customer Name field. The values displayed in LOV are set in Codes master – Customer Master Set-up.

Rating Status

The rating status is automatically displayed based on the customer code selected.

Leader Y/N

Check this box if the selected company is the leader for the selected peril group layer. The participant with the highest share is the leader.

Broker Code

Enter or select the broker code from the LOV, the description is automatically displayed in the Broker Name field. The values displayed in LOV are set in Codes master – Customer Master Set-up.

Intermediate Broker Code

If the arrangement is through foreign brokers and participants are through intermediate brokers, then enter or select the intermediate broker code from the LOV. The description is automatically displayed in the Intermediate Broker Name field. The values displayed in LOV are set in Codes master – Customer Master Set-up.



Share Type

Select the share type from the drop-down list; the options available are as follows:

- ☐ Line Only – Enter the lines if this option is selected as share type
- ☐ Percentage Only- Enter the percentage if this option is selected as share type
- ☐ Limits Only- Enter the limits if this option is selected as share type

Reciprocity Number

Enter or select the reciprocity numbers from the LOV, The values displayed in LOV are set in codes master –Reciprocity number set up.



Default Terms

Click this button to default the terms at treaty type limit level. The screen displayed is shown below:

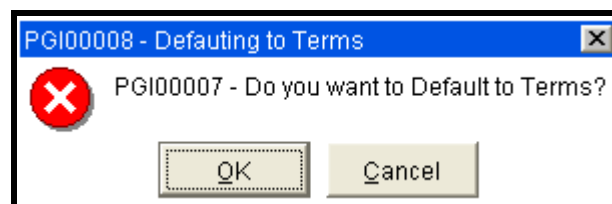


Fig. 30 – Default Terms

Click 'OK' to view the success message.

ACCOUNTING PROCESS SEQUENCE

The 'Treaty Account Process Sequence Setup' screen enables the user to define the process sequence for treaty accounting.

The screen displayed is shown below:

The screenshot shows the 'Treaty Account Process Sequence Setup' window. At the top, there's a header with the Infotech logo and 'INSURANCE CO LTD'. Below the header, the title 'Treaty Account Process Sequence Setup' is displayed. The form contains several fields: 'Process Sequence No' with value '1', 'Process Period*' with a dropdown showing '01' and 'First Quarter', 'Treaty Acnt Process Type*' with a dropdown showing '01' and 'Premium Ceded', 'Process Desc' with text 'PREM', 'Process Mandatory Y/N' with a checked checkbox, 'Effective From date' with '01/01/2013', 'Effective To date' with '31/03/2013', 'Link Treaty Acnt Process type*' with an empty dropdown, and a 'Bilingual Details' section with a 'Process Description BL' field.

Fig. 31 – Account Process Sequence



Process Sequence Number

By default the process sequence number is displayed as '0'. On saving the treaty accounting process, the system generates the sequence number.



Process Period

Enter or select from the LOV the Process Period as one of the following.

- ☐ 01 - First Quarter
- ☐ 02 - Second Quarter
- ☐ 07 – Annual and so on.

The description is displayed in the adjacent field. Once you enter process period the effective from date and to date is automatically displayed.



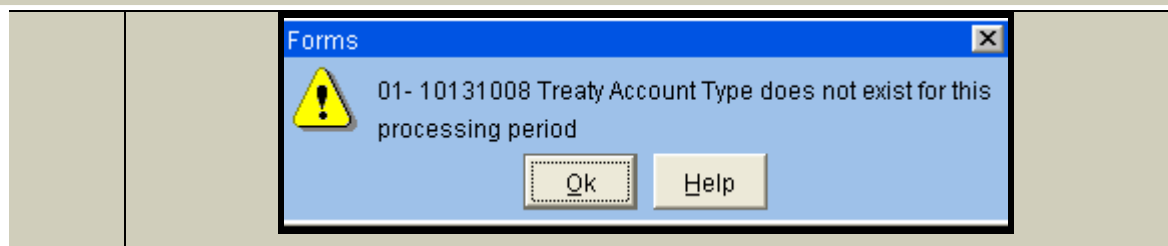
Treaty Account Process Type

Enter or select the treaty account process type from the LOV. The description is displayed in the adjacent field. The available values are:

- ☐ Port Folio Loss WD
- ☐ Premium Reserve Retained
- ☐ Premium Reserve Release
- ☐ Loss Reserve Release and so on



Ensure that the treaty type is within the processing period else the system displays the message as shown below:



Process Description

Enter the description for the process sequence in this field.

☒ Process Mandatory Y/N

Select this checkbox to make the process type field as a mandatory field.



Effective From/To date

The Effective From and To date gets displayed based on the system parameter RI_AC_ST_MTH. It is not possible to modify it.

Link Treaty Account Process Type

Enter or select the link treaty account process type from the LOV. The description is displayed in the adjacent field.



Ensure that the process sequence number is unique for the combination of Process Period, Process Type and Effective dates.

Clicks 'Save' to save the details entered.

INWARD PROPORTIONAL TREATY PROPOSAL

Inward Treaty refers to an arrangement, wherein an Insurance / Reinsurance company (called as Re-insurer) agrees to share the risk of an insurance company (called ceding company or reinsured) that primarily underwrites directly with the insured.

In addition to direct insurances, an Insurance company may also participate in Reinsurance Treaty arrangements. When insurance companies (Ceding Companies) access the Reinsurance Market for placing a Reinsurance business, the proposal may be taken up by pure Reinsurance companies and/or also by other direct insurance companies. When an insurance company takes part in reinsurance arrangement along with other Reinsurance/Insurance companies, such an arrangement becomes an Inward Treaty for the participating company.

In such cases, the insurance companies receive proposals from the reinsurance market for accepting a share in one or more treaty types (like Quota Share, Surplus etc). The portfolio may cover one or more classes of business. Based on the proposal details, the insurance company may accept full or part of the share offered.

The company may also decline the offer. On accepting the offer, an Inward Treaty comes into effect.

Click the 'Inward Proportional Treaty Proposal' menu to define the Inward Proportional Treaty Proposal. The screen displayed is shown below:

Inward Proportional Treaty Proposal Status: Incomplete

RI Company* 001 INSURANCE CO LTD
 RI Department* 40 Engineering
 Treaty From date 01/01/2013 Treaty to date 31/12/2013
 Proposal No Eng-Inw-2013-005
 Short Desc Eng-Inw-2013-005
 Proposal Country* 4066 INDIA
 Inw Business Type 21 Inward Proportional Source Direct
 Proposal Desc BL

RI Branch* 100 Head Office
 Prop Receipt Dt 01/01/2013 Treaty Year 2013
 Ref No Eng-Dept-Inw4 Ref Dt 01/01/2013
 Treaty Desc Eng-Inw-2013-005
 Proposal Company* RI0000001 Swiss Re
 Revenue Type Foreign
 Broker*
 Short Desc BL

OW Prop ... OW-Non...

Class of Business*	Category*	Treaty Type Code*	Alloc Basis	Ceding Type	Treaty Basis	No. of Years	Share Offered %	Share Accepted %	Share Retained %	Share Ceded To OWPT%
40	01	SUR-01	Risk	Percentag...	Under Writing...	3	60	60	80	20

Brokerage %
 Class of Business Desc Engineering
 Treaty Category Desc Reciprocal Proportional - RP
 Treaty Type Desc Inw Surplus

Ceding Basis* 01 On Gross Rate (Total Premium)
 Treaty Currency* 001 US DOLLAR
 Rate 01 1
 Round Off
 Share Accepted 3,000,000.00
 Cedant Retention Amt
 Retro Cession YN
 Alloc On SI
 Rate Basis From Excha...
 Rate 02 54
 Treaty Limit SI FC 5,000,000.00
 Net Retained 2,400,000.00
 Treaty A/C Period Quarterly
 Exchange Rate Type Selling
 Rate 03 102
 Treaty PML SI FC
 Amount Ceded to OWPT 600,000.00
 Leader Share %
 Retro Treaty Type Code

Fig. 32 – Inward Proportional Treaty Proposal

Header Block

The header block of the Inward Proportional Treaty Proposal (IWPT) screen displays the following fields:

RI Company

This field defaults the company name entered during login. You are allowed to modify it by selecting a name from the LOV. The description of it is automatically displayed in the adjacent field.

RI Branch

This field defaults the division code entered during login. You are allowed to modify it by selecting from the LOV. The description is automatically displayed in the adjacent field.

RI Department

This field defaults the department name entered during login. You are allowed to modify it by selecting from the LOV. The description is automatically displayed in the adjacent field.

Proposal Receipt Date

Enter the date of receipt of the proposal from the ceding company.

Treaty Year

Treaty Year is automatically displayed based on table set up (PCOM_APP_PARAMETER). If Start date is set as treaty year then start date year is displayed in this field and vice versa. You are allowed to modify the treaty year.

Treaty From date

This field defaults the system date. You are allowed to modify this date through the application calendar.

Treaty To date

The 'To date' is automatically displayed. Normally this is one year period. For example if the Treaty From date is '20/01/2012', then the Treaty To date is '19/01/2013'.

Reference Number

Enter the reference document number of the proposal sent by the ceding company. This has to be a unique number. The system does not validate this number.

Reference Date

Enter the reference document date of the proposal sent by Ceding Company.



The Reference Date should not be a date greater than the Proposal Receipt Date.

Proposal Number

The system generates the proposal number automatically on approval, if the document number setup exists; else enter the proposal number manually. This must be a unique number.

The following details are required to approve the Inward Proportional Treaty Proposal:

- ☐ Header Details
- ☐ Class of Business Details
- ☐ Outward Proportional Treaty
- ☐ Outward Non-Proportional Treaty

After the approval, the status of IW Proportional Treaty Proposal is changed to 'Accepted'.

Treaty Description

Enter a name or description for the inward treaty.

Short Description

The data entered in the Treaty Description field is defaulted in this field. You are able to alter it if necessary. This description is used all through the application.

Proposal Company

Enter or select the reinsurance customer code from which the re-insurance proposal is received from the LOV. The description is automatically displayed in the adjacent field.



Proposal Country

Enter or select the country of the proposal (ceding) company from the LOV. The description is automatically displayed in the adjacent field.



Revenue Type

If the country of the Inward Re-Insurance Company is different from country of the Ceding Company, then the Re-Insurance Business is Foreign; otherwise, it is a local company. Select the revenue type from the drop down list. The options available are:

- ☐ Local
- ☐ Foreign



Inward Business Type

Based on the revenue type, the inward business type is defaulted. The description is displayed in the adjacent field.



Source

This field describes how the re-insurance proposal is received. Select the source of the inward treaty from the drop down list here. The options available and their explanations are given below:

- ☐ Direct – Treaty proposal is received directly from the ceding company
- ☐ Broker – Treaty proposal is received from the re-insurance broker



Broker

If the Re-insurance source is 'Broker', select the broker code of the re-insurance broker from the LOV. The description is automatically displayed in the adjacent field.

Proposal Description BL

Enter the description in additional language.

Short Description BL

Enter the short description in additional language.

Click 'Save' to save the ceding company details. The 'Proposal Number' is generated. The ceding company has various classes of businesses. In a single proposal, the ceding company sends its offers for various classes of businesses. These details are entered in the Details block of the screen.



Accept

Click this button to accept the proposal. The screen displayed is shown below:

ACCEPT

Proposal Accept

Treaty Code: ENG-INW-06

Treaty Desc: Eng-Inw-2013-005

Treaty Code Shotr Desc: Eng-Inw-2013-005

Treaty Code BL Desc:

Short Desc BL:

Ok Cancel

Fig. 33 – Proposal Accept

Click 'OK'.

If the Document Number Generation is available for Inward Proportional Treaty Setup, the Treaty Code is generated automatically, else the user has to enter the Treaty Code.

The Inward Treaty Proposal is converted to Treaty, and Treaty Code is generated.

Click 'OK'. The proposal number and treaty number generated as shown in the screen below:

Forms

! 01- 10212056 Proposal No. Eng-Inw-2013-005
converted to Treaty Code ENG-INW-06.

Ok Help

Fig. 34 – Proposal to Treaty

Decline

Click this button to cancel the proposal. The reason for canceling the proposal is captured in the following pop-up screen:

CANCEL/DECLINE

Proposal Decline Reason

Reason Code*: 002 Proposal rejected

Decline Dt: 07/01/2014

Ok Cancel

Fig. 35 – Proposal Decline Reason

Reason Code

Enter the cancellation reason code. This field is mandatory.

Decline Date

Enter the date of cancellation. This field is mandatory.

Click 'OK' to close the pop-up screen.

Details Block

The Inward Treaty receiving Company (Re-Insurer) decides on accepting the proposal and converting it to treaty after analyzing the proposal offered. This block allows the user to enter the details of a class of business.

The screen displayed is shown below:

Details		Treaty	Alloc	Ceding	Treaty	No. of	Share	Share	Share	Share
Class of Business*	Category*	Type Code*	Basis	Type	Basis	Years	Offered %	Accepted %	Retained %	Ceded To OWPT%
40	01	SUR-01	Risk	Percentag...	Under Writing...	3	60	60	80	20
Brokerage %		Treaty Category Desc Reciprocal Proportional - RP								
Class of Business Desc Engineering		Treaty Type Desc Inw Surplus								
Ceding Basis*	01	On Gross Rate (Total Premium)		Alloc On	SI	Treaty A/C Period		Quarterly		
Treaty Currency*	001	US DOLLAR		Rate Basis	From Excha...	Exchange Rate Type		Selling		
Rate 01	1			Rate 02	54	Rate 03		102		
Round Off				Treaty Limit SI FC	5,000,000.00	Treaty PML SI FC				
Share Accepted	3,000,000.00			Net Retained	2,400,000.00	Amount Ceded to OWPT		600,000.00		
Cedant Retention Amt		Leader Name								
Retro Cession YN	☒	Retro Treaty Code								
EPI For Share Acceptable		Liability for Share Acceptable								
XL Protection		Net A/C Protection YN		☐						
Treaty Type*	SUR-01	Inward Treaty Type Code		PLA Limit		CLA Limit				
Loss Experience		Treaty Exclusions		Remarks						
Retro Treaty Desc				Treaty Exclusions BL						
Account To	Direct			Retro Treaty Type Desc						

Fig. 36 – Details Block

Class of Business

The class of businesses is the Fire/Marine/Motor and so on. A single proposal contains offers of various classes of businesses. Select the class of business from the LOV. The description to its code is displayed in the 'Class of Business Description' field.

	The Class of Business has to be unique for a Treaty Code.
---	---

Category

Select the inward treaty category from the LOV. The description is displayed in the 'Treaty Category Desc' field.

Treaty Type Code

Select the treaty type code from the LOV. The values in the LOV are displayed from the INWP TREATY TYPE CODE MASTER. The system displays the description of the code in the 'Treaty Type Desc' field.

Allocation Basis

Select the allocation basis from the drop down list. The options available and the purpose are:

- ☐ Policy – The ceding company sends the offer at the policy level, i.e., for the policy Sum Insured and premium
- ☐ Risk – The ceding company sends the offer for every risk
- ☐ Top SI – The ceding company sends the offer for all the risks in the transaction in the same proportion as the allocation for the Top SI
- ☐ Top PML/SI – The ceding company sends the offer for all the risks in the transaction in the same proportion as the allocation done for the risk with the highest PML SI (Probable Maximum Loss/Sum Insured)

Ceding Type

The Ceding Type enables the ceding company to ascertain the Ceding Company's offer to the Treaty. Select the ceding type from the drop-down list. The options available are:

- ☐ Lines Only –Based on the number of times of retention
- ☐ Percentage Only – Based on the percentage allocated
- ☐ Limits Only – The maximum amount possible to be ceded to the participant
- ☐ Lines with Limits – Based on the number of times of retention up to a limit (whichever is lesser amount)
- ☐ Percentage with Limits – Based on the percentage and up to the limit

Treaty Basis

Select the treaty basis from the drop down list. The options available are:

- ☐ Clean Cut – The treaty is valid for one year and the transaction is accepted only for that year
- ☐ Underwriting Year – The treaty is valid for the treaty number of years. It is usually more than one year

Number of Years

Enter the number of years in this field.

Share Offered %

It is the share percentage offered to the Re-Insurance Company out of the total Re-Insurance participants of the Treaty Type by which the proposal is sent by the Ceding Company.

Enter the percentage of share offered by the ceding company.

Share Accepted %

Enter the share accepted percentage by the Inward Treaty Company. This can be less than or equal to Share % offered.

Share Retained %

Enter the share percentage retained by the Inward Treaty Company. The remaining percentage is ceded to OWPT.

Share Ceded to OWPT%

It is the share percentage ceded to Outward Proportional Treaty.

Share Retained% + Share Ceded to OWPT% = 100.

If Share % ceded to OWPT is greater than 0, then the OWPT Treaty Type Code to which this share is ceded is captured in the OWPT block.

Brokerage %

Enter the brokerage percentage if the Re-insurance source is a 'Broker'.

Enter the class of business description in this field.



Ceding Basis

This field is used for accounting purposes.

Select from the LOV, the ceding basis code. The available options for ceding basis are:

- ☐ On Gross Rate (OGR) – Total premium (i.e., agency commission calculated for the policy is not deducted)
- ☐ On Net Rate (ONR) – (Total premium – Agency commission)



Allocation On

Select from the drop-down list to specify whether the Ceding company had made the RI allocation on SI or PML. The available values are:

- ☐ SI – Allocation is done on Sum Insured
- ☐ PML – Allocation is done on PML(Probable Maximum Loss)



Treaty A/C Period

Select the treaty accounting period from the drop-down list. The available values are:

- ☐ Monthly
- ☐ Quarterly
- ☐ Half-Yearly
- ☐ Annual



Treaty Currency

Select the treaty currency code from the LOV. The description for the code is displayed in the adjacent field.



Rate Basis

Select the rate basis as 'From Exchange Rate – Rate from the FMI Exchange Rate' option.



Exchange Rate Type

Select the rate type from the dropdown list. The available options are:

- ☐ Average
- ☐ Buying
- ☐ Fixed
- ☐ Selling

Rate 01/02/03

These are the Local Currency Rates, if the rate basis is:

- ☐ From the exchange – then depending on the rate type these values are automatically displayed
- ☐ User Enterable – then select the rate type and enter rate 1, 2 and 3 in the respective fields.



The highest of three rates is used during the premium calculation and the lowest is used during claim settlement.

Round Off

Enter or select the round off value from the LOV. The values displayed in LOV are parameterized. When the allocation is made, based on the Round Off value given in this column, the allocated value is rounded off.

Treaty Limit SI FC

Enter the offered SI amount for the inward treaty in that prescribed foreign currency.

Treaty PML SI FC

Enter the offered PML limit for the inward treaty in foreign currency.

Share Accepted

This field displays the value based on the allocation type. You are allowed to modify. Enter the amount of share accepted by the re-insurance company.

Net Retained

Enter the amount of share retained by the accepted company.

Amount Ceded to OWPT

Enter the amount of share ceded to OWPT by the accepted Company.

Cedent Retention Amount (who is giving the business to)

Enter the cedent retention amount.

Leader Name

Enter the name of the leader who is sharing the business through retrocession.

Leader Share %

Enter the percentage of share accepted by the leader .

☒ Retro Cession Y/N

When you enter values in the 'Share Retained %' and 'Share Ceded OWPT %' fields, this field get checked automatically.

Retro Treaty Code

Enter the Outward Proportional Treaty Code of the Re-Insurance Company where the Ceding Company is one of the participants.

Retro Treaty Type Code

Enter the Treaty Type Code in the Outward Proportional Treaty of the Re-Insurance Company in which the Ceding Company is one of the participants.

EPI (Earned Premium Income) for Share Acceptable

Enter the earned premium income for share acceptables.

Liability for Share Acceptable

Enter the liability of the share accepted.

☒ XL (Excess of Loss) Cover YN

Select the check box to specify whether, the XL cover is in-built. Only if this flag is checked, the XL Portfolio Premium and XL Claim Recovery are captured in the 'Inward Treaty Transaction' screen.

XL Protection

Select from the drop-down list to specify the XL protection. The available values are:

- ☐ Obligatory
- ☐ Non-Obligatory Taken
- ☐ Non-Obligatory Not Taken

☒ Net A/C Protection YN

Select the check box to capture XL treaty code and the XL treaty layer code in the Outward Non-Proportional Treaty block.

PLA Limit (Preliminary Loss Advice Limit)

Enter the Preliminary loss advice limit in this field. If the claim estimate amount exceeds the PLA limit defined in the treaty type, while the claims allocation is done, then a separate report is generated on request. This report is sent as intimation to the re-insurer (accepting the inward business) who makes necessary provision to pay the respective share in the claim.

CLA Limit (Cash Loss Advice Limit)

Enter the cash loss advice limit in this field. While claims allocation is made for the payment and if the payment amount exceeds the CLA limit defined in the treaty type then a separate report is generated based on request. This report is sent to the reinsurer so that in huge claims the insurer can recover the reinsurer's (accepting the inward business) share of the claim immediately to avoid a financial burden.

Treaty Type

Enter or select the treaty type code from the LOV. The LOV displays all the treaty codes with its description. Upon selection of the treaty code its description is automatically displayed in the adjacent field.



For the given business type the Treaty Type Code has to be unique.

Remarks

Enter any remarks or comments specific to the proposal.

Loss Experience

Enter the loss experience.

Treaty Exclusions

Enter the exclusions (if any) which are not to be considered in the Inward Treaty



Account To

Select from the drop-down list to specify the account to details as Broker or Agent.



Outward Proportional Treaty

This block enables you to allocate Inward Proportional Treaty to Outward Proportional Treaty. Click this button to enter the details. The screen displayed is shown below:

Treaty Code*	Tty Code Desc	Treaty Type Code*	Treaty Type Code Desc	Reciprocity No	Treaty %
ENGG/2013	Engineering treaty for 2013	SUR-01	Surplus		100

Treaty Type: SUR Surplus Treaty

Fig. 37 – Outward Proportional Treaty



Treaty Code

Select the treaty code from the LOV. The LOV displays only those Treaty Codes that have the Effective From/To dates between the Inward Proportional Proposal/Treaty 'From/To' dates. The description is automatically displayed in the adjacent field.



Treaty Type Code

Enter the treaty type code from the LOV. The LOV displays only those Treaty Type Codes related to Treaty Code. The description is automatically displayed in the adjacent field.



Combination of Treaty Code and Treaty Type Code must be unique.

Reciprocity Number

If the share percentage ceded to OWPT is greater than 0, then the reciprocity number of the OWPT Treaty Type Code to which this share is ceded is captured in this field. This field defaults the reciprocity number based on the OWPT Code.



Treaty %

Enter the percentage allocated to this Outward Proportional Treaty and Treaty Type.

Based on this percentage, premium claims paid and claim outstanding entered in Inward Treaty Transaction is apportioned and ceded to Outward Proportional Treaty and Treaty Type.



The sum of Outward Proportional Treaty percentage must be 100.

Treaty Type

This field displays the treaty type and the description in the adjacent field.

Click 'Back' to navigate to the main screen.



Outward Non-Proportional Treaty



This block is enterable only when the 'Net Account Protection' field is set to 'Yes'.

Click this button to enter the details. The screen displayed is shown below:

Treaty Code*	Treaty Desc	Layer Code*	Layer Code Desc
MotorX/L/2013	Motor XOL Treaty 2013	001	LAYER 1

Fig. 38 – Outward Non-Proportional Treaty



Treaty Code

Select the treaty code from the LOV. The LOV displays only those Treaty Codes that have the Effective From/To dates between the Inward Proportional Proposal/Treaty From/To dates. The description is automatically displayed in the adjacent field.



Layer Code

Select the Layer code from the LOV. The LOV displays only those Treaty Type Codes related to Treaty Code. The description is automatically displayed in the adjacent field.



- ☐ Combination of Layer Code and Treaty Type Code must be unique.
- ☐ Combination of Treaty Code and Layer Code must be unique.

Click 'Back' to navigate to the main screen.

INWARD PROPORTIONAL TREATY SETUP

The Inward Treaty Proposals converted to Treaty are queried using Proposal number or Treaty Code generated in Proposal in the Inward Proportional Treaty Setup screen. After approval, modifications in the treaty are done only by passing an Amendment.

	☐ You are not allowed to modify the details in the header block
	☐ Only Proposal is converted to Treaty

	When a Proposal is converted to Treaty, the Proposal number is generated. Copy that Proposal number and query it in the Setup-screen to view all the inward treaty details.
--	---

The screen displayed is shown below:

Inward Proportional Treaty Setup

INSURANCE CO LTD

Status: Approved

RI Company* 001 **INSURANCE CO LTD**

RI Division* 100 **Head Office**

Prop Receipt Dt 01/04/2013 **Treaty Year** 2013

Ref No MOTO-INW-2013-001 **Ref Dt** 01/04/2013

Treaty Code Inward Tty Motor 2013

Short Desc Motor Inward Treaty Proposal

Proposal Country* 4066 **INDIA**

Broker* IB00000001 **RI broker Int**

Ren Notice Period Notice of Cancel Days

Proposal Desc BL

Details

Class of Business*	Category*	Treaty Type Code*	Alloc Basis	Ceding Type	Treaty Basis	No. of Years	Share Offered %	Share Accepted %	Share Retained %	Share Ceded To OWPT%
10	01	QS	Policy	Percentag...	Under Writing...	5	60	50	40	60

Brokerage % 20 **Treaty Category Desc** Reciprocal Proportional - RP

Class of Business Desc Motor **Treaty Type Desc** IN-QS

Ceding Basis* 01 **On Gross Rate (Total Premium)**

Treaty Currency* 001 **US DOLLAR**

Rate 01 1 **Rate 02** 54 **Rate 03** 102

Round Off NEXT INTEG... **Treaty Limit SI FC** 1,000,000.00

Share Accepted 500,000.00 **Net Retained** 200,000.00

Cedant Retention Amt **Leader Name**

Retro Cession YN ☒ **Retro Treaty Code**

Treaty A/C Period Quarterly **Exchange Rate Type** Selling

Amount Ceded to OWPT 300,000.00 **Leader Share %**

Retro Treaty Type Code

Fig. 39 – Inward Proportional Treaty Setup

	For field-level descriptions refer the Inward Proportional Treaty Proposal section in the manual.
--	---

The buttons available in the header block are:

- ☐ Cancel
- ☐ Approve
- ☐ Amend

☐ Canl. Amend

☐ Renew

 **Cancel**

Click this button to cancel the treaty. The following screen is displayed.

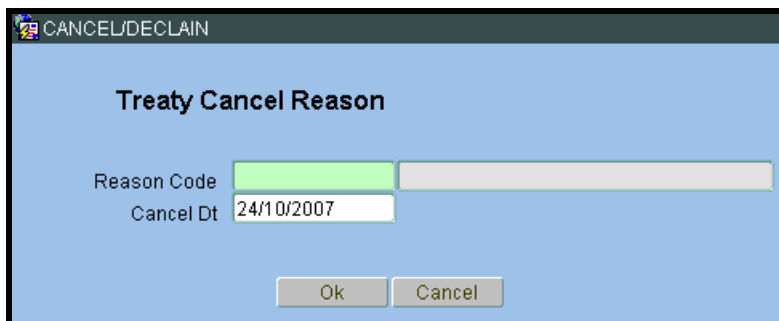


Fig. 40 – Treaty Cancel Reason

Reason Code

Enter the reason code from the LOV to cancel the treaty. This field is mandatory.

Cancel Date

Enter the date of cancelling the treaty. This field is mandatory.

	The Decline Cancellation Date cannot be earlier than the Effective From Date.
---	---

Click 'OK' to close the screen.

 **Approve**

Click this button to approve the treaty. The Setup is moved to history and the status of the treaty is changed to 'Approved'.

 **Amend**

Click this button to open the Treaty History form in the header block. The screen displayed is shown below:



Fig. 41 – Inward Proportional Treaty History Form

Click 'Amend' button in the Treaty History form. The screen displayed is given below:

Fig. 42 – Amend Treaty

Enter the new 'Effective From Dt' in the screen and click 'Ok'. Now, the user is allowed to modify the treaty details in displayed in the Header block.



Canl. Amend

Click this button to cancel the modifications done in the treaty details.



Renew

Click this button to renew the treaty. The screen is displayed as given below:

Fig. 43 – Treaty Renewal Process

Click 'Ok'. The Treaty Code is generated,



If the document Number generation is available for the IWPT Setup, the Treaty Code is automatically generated; else user has to enter the treaty code.

Details Block

The information displayed in the details block is similar to the details appearing in the 'IWTP' screen. The buttons available in the details block are:

- ☐ OW Prop
- ☐ OW Non Prop

- ☐ Terms
- ☐ Commission
- ☐ Close
- ☐ Cut-Off

OW Proportional

Please refer to the Details block of 'Inward Proportional Treaty Proposal' section.

OW Non-Prop

Please refer to the Details block of 'Inward Proportional Treaty Proposal' section.

Terms

Click this button to enter the premium entity details in the block highlighted in red color.

The screen displayed is shown below:

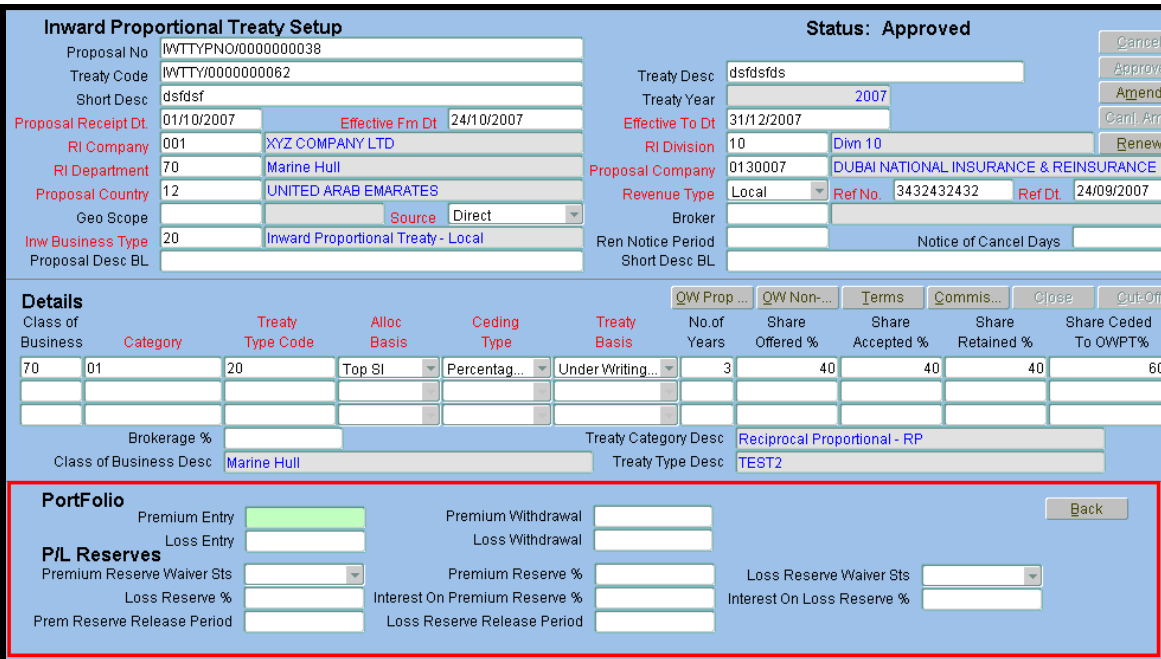


Fig. 44 – IW Proportional Treaty Setup – Terms block

Portfolio

Premium Entity

Enter the premium entity. This field accepts only numeric value.

Premium Withdrawal

Enter the premium withdrawal amount. This field accepts only numeric value.

Loss Entity

Enter the loss entity. This field accepts only numeric value.

Loss Withdrawal

Enter the loss withdrawal amount. This field accepts only numeric value.

P/L Reserves

Premium Reserve Waiver Sts

Select from the drop-down list to specify the Premium Reserve Waiver Status. The available values are:

- ☐ Waived
- ☐ Not Waived
- ☐ No Reserve

Premium Reserve %

Enter the Premium Reserve % if Premium Reserve Waiver status is 'Waived' or 'Not Waived'. If the option is 'Not Waived' then apply the percentage in the Inward Treaty Transaction. If 'No Reserve', then Premium Reserve Percentage is not accepted. This field accepts only a numeric value.

Loss Reserve Waiver Sts

Select from the drop-down list to specify the Loss Reserve Waiver status. The available values are:

- ☐ Waived
- ☐ Not Waived
- ☐ No Reserve

Loss Reserve %

Enter the Loss Reserve % if Premium Reserve Waiver status is 'Waived' or 'Not Waived'. If 'Not Waived', then apply the percentage in Inward Treaty Transaction. If 'No Reserve', then Loss Reserve % is not accepted. This field accepts only numeric value.

Interest on Premium Reserve%

Enter the Interest on Premium Reserve %. This field accepts only numeric value.

Interest On Loss Reserve %

Enter the Interest on Loss Reserve %. This field accepts only numeric value.

Premium Reserve Release Period

Enter the Premium Reserve Release Period. The available values are:

- ☐ Quarterly
- ☐ Half-Yearly
- ☐ Annual

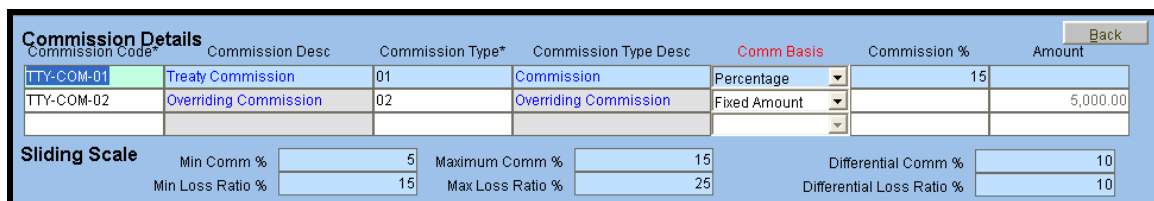
Loss Reserve Release Period

Enter the Loss Reserve Release Period. The available values are:

- ☐ Quarterly
- ☐ Half-Yearly
- ☐ Annual

Commission

Click this button to enter the commission details. The sample screen displayed is shown below:



The screenshot shows the 'Commission Details' screen with the following data:

Commission Code	Commission Desc	Commission Type*	Commission Type Desc	Comm Basis	Commission %	Amount
TTY-COM-01	Treaty Commission	01	Commission	Percentage	15	
TTY-COM-02	Overriding Commission	02	Overriding Commission	Fixed Amount		5,000.00

Below the table, there is a 'Sliding Scale' section with the following values:

Min Comm %	5	Maximum Comm %	15	Differential Comm %	10
Min Loss Ratio %	15	Max Loss Ratio %	25	Differential Loss Ratio %	10

Fig. 45 – IW Proportional Treaty Setup – Commission Details block

Commission Details

Commission Type

Select the type of commission code from the LOV. The description is displayed in the adjacent field.

Commission Code

Select the commission code from the LOV. The description is displayed in the adjacent field.

Commission Basis

Select from the drop-down list to enter the commission percentage or amount. The options available are:

- ☐ Percentage
- ☐ Fixed Amount

Commission %

When the 'Commission Basis' is selected as 'Percentage', this field is enabled. Enter the commission percentage.

Amount

When the 'Commission Basis' is selected as 'Fixed Amount', this field is enabled. Enter the commission amount.

Sliding Details

Min/Max Commission %

Enter the minimum and maximum commission percentage for the Sliding Scale Commission.

Differential Comm %

Enter the commission interval % for that Sliding Scale Commission.

Min/Max Loss Ratio %

Enter the minimum and maximum Loss Ratio for that Sliding Scale Commission.

Differential Loss Ratio %

Enter the Loss Ratio interval % for that Sliding Scale Commission.

Click 'Back' to navigate to the main screen.

 Close

It is possible to close the Inward Treaty for a Class of Business through Treaty Amendment. After closure date, transactions are not allowed for the closed Class of Business.

 Cut-Off

The Inward Treaty for a Class of Business is cut-off through Treaty Amendment by entering the cut-off reason. After the cut-off date, transactions are not allowed for the cut-off Class of Business.

NON PROPORTIONAL TREATY SETUP

A non-proportional treaty (also known as Excess of Loss Treaty) is an agreement, whereby the re-insurer agrees to pay the ceding company all the losses; which, exceeds a certain specified limit of retention of that ceding company. This limit is either a monetary one, or an Excess of Loss or a percentage, For example, the Stop Loss. Unlike the Proportional reinsurance based on proportional sharing of Premium and losses, in Excess of Loss, it is the amount of loss and the cover limited by amount that predominates. The Cover (also known as Layer) corresponds to the extent of losses assumed by the re-insurer. The Priority (also known as retention) refers to the amount of losses, which the insurer bears.

An example of this form of reinsurance is where the insurer is prepared to accept a loss of Rs.1 million for any loss and if there are losses of Rs.3 million then the insurer pays the Rs.3 million to the insured(s) and then recovers Rs.2 million (which is in excess of Rs 1 million) from their Re-insurer(s).

Excess of Loss Reinsurance (XOL) in the system are of following types.

- ☐ Working XOL (Risk or Event based)
- ☐ Catastrophe Coverage

Working XOL are the excess of loss treaties under which, both the ceding company and the Re-insurer accept that there are losses regularly and thus they protect the normal daily exposure of the business covered. The excess points are low and are easily attained by the losses. They are thus exposed, either for a policy or a risk.

There are two ways of arranging in working excess of loss covers.

- ☐ The first is to arrange for the Re-insurer to pay all losses arising out of one event, irrespective of the number of risks affected by the loss, in excess of the chosen priority
- ☐ The second is to arrange for the Re-insurer to pay all losses arising out of one event but calculated risk by risk. It is called as 'risk excess of loss'

Catastrophe coverage, on the other hand, protects the ceding company against the risk of accumulation in the event of one catastrophe, for example, an earthquake or a cyclone. This set up is used to configure non-proportional treaty.

The screen displayed is shown below:

Non Proportional Treaty Setup

Treaty Code* Fire/Engg/XOL/2014
 Description XOL Treaty 2014 Setup
 From Dt 01/01/2014 To Dt 31/12/2014
 Curr Code* 001 US DOLLAR
 Rate Type Buying Rate 1 1
 Round Off NO ROUND OFF
 Cover Type Open Cover Exp. Gnpi 322,143.00
 Treaty On On Net Retn and Spl Retn Exp. Alloc. Type Expenses to be inc.
 Link Tty Code
 Provisional Premium Method Installment Premium
 Deduct Retention YN Deduct Type Both claim & treaty

Bilingual Details

Description Fire & Engineering XOL Treaty 2012
 Short Description Fire & Engineering XOL treaty 20120

Sr No	Bus Type*	Layer Code*	Prem Calc Method	Priority	Limit	No Of Reinst	Reinst Basis	Aggregate Lmt
1	01	001	Flat Rate	150,000.00	300,000.00	2.00	Pro Rate	1,450,000.00
2	01	002	Flat Rate	300,000.00	500,000.00	1.00	Pro Rate	1,450,000.00
3	01	003	Flat Rate	500,000.00	1,500,000.00	1.00	Pro Rate	20,000,000.00

Treaty Accounting To Re-insurer
 Burning Cost Ratio
 Min Prem Rate
 Deductible .00
 Deposit Prem Rate
 Advice Limit
 Adj Rate 4.66
 Max Prem Rate
 Min Prem 13,500.00
 Deposit Prem 13,500.00
 Loading Factor NR
 Refund Bal Y/N
 Reinst Prem% 100.00
 Exclusion
 Layer Desc LAYER 1
 Loading Factor DR
 Notify Cancel Days
 Reinst Calc Method
 Amount

Fig. 46 – Non Proportional Treaty Setup

Treaty Code

Enter a new, unique treaty code in this field. If document set up exists then this code is auto generated.

Description

Enter a name or description for the code entered in Treaty Code field.

Short Description

The data entered in the description field is defaulted in this field. User is able to alter it if necessary. This description is used all through the application.

From Date / To date

Enter or select the start and end date of this treaty.

- | | |
|--|---|
| | <ul style="list-style-type: none"> ☐ To date is defaulted with one year from treaty 'From' date and user is able to modify it, if required ☐ Start and End Date of the treaty are not modified after approval ☐ Treaty End date has to be greater than treaty Start date ☐ Treaty Year is defaulted based on the appropriate set up, which is based on 'From' Date or 'To' Date. If the 'From' date is set as treaty year, then the year part of start date is displayed in this field and vice versa |
|--|---|

Treaty Year

Treaty Year is automatically displayed based on table set up (PCOM_APP_PARAMETER). If Start date is set as treaty year then start date year is displayed in this field and vice verse. User is allowed to modify the treaty year.

Premium Type

Enter or select from the LOV, the type of premium.

Currency Code

Enter or select the treaty currency from the LOV. The description is defaulted in the adjacent field. Allocations are made only in treaty currency.

Rate Basis

Select the rate basis from the drop-down list the options available are as follows:

- ☐ From Exchange Rate
- ☐ User Enterable

Rate Type

Select the rate type from the drop-down list the options available are as follows:

- ☐ Average
- ☐ Buying
- ☐ Fixed
- ☐ Quarterly Average
- ☐ Quarterly Selling
- ☐ Selling

Rate 1/Rate 2/Rate 3: These are the Local Currency Rates and displays appropriate values based on the value selection in the Rate Basis field. If the rate basis is

- ☐ From Exchange Rate: Depending on the rate type field selection, values are defaulted in these fields.
- ☐ User Enterable: Select the rate type and enter rate 1, 2 and 3 in the respective fields.

Round Off

Enter or select the round off value from the LOV. When allocation is made, based on the Round Off value, the allocated value is rounded off.

Attach Basis

Attach basis refers to the basis on which any eventual claim has to be handled. Attach basis is based on

- ☐ On Issue/Renewal Date: If this is selected, then losses under all policies issued during this treaty period are recovered from the treaty irrespective of the date of occurrence of losses
- ☐ Loss Date: If this is selected, then any loss occurred during the Treaty period, is recovered from the treaty though the related policies have been issued before the treaty 'From' date.



Level Code

Level code refers to the type of non-proportional treaty. There are four level codes available and depending upon the XL Treaty setup, select the respective level code.

- ☐ Working XL
- ☐ Catastrophic Coverage
- ☐ Stop Loss Treaty
- ☐ Umbrella Coverage



Cover Type

Enter or select from the LOV the Cover Type. Cover types are either Catastrophe or Open Cover

Expected Gross Net Premium Income (Exp.Gnpi)

Enter the Gross Net Premium Income (GNPI) for a portfolio covered by the XL treaty. For example, if the XL treaty is for fire, then the GNPI for fire in that particular year is to be considered.



Adjust Basis(Adj Basis)

Adjust Basis refers to the basis on which any eventual claim has to be handled.

Select the required option as one of the following:

- ☐ Normal
- ☐ Pro Rata Basis
- ☐ Fixed



Treaty On

This field refers to the level of retention to which the treaty setup is applied.

Treaty on is based on one of the following:

- ☐ Net Retention – If this option is selected, then the XL treaty has to cover the claims under Retention part of the Proportional Treaty and unallocated part is not covered
- ☐ Net Retention and Special Retention – In this case, both Retention and unallocated part of the Treaty are covered

Expense Allocation Type (Exp. Alloc Type)

Specify the allocation type of the expense from the drop-down list. The available values are:

- ☐ Expenses allocation in proportion to Loss – The expenses are added with the loss and allocation happens proportional to the loss
- ☐ Expenses to be included with Loss – The expenses in the claim are added along with the loss of claim
- ☐ Expenses to be excluded from allocation – The expenses are excluded from the claim allocation



Effective From / To Date

The effective from and to dates are displayed as start and end dates of the treaty.



During amendment, 'Effective from date' field is modifiable.

Provisional Premium Method

Select the method from the drop-down list to calculate the provisional premium from the drop-down list. The available values are:

- ☐ Provisional Premium Calculation
- ☐ Installment Premium Calculation

Provisional Premium Frequency

Select the frequency to calculate the provisional premium. The available values are:

- ☐ Monthly
- ☐ Quarterly
- ☐ Half yearly
- ☐ Annual

Deduct type

Select the type of deduction from the drop-down list. The available values are:

- ☐ Both claim & treaty deductibles to be considered
- ☐ Claim deductibles should not be considered
- ☐ Minimum of claim deductible and treaty deductible to be considered

☒ Deduct Retention Y/N

Select the checkbox to apply deduct retention.

TAB Peril Group

Click the 'Peril Group' tab to select and attach the peril classes to peril groups. Peril Group is a logical grouping of peril class. For group of peril class, the range limits and participants are same; hence, instead of defining the treaty limits for each peril class, it is defined for the peril group.

Peril Group*	Description
PG-250001	PERIL GROUP FOR 2500 MATERIAL DAMAGE
PG-1500	Peril Group for Fire

Fig. 47 – Peril Group

Peril Group

Enter or select the peril group codes from the LOV. The description corresponding to peril group code is defaulted in the description field.

Applicable Perils

Click this button to set applicable peril class across various products. Peril Class is mapped to a product, section and cover.

A peril class contains several covers coming under several sections of several products.



For more information on Peril Class Setup, refer to the respective section.

Peril Group

Peril Class*	Description
PC-250101	Peril Class for 2501 Material Damage
PC-250102	Peril Class for 2501 Third Party

Fig. 48 – Applicable Perils

Peril Class

Enter or select the peril class code from the LOV. The description of that peril class code is defaulted in the description field.



Duplication of Peril Class is not allowed across the Treaty

Click 'Back' to view the previous screen.

TAB Layer

Click the 'Layer' tab to enter the layer details of the non-proportional treaty set up.

The screen displayed is shown below:

Peril Group

Sr No	Bus Type*	Layer Code*	Prem Calc Method	Priority	Limit	No Of Reinst	Reinst Basis	Aggregate Lmt
1	01	001	Flat Rate	150,000.00	300,000.00	2.00	Pro Rate	1,450,000.00
2	01	002	Flat Rate	300,000.00	500,000.00	1.00	Pro Rate	1,450,000.00
3	01	003	Flat Rate	500,000.00	1,500,000.00	1.00	Pro Rate	20,000,000.00

Treaty Accounting To Advice Limit Loading Factor NR Loading Factor DR

Burning Cost Ratio Adj Rate Refund Bal Y/N Notify Cancel Days

Min Prem Rate Max Prem Rate Reinst Prem% Reinst Calc Method

Deductible Deposit Prem Exclusion

Fig. 49 – Layer

Sr No(Serial Number)

The system, by default, displays the serial number in sequence. User is not allowed to modify it.

Business Type

Enter or select the business type code from the LOV. The values displayed in LOV are as follows

- ☐ 01 – Direct/Coins inward
- ☐ 02 – FAC Inward Local
- ☐ 03 – FAC Inward Foreign

The description of the business type code is displayed in the 'Business Type Description' field below the multi record block.

Layer Code

Select the appropriate layer code from the LOV. Layer codes are displayed as defined in the Codes Master.

Premium Calculation Method

Select from the drop down menu, the Premium Calculation Method.

The available methods are:

- ☐ Flat Rate – Select this option if the Excess Loss Premium payable is based on fixed percentage of the Actual Net Premium Income of the portfolio protected by the XL treaty
- ☐ Fixed – Select this option if the Excess Loss Premium is a fixed amount
- ☐ Burning Cost – Select this option if the Excess Loss Premium is variable percentage of GNPI, based on the Claims burden

Priority

Priority refers to the amount, which the direct insurer is prepared to bear. Only when this amount is exceeded, the Re-insurer becomes liable to pay. The priority refers to an individual loss, an accumulation loss or the total of all annual losses. The Limit of First layer automatically becomes the Priority for the Second layer, if the second layer exists. This sequence is repeated till the last layer.

	After defining the limits for each layer and saving, if user changes the limits in any of the layers (except for the last layer), the changes are reflected in the other layers in the Priority field then the Limits field has to be manually changed by the user.
---	---

Limit

This is the maximum amount up to which this layer covers when the claim exceeds the priority.

	The Limit minus Priority is known as the capacity for the layer.
---	--

No. of Reinst (Number of Reinstatements)

Enter the number of times to reinstatement a particular layer.

	☐ For Catastrophic XOL treaties, this field is defaulted with 'Zero' as the value and users are not allowed to modify ☐ Functionality is not yet handled for the Reinstatement Basis field.
---	--

Reinst Basis

Enter or select the reinstatement from the LOV. Any of the following reinstatement bases:

- ☐ Full
☐ Pro Rate



Treaty Accounting To

Select from the LOV the Treaty Accounting To type. Treaty Accounting To type is of two types such as 'Re-insurer' or 'Broker' and default display value is 'Re-insurer'. Based on the selection in this field, the accounting entry is generated.

Advice Limit

Advice Limit refers to the Limit defined by the Treaty. During claims, if the estimate amount exceeds this limit, then the re-insurers have to be intimated.

Loading Factor NR/DR

This field is enabled if the calculation method is burning cost. The field is defaulted with '1' as the value and users are allowed to modify this value.

Burning Cost Ratio

Enter the burning cost ratio.

Adjustment Rate (Adj Rate)

This field is enterable only if the 'Flat Rate' is selected as the premium calculation method. Enter the adjustment rate applicable to the layer in this field.

Refund Balance Y/N

Select this checkbox if the deposit premium paid is more than the actual XI premium payable at the end of treaty period for this layer.

Notify Cancel Days

Enter the days required to notify before cancellation of a layer. This is used for information purpose only.

Minimum/Maximum Premium Rate

This field is enterable only if the 'Burning Cost' is selected as the premium calculation method. Enter the minimum and maximum premium rates applicable. These rates are used to determine the premium rate chargeable under the burning cost method. If the burning cost rate works out to be less than the minimum rate, then the minimum rate is applicable. If the rate is more than the maximum rate, then the maximum rate is applicable.

Exclusion

This field is used to capture any exclusion under the treaty. The value entered in this field is used for information purpose only.

Reinstatement Premium Percentage

Enter the reinstatement premium percentage value in this field.



Value entered in this field has to be less than 100 percent.

Deposit/Minimum Premium

Enter the applicable deposit/minimum premium in this field.

Deposit Premium Rate

Enter the deposit premium rate

Reinstatement Calculation Method

Select from the drop down list, the appropriate reinstatement calculation method. The available reinstatement calculation methods are:

- ☐ Amount
- ☐ Time
- ☐ Time and Amount



The following blocks within the layer block are line item (layer details) dependent. Select a particular serial number to map the appropriate setup for the layer.

Business Type

Select the business type from the LOV.

Click 'Save' to save the details entered.



Reinstatement Details



This multi-record block is accessible only if reinstatement is applicable to the selected layer.

Click 'Reint Dtls' button to view and modify the reinstatement percentage information for the selected layer.

The screen displayed is shown below:

Reinst No	Reinst %
1	100.00

Fig. 50 – Reinstatement Details

Layer

This field defaults the layer code and description of the selected layer.



Reinstatement number

This field reflects the number of reinstatements entered in the layer block.

Reinstatement Premium Percentage

The reinstatement number entered in the layer block is defaulted across the reinstatement number (Users have to start from '1' till specified number of reinstatement). Users are allowed to modify the same.

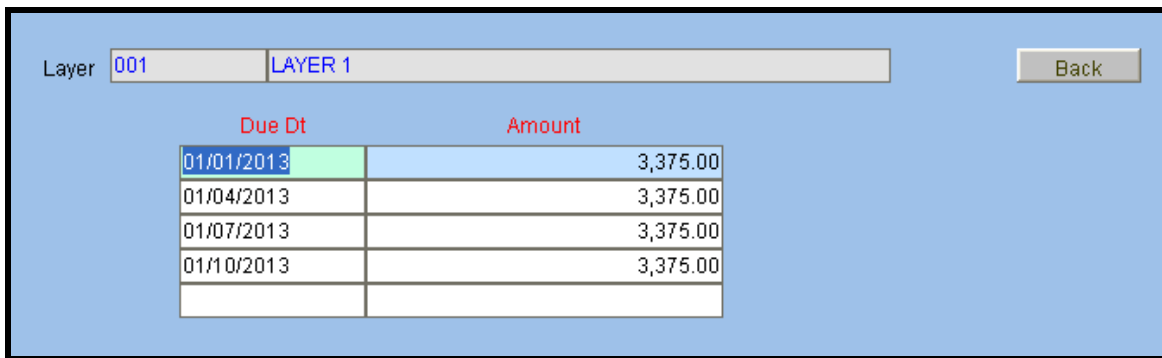
Click 'Back' to return to the previous screen.

Instalment Details

This multi-record block is used to capture the details of the deposit premium payable dates for each layer.

Click this button to enter the installment details of the Deposit Premium payable for the selected layer.

The screen displayed is shown below:



Due Dt	Amount
01/01/2013	3,375.00
01/04/2013	3,375.00
01/07/2013	3,375.00
01/10/2013	3,375.00

Fig. 51 – Installment Detail

Layer

This field automatically displays the layer code and description of the selected layer.

Due Date

Enter or select from the application calendar the due date of the installment.

Amount

Enter the installment amount in this field.

Click 'Back' to return to the previous screen.

Participant

Click this button to capture the details of the participating Reinsurance companies for the selected layer.

The screen displayed is shown below:

Customer Code*	Broker Code*	Intermediate Broker*	Share%	Leader Y/N
R10000001			100.00	☒
				☐
				☐
				☐
				☐

Customer Name: Swiss Re
 Broker Name:
 Intermediate Broker Name:
 Prov. Prem. Perc:

Fig. 52 – Participant Details

Layer Code

This field defaults the layer code and description of the selected layer.



Customer Code

Enter or select the customer code from the LOV. The description of it is defaulted in the 'Customer Name' field.

Broker Code

Enter or select the broker code from the LOV. The description of it is defaulted in the 'Broker Name' field.

Intermediate Broker Code

Participants are enrolled through intermediate brokers if the arrangement is through foreign brokers. In such scenarios, enter or select the intermediate broker code from the LOV. The description of it is defaulted in the 'Intermediate Broker Name' field.



Share %

Enter the share percentage in this field.



Leader Y/N

Select this checkbox if the selected customer is the leader for the layer.

On completion of all the field entries, select the 'Save' button to save the transaction.



Limit Details

Click 'Limit Details' to enter the treaty type limits for each peril group of layer.

The screen displayed is shown below:

Fig. 53 – Peril Group Limit Details

Layer Code

This field defaults the selected layer code and description for which the limits are to be entered.

The following are the factors based on which the Peril Group Limit Details screen operates:

	☐ For each peril group selected, the Priority, Limits and Aggregate Limits fields pick up the respective value from the Layer block information. These fields are modifiable but always ensure that the limit entered is greater than the priority value ☐ Limit and Aggregate Limit capacity at the Peril Group Limit Details level has to be less than what is defined at the layer level. Else, the application indicates it through the display of error message ☐ If the same peril group is defined for a layer and is repeated for the next layer, then the application validates and displays the limit entered in the above layer as the priority in the next layer ☐ Peril Groups has to be sequentially defined across layers
--	---

Peril Group

Select the peril group code from the LOV. The description is automatically defaulted in the 'Peril Group Desc' field.

Priority

This field defaults the layer Priority value. User can modify the value.

Limit

This field defaults the layer Limit. User can modify the value.

Aggregate Limit

This field displays the default value. User can modify the value.

Ensure that the aggregate limit is greater than the capacity of the layer.

Reinstatement Mode

Reinstatement refers to the restoration of layer values on recovery of Claims from XL Treaty. Select the reinstatement mode from the drop-down menu. The available reinstatement modes are:

- ☐ Automatic: Select this option if reinstatement needs to happen automatically up to the reinstatement allocation value set in the application when a claim payment is allocated to XL Treaty
- ☐ Manual: Select this option if users have to manually do the reinstatement process after claims allocation

	Minimum/Maximum Loss Ratio Percentage, Maximum Limit and Reinsurance Share Percentage fields are currently non functional.
---	--

On completion of all the field entries, click the 'Save' button to save the transaction.

Approve

Click this button to approve the Non-Proportional Treaty Program. A window pop-up is displayed as shown below:

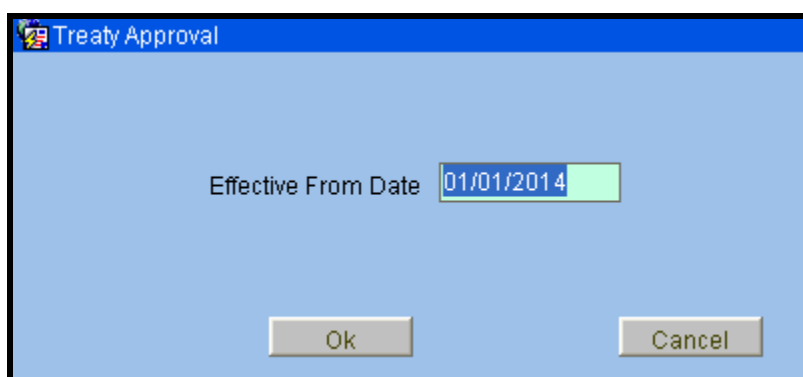


Fig. 54 – Approval Details Window

Effective From Date

The 'Effective From Date' value from the header block is defaulted in this field. If modification is required, enter or select the effective from date of the approval from the application calendar. The effective from date must be within the treaty effective from and to dates.

Click 'OK' to approve the treaty program. Upon approval, the Approve button on the screen is disabled and no changes are made (except through Amendment) to the treaty program. The screen displays 'Approved' as the current status.

Click 'Cancel' to cancel the process.

Amendment

To make amendments (changes) to the treaty program, perform the following:

Click 'Amendment' button. The screen displayed is shown below:

Non Proportion Treaty Setup - History

Treaty Code: Fire/Engg/XOL/2014
 Description: XOL Treaty 2014 Setup
 Fm Dt: 01/01/2014 To Dt: 31/12/2014
 Curr Code: 001 US DOLLAR
 Rate Type: Buying Rate 1: 1
 Round Off: NO ROUND OFF Attach Basis: On Loss date
 Cover Type: Open Cover Gmpi: 322,143.00
 Treaty On: On Net Retn an... Exp. Alloc.Type: Expenses to be inc...
 Link Tty Code: Provisional Premium Method: Installment Premium ...
 Bi Lingual Details: Deduct Type: Both claim & treaty ded...
 Description: Fire & Engineering XOL Treaty 2012
 Short Desc: Fire & Engineering XOL treaty 20120

Short Desc: XOL Treaty 2014 Setup
 Treaty Year: 2014 Prem Typ: Written Premium
 Rate Bas: From Exchange Rate
 Rate 2: 1 Rate 3: 1 Amend
 Level Code: Working XL
 Adj Basis: Normal
 Effective From: 01/01/2014 Effective To: 31/12/2014
 Description: Provisional Premium Frequency: Deduct Retention Y/N: ☐

Peril Group Layer

Sr No	Bus Type	Layer Code	Prem Calc Method	Priority	Limit	No Of Reinst	Reinst Basis	Aggregate Lmt
1	01	001	Fiat Rate	150,000.00	300,000.00	2.00	Pro Rate	1,450,000.00
2	01	002	Fiat Rate	300,000.00	500,000.00	1.00	Pro Rate	1,450,000.00
3	01	003	Fiat Rate	500,000.00	1,500,000.00	1.00	Pro Rate	20,000,000.00

Treaty Accounting To: Re-insurer Advice Limit: Loading Factor Nr: Loading Factor Dr:
 Buying Cost Ratio: Adj Rate: 4.66 Refund Bal Y/N: Notice Cancel Days:
 Min Prem Rate: Max Prem Rate: Exclusion:
 Deposit Prem: 13,500.00 Min Prem: 13,500.00 Reinst Prem %: 100 Deposit Prem Rate:
 Reinst Calc Method: Amount Deductible: 0 Layer Desc: LAYER 1
 Bus type:

Fig. 55 – Non-Proportional Treaty Setup – History

Click 'Amend' button, the application revert to the non-proportional treaty set up main screen.

Make the required changes/amendments and click 'Approve' button to approve the amendments made to the treaty program.

 Approval date has to be greater than or equal to previous amendment date.



Cancel Amendment

Click 'Can Amend' button. A message pops up asking for confirmation as shown below:

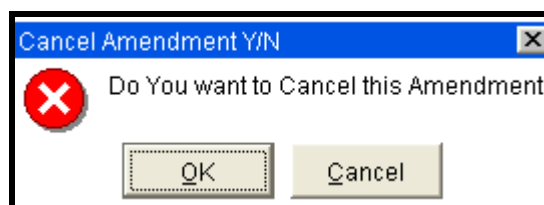


Fig. 56 – Cancel Amendment – Confirmation Window

Click 'OK'. As a result of this action, the current records are deleted from the treaty program and the latest approved records are pulled up from the history table.

Click 'Cancel' to cancel the process.



Renewal

Renewal button is displayed only when the selected treaty program is approved. By default the treaty program is valid for one year. Through this renewal option, user is allowed to renew the treaty program for next year.



In the renewed treaty, treaty program undergoes some changes like withdrawal/inclusion of new participants/increase or decrease in participant share/change in treaty limits.

Click 'Renew' button to renew the treaty program. A window pops up as shown below:

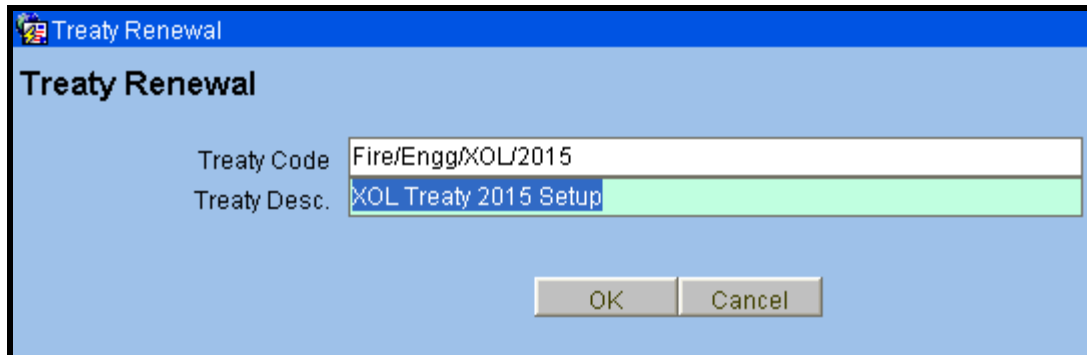


Fig. 57 – Treaty Renewal Window

Click 'OK' to proceed with renewal process. A message window is displayed as shown below asking for the confirmation for renewal processing.

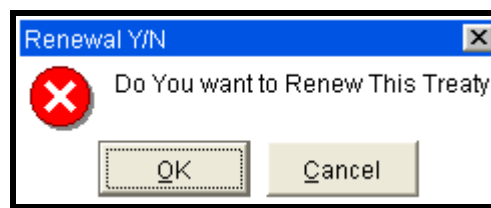


Fig. 58 – Renewal Confirmation Window

Click 'OK' to proceed with the renewal process, or else click 'Cancel' to stop the renewal process.

On clicking 'Yes', the system displays the screen as shown below (sample screen) with the newly entered treaty code.

Non Proportional Treaty Setup Incomplete

Treaty Code* **Fire/Engg/XOL/2015**
 Description **XOL Treaty 2015 Setup**
 From Dt **01/01/2015** To Dt **31/12/2015**
 Curr Code* **001** **US DOLLAR**
 Rate Type **Buying** Rate 1 **1**
 Round Off **NO ROUND OFF**
 Cover Type **Open Cover** Exp. Gnpi **322,143.00**
 Treaty On **On Net Retn and Spl Retn** Exp. Alloc.Type **Expenses to be inc...**
 Link Tty Code
 Provisional Premium Method **Installment Premium...**
 Deduct Retention YN ☐ Deduct Type **Both claim & treaty...**

Short Description **XOL Treaty 2015 Setup**
 Treaty Year **2015** Prem Typ **Written Premium**
 Rate Basis **From Exchange Rate**
 Rate 2 **1** Rate 3 **1**
 Level Code **Working XL**
 Attach Basis **On Loss date** Adj Basis **Normal**
 Effective From **01/01/2015** Effective To **31/12/2015**
 Description
 Provisional Premium Frequency

Bilingual Details
 Description **Fire & Engineering XOL Treaty 2012**
 Short Description **Fire & Engineering XOL treaty 20120**

Peril Group **Layer**

Reinst Dets. **Inst Dets.** **Limit Dets.** **Participa...**

Sr No	Bus Type*	Layer Code*	Prem Calc Method	Priority	Limit	No Of Reinst	Reinst Basis	Aggregate Lmt
1	01	001	Flat Rate	150,000.00	300,000.00	2.00	Pro Rate	1,450,000.00
2	01	002	Flat Rate	300,000.00	500,000.00	1.00	Pro Rate	1,450,000.00
3	01	003	Flat Rate	500,000.00	1,500,000.00	1.00	Pro Rate	20,000,000.00

Treaty Accounting To **Re-insurer** Advice Limit Loading Factor NR Loading Factor DR
 Burning Cost Ratio Adj Rate **4.66** Refund Bal Y/N ☐
 Min Prem Rate Max Prem Rate Reinst Prem% **100.00** Notify Cancel Days
 Deductible **.00** Min Prem **13,500.00** Exclusion Reinst Calc Method **Amount**
 Deposit Prem Rate Deposit Prem **13,500.00** Layer Desc **LAYER 1**

Fig. 59 – Non Proportional Treaty Setup – After Renewal

Outward Proportional Treaty

This block enables user to allocate Inward Proportional Treaty to Outward Proportional Treaty. Click this button to enter the details. The screen displayed is shown below:

Outward Proportional Treaty Back

Treaty Code	Tty Code Desc	Treaty Type Code	Treaty Type Code Desc	Reciprocity No	Treaty %
6001/2007/00001	Marine Cargo Treaty setup for 2007	SUR-01	Retention		100

Treaty Type **RETN** **Retention**

Fig. 60 – Outward Proportional Treaty

Treaty Code

Select the treaty code from the LOV. The LOV displays only those Treaty Codes that have the Effective From/To dates between the Inward Proportional Proposal/Treaty 'From/To' dates. The treaty code description is automatically displayed in the adjacent field.

Treaty Type Code

Enter the treaty type code from the LOV. The LOV displays only those Treaty Type Codes related to Treaty Code. The description is automatically displayed in the adjacent field.



Combination of Treaty Code and Treaty Type Code must be unique.

Reciprocity Number

If the share percentage ceded to OWPT is greater than 0, then the reciprocity number of the OWPT Treaty Type Code to which this share is ceded is captured in this field. This field defaults the reciprocity number based on the OWPT Code.

Treaty %

Enter the percentage allocated to this Outward Proportional Treaty and Treaty Type.

Based on this percentage, premium claims paid and claim outstanding entered in Inward Treaty Transaction is apportioned and ceded to Outward Proportional Treaty and Treaty Type.



The sum of Outward Proportional Treaty percentage must be 100.

Treaty Type

This field displays the treaty type and the description in the adjacent field.

Click 'Back' to navigate to the main screen.



Outward Non-Proportional Treaty

This block is enterable only when the 'Net Account Protection' field is set to 'Yes'. Click this button to enter the details. The screen displayed is shown below:

Treaty Code	Treaty Desc	Layer Code	Layer Code Desc
7501/2007/0001	Non-Proportional Treaty for Avail	001	LAYER 1

Fig. 61 – Outward Non-Proportional Treaty

Treaty Code

Select the treaty code from the LOV. The LOV displays only those Treaty Codes that have the Effective From/To dates between the Inward Proportional Proposal/Treaty From/To dates. The description is automatically displayed in the adjacent field.

Layer Code

Select the Layer code from the LOV. The LOV displays only those Treaty Type Codes related to Treaty Code. The description is automatically displayed in the adjacent field.



- ☐ Combination of Layer Code and Treaty Type Code must be unique.
- ☐ Combination of Treaty Code and Layer Code must be unique.

Click 'Back' to navigate to the main screen.

RETENTION LIMIT MASTER

The RA Retention Limit Master screen enables the user to define the retention limit for a particular RA Group ID. The screen displayed is shown below:

Fig. 62 – RA Retention Limit Master

RA Group ID

Enter the RA Group ID.

Effective From and To Date

The system displays the effective period.

Data Elements

The system displays the data elements based on RA Group ID.

Value

Enter the value for the corresponding data element

Retention Limit

Enter the retention Limit for the created RA group ID.



The Retention value is taken instead of the treaty setup retention limit. This enables the insurance company to control or minimize the retention share of the risk.

On completing the field entries, click 'save' icon to save the details and approve the Setup.



Amend

Click this button to make changes to the RA Retention limit.



View History

Click this button to view the history details of the RA Retention limit details.

The screen displayed is shown below:

Effective From	Effective To	Retention Limit
01/10/2007	31/03/2008	5,000.00

Fig. 63 – RA Retention History Details



Approve

Click this button to approve the retention limit.

RA GROUP ID

The RA Group ID menu is used to define the risk accumulation grouping criteria across products at section level. Based on the risk accumulation criteria, various risks under policies across the product are accumulated for RI allocation. This enables the insurance company to control or minimize the retention share of the risk.

The screen displayed is shown below:

RA Risk Group Master

RA Group ID: 000010

From Date: 01/04/2013 To Date: 31/03/2014

Incomplete

Approve

Data Elements*	Data Caption
PRAI_CODE_01	Type of Industry
PRAI_CODE_02	Occupation
PRAI_CODE_06	Risk Location

Fig. 64 – RA Group ID

RA Group ID

This is a unique number generated on saving the RA risk group master.

From/To date

Specify the period for which this RA Group ID is applicable.

Data Elements

Select the criteria data element from the LOV.

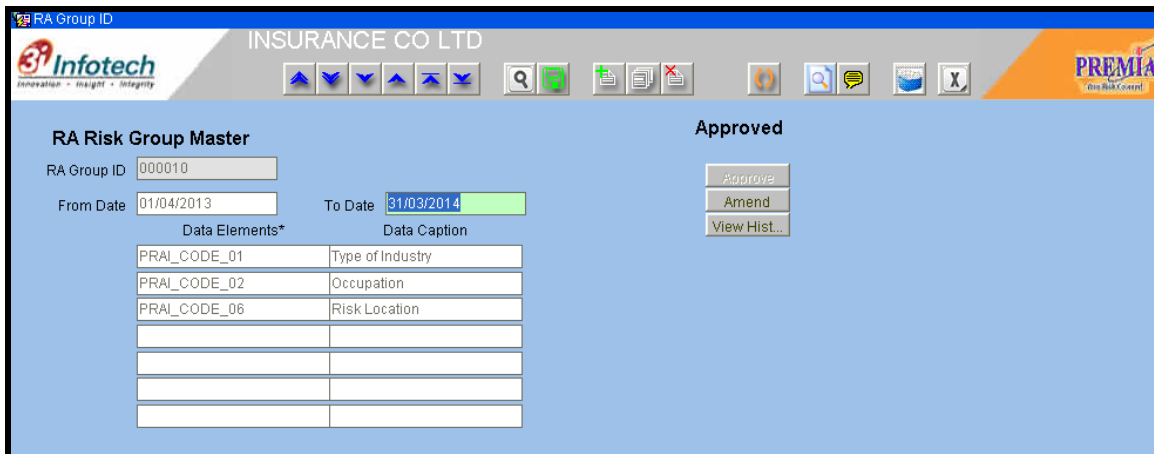
Caption

Enter the caption for the data element.

Click 'Save' to save the ID at section level.

Approve

Click the 'Approve' button to approve the RA Group ID. On approval the status is changed to 'Approved'.



RA Risk Group Master

RA Group ID: 000010

From Date: 01/04/2013 To Date: 31/03/2014

Data Elements*	Data Caption
PRAI_CODE_01	Type of Industry
PRAI_CODE_02	Occupation
PRAI_CODE_06	Risk Location

Approved

Approve
Amend
View Hist...

Fig. 65 – RA Risk Group Master – Approved Status

Click 'Amend' to modify the Risk Group Id details

Click 'View History' to view the history of amendments made to RA Group ID.

To map this group ID to a RA applicable product or across products, select the 'RA Group ID' from the LOV in the 'Product Setup' screen at the 'Section' level tab which appears under the 'Masters' menu.



During RA Group ID mapping at section level, you are allowed to map only those ID's which have the product effective period within the RA Group ID's effective period.

The screen displayed is shown below:

Product Set Up Version No : V-10.10.00

Infotech
Innovation • Insight • Integrity

INSURANCE CO LTD

Product Setup

Product Code*	2002	Fire & Allied Perils with LOP	Short Desc.	Fire & Allied Perils with LOP
Class Code*	20	Fire	Annual Prod Y/N	☒
Refund Type	INCLUDE EFF. FROM D... ▾			
Min. Premium (LC 1)	5,000.00		Inw Comm	▾
Effective From	01/01/2000	To	Max. Discount Perc	▭
Tariff Applicable	☐		Prod.Dur Type	Normal ▾
			IBNR Process Applicable YN	☐
			Min. Max. SI	▾
			Min. Max. Premium	▾
			Min. Max. Charge	▾

BI-Lingual Details

Description	▭
Short Desc.	▭

Division

Condition

Deductible

Discount

Loading

Set XY P...

Delete

Others

Section
Cum. Bonus
IBNR

Section Code*	Description	Policy Type*	Description	RA Group ID*	SMI Rate Indicator	Duplicate SMI Allowed
200201	Fire Material Damage	2002	Fire & Allied Perils with LOP	000012	User Entered Rate ▾	☐
200202	Fire and Allied Perils LOP	2002	Fire & Allied Perils with LOP		User Entered Rate ▾	☐
						☐
						☐
						☐

Minimum Premium In LC1

Block

Cover

Still

Plan Setup

Condition

Deductible

Discount

Loading

Fig. 66 – Product Setup – RA Group ID

FAC PLACEMENTS

FAC POOL

The FAC Pool screen enables user to default the participants and their corresponding commission details in the 'FAC Placement' screen.

The screen displayed is shown below:

FAC Pool Header		FAC Pool Id		FAC Pool Id desc	FAC Pool Bus Type		Incomplete		Approve	
FAC Pool Id desc BL	TESTING 131			TESTING-131						History
FAC Pool Id Eff.Fm Dt	30/10/2013									Amend
FAC Pool Id Eff.To Dt	31/12/2013									Canc. A...
FAC SI Curr Code*	001			US DOLLAR						Cancel P...
FAC Prem Curr Code*	001			US DOLLAR						Retro
Rate Type	Selling									
Rate Basis	Fixed									

FAC Pool Participants							Retro YN
Customer Code*	Customer Code Desc	Share Perc	SI Currency Code*	Broker Code*	Brk Code Desc		
RL0000002	Mr.Re - Insurance	100	001	LB0000001	Local Brokers		☐
							☐
							☐
							☐
							☐
Total		100	SI Curr Code Desc	US DOLLAR			

FAC Pool Commission							
Sr.No	Comm/Tax Flag	Tax/Commission	Commission/Tax	Comm.Code*	Comm Code Desc	Comm.Perc	Comm On
1	Commission	FAC_OUT_COMM	On Gross	FAC_OUT_CO_1	Fac Out Commission	100	SI

Tax/Commission Desc* FAC Out Commission Code

Fig. 67 – FAC Pool

FAC Pool Header



FAC Pool Id

Enter a unique FAC Pool ID.



Fac Pool Id Desc

Enter the description for that new pool ID.

Fac Pool Bus Type

Select the business type for the new fac pool from the drop-down list. The available values are:

- ☐ Local Out Business – Participants are local
- ☐ Fac-Out Business – Participants are from abroad



Fac Pool id Eff. From/To Date

Enter the effective from and to dates from the calendar.



FAC SI / Premium Curr Code

Enter or select from the LOV, the applicable FAC SI / Premium.



Rate Type

Enter or select from the LOV, the applicable rate type.



Rate Basis

Enter or select from the LOV, the rate basis.

FAC Pool Participants



Customer Code

Enter or select the customer code from the LOV. The description is displayed in the adjacent field.



Share Percentage

Enter the share percentage for that customer.



The Total field displays the total of all the share percentages entered. The participants share percentage should be equal to 100.

Currency Code

Enter or select the currency code from the LOV.

Broker Code

Enter or select the re-insurer broker code from the LOV. The broker description is displayed in the adjacent field.

☒ Retro YN

Select the check box to specify that the customer is ceding it to another re-insurer.

The 'Retro' button gets enabled. This enables user to define the share percentage and retro commission values.

Total

This field displays the total share percentage value.

FAC Pool Commission



Commission Tax Flag

Select from the drop-down list the required option to specify the commission calculation:

- ☐ Tax
- ☐ Commission



Tax/Commission

Select the tax/commission from the drop-down list. The description is displayed in the 'Tax/Commission Desc' field.



Commission/Tax

Select the commission/tax from the drop-down list. The options available are:

- ☐ On Gross
- ☐ On Net



Commission Code

Enter or select the commission code from the LOV. The description is displayed in the adjacent field.



Commission Percentage

Enter the commission percentage.



Commission On

Select the commission to be applied on from the drop-down list. The available values are:

- ☐ SI
- ☐ Premium

Click 'Save' to save the entered details.

Approve

Click 'Approve' to approve this treaty program. A pop-up window displayed is shown below:

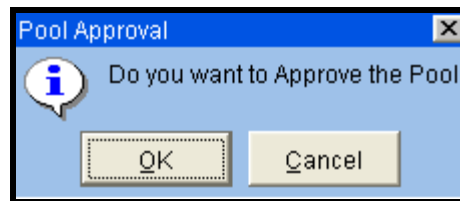


Fig. 68 – Pool Approval

Click 'OK' to approve the treaty program.

On approval, the Approve button in the screen is disabled and no changes are possible (except through Amendment) to the treaty program. The screen displays the current status as 'Approved'.

Click 'Cancel' to cancel the process.

Amend

Click this button to make amendments (changes) to the FAC pool. The screen displayed is shown below:

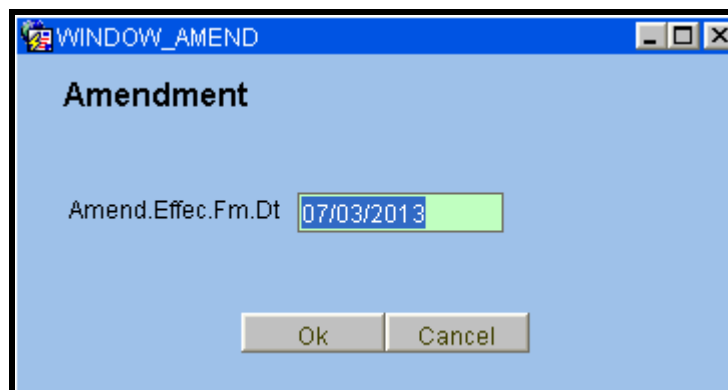


Fig. 69 – Amendment

Amendment Effective From Date

Select the date, from when the change becomes effective.

Click 'OK'.

Make the required changes/amendments and click 'Approve' button to approve the amendments made to the treaty program.

	Approval date has to be greater than or equal to previous amendment date.
---	---

Can. Amend

Click this button to cancel the changes made to the FAC pool.

History

Click this button to view the FAC Pool details in the FAC Pool Header, Participants and Commission History blocks.

The screen displayed is shown below:

FAC Pool Header - History

FAC Pool id	TESTING	No. of Amendments	0
FAC Pool id desc	TESTING-131	Pool Amended on	14/06/2013
FAC Pool id desc BL	TESTING 131	FAC Pool Bus Type	FAC Out Local
FAC Pool id Eff.Fm Dt	01/01/2013	FAC Pool id Eff.To Dt	31/12/2013
FAC SI Curr Code	001	Rate Type	Selling
FAC Prem Curr Code		Rate Basis	Fixed

Retro

FAC Pool Participants - History

Customer Code	Customer Code Desc	Share Perc	SI Currency Code	Broker Code	Brk Code Desc	Retro YN
RL0000002	Mr.Re - Insurance	100	001	LB0000001	Local Brokers	☐
						☐
						☐
						☐
						☐

SI Curr Code Desc: US DOLLAR

FAC Pool Commission - History

Sr.No	Comm/Tax Flag	Tax/Commission	Commission/Tax	Comm.Code	Comm Code Desc	Comm.Perc	Comm On
1	Commission	FAC_OUT_COMM	On Gross	FAC_OUT_CO_1	Fac Out Commission	100	SI

Tax/Comm Desc: FAC Out Commission Code

Fig. 70 – FAC Pool History

Cancel Pool

Before approval of the amendment, user can cancel it by clicking the 'Can Amend' button.

A confirmation window is displayed as shown below:

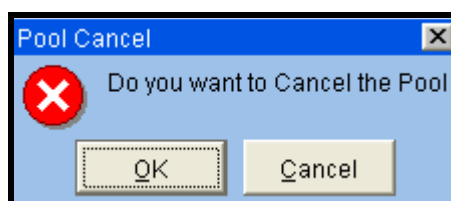


Fig. 71 – Pool Cancel Confirmation Window

Click 'OK'. The screen displayed is shown below:



Fig. 72 – Pool Cancellation

Cancel Effective Date

Select the date, from when the cancellation becomes effective. Click 'OK'.

Re-Ins Transaction

Reinsurance is a contract between an Insurance company and one or several re-insurers. Through a reinsurance contract, the insurance company spreads its risk by ceding (transferring) the portion of its liability to one or more reinsures. It is possible to spread the risk even further by the re-insurer and this is known as retrocession.

In Reinsurance, the application enables the user to perform the following transactions:

- ☐ RI Allocation
- ☐ Claim Allocation
- ☐ FAC Proportional Offer
- ☐ FAC Outward Proportional Placement
- ☐ Summary Allocation
- ☐ XL Premium Calculation
- ☐ Reinstatement Details

RI ALLOCATION

RI Allocation is made as per a pre-defined treaty limit. During the RI Allocation, if the transaction total SI lies within the specified treaty pre-defined limit and if there is 'No RI Confirmation required' flag is set to any one of the bouquet of treaties, then the system proceeds with the normal UW process. Otherwise a model window opens in the UW Screen, after the treaty allocation to get the RI Confirmation. After getting the confirmation from the end user, the system continues the UW collection process.

In such situations, approval from the RI department is essential for underwriting the policy. The RI allocation interface enables the user to perform these actions. The explanation in the following pages enables the user to understand the treaty allocation process in detail.

Query for the proposal or quotation, for which the RI Allocation is to be confirmed in the Reference Number field of the 'Allocation' screen. The allocation details of it get defaulted in the screen.

Allocation happens based on written premium or earned premium.

- ☐ The Written Premium = 100% Policy premium (even if there are Installments).
- ☐ Earned Premium = Premium which becomes due when the policy is issued or when an installment premium falls due (whether collected or not)

In the RI Allocation screen it is possible to

- ☐ View the endorsement allocation separately
- ☐ View the allocation based on Top SI and PML

Click 'RI Confirmation' button to approve the allocation. Users are allowed to override the allocation in the Allocation Details block.

The screen displayed is shown below:

Fig. 73 – RI Allocation

The RI Allocation screen displays the following details:

- ☐ Policy Allocation
- ☐ Risk / Peril Group Details
- ☐ Risk Class Wise Allocation Details

The user is allowed to query the details and modify the allocation details in the override mode.

ALLOCATION DETAILS

The user can use the Allocation Details Block to modify the previously made allocations. The system facilitates the user to modify the Treaty Type-wise (or) Risk Class-wise allocated details.

RI Confirm

In the Policy screen, if the status is displayed as 'RI Confirmation Required', then click this button to confirm the RI allocation.

A confirmation window is displayed as shown below:

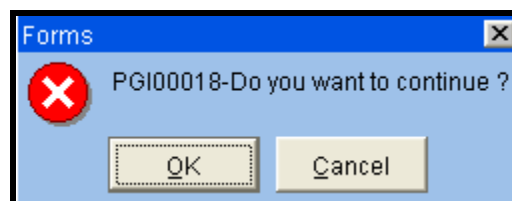


Fig. 74 – RI Confirm

Click 'OK' to confirm the RI. Click 'Cancel' to cancel the process.

On confirmation, the following window is displayed.

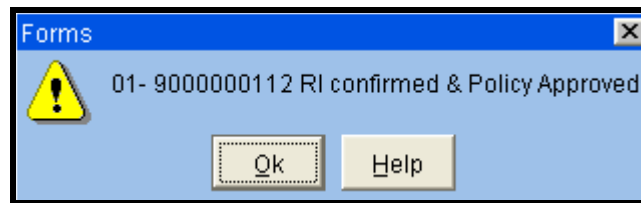


Fig. 75 – Confirmation Message Window

Click 'OK'. The system generates the policy number and the status of the policy changes to 'Approved'.

History

After overriding the amendment, it is possible to view the previous allocation details by clicking the History button.

The screen displayed is shown below:

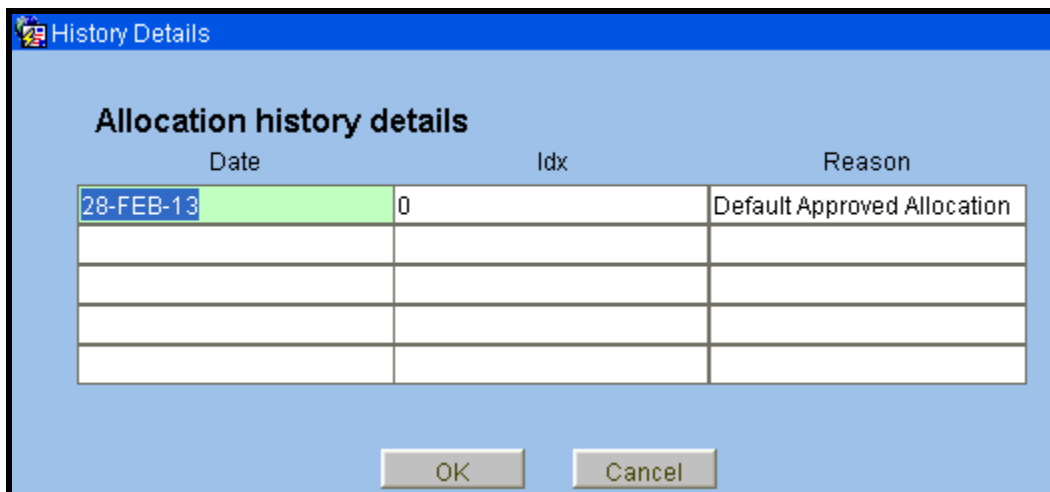


Fig. 76 – Allocation History Details

Click 'OK' to close the history details in the 'Policy Allocation History' screen.

Policy DTL

Click this button to view the 'Policy' screen.

Reversal

Reversal is applicable when 'Endorsement RI Treaty Basis' is set 'Unearned Premium' in Product Setup. When the user queries for Endorsement RI allocation this button gets enabled.

Click this button to view the reversal premium for the policy.

Allocation

Allocation is applicable when 'Endorsement RI Treaty Basis' is set 'Earned Premium' in Product Setup. When the user queries for Endorsement RI allocation this button gets enabled.

Click this button to view the allocation premium for the policy.

End. Allocation

Click this button to view the allocation done for endorsement.

Appl Peril (Applicable Peril)

Click this button to view the peril class-wise allocation for each layer.

Risk Class

If allocation is based on risk class, then the user is able to see the risk class-wise allocation for each layer.

Participant

Click this button to view the participant-wise allocation for each layer. The screen is as shown below:

Participant Allocation Details

Treaty Type Code: QS Quota Share

LC Values Back

Re-insurer Code	Name	Broker Code	Intermediate Broker	Sum Insured	PML	Premium
RIC01-00002				801,000.00		80,100.00
RIC01-00003				477,000.00		47,700.00
RIC01-00004				171,000.00		17,100.00
Total				1,800,000.00		180,000.00

Broker Name: Inter.Broker Desc: Ceding Type: Percentage with Limits Session Number: Link Share %:

Fig. 77 – Participant Allocation Details

Re-Allocation

Click this button to change the allocation using 'Override' button. The system alters the allocation details for the other treaty layers.

LC Values

An insurance company that operates in different countries has a pre-defined local currency for each of them. To find the value of the treaty amount in local currency click 'LC Value' button to view the allocation values in base currency. The system displays the Peril Class-wise allocation values in base currency in the screen.

LC VALUES

Risk/Peril Group Values in Base Currency

Back

SI: 119,999,997.00 PML: Premium: 599,999.985

Link Total SI: Link Total PML:

Fig. 78 – LC Values

Click 'Back' to return to the Allocation Details block.

The similar process follows for Risk Class-wise re-allocation, where the user enters the Risk Class-wise Allocation block by clicking the 'Risk Class' button.

Override

Click this button to modify an approved allocation. If allocation is in approved status, and then the override option is disabled, perform the modification on the required allocation and click the re-allocate button to complete the re-allocation process.

On clicking this button, the system displays a confirmation message as 'Do you want to Reallocate Yes or No'. If Yes is selected, then the Reallocate button is enabled.

- ☐ If the value of a particular layer is overwritten, then the system performs reallocation from the subsequent layers. Hence, if the allocation value of the last layer is overwritten, then the excess amount is carried to FAC. If the FAC is not available, the excess amount is taken as special retention.

If 'No' is selected then on saving, the overridden amount is saved and balance is adjusted with the FAC amount and not with other layers.

- ☐ If Allocation is done on SI, user is allowed to overwrite only the Allocation SI and Allocation Premium. Alternatively, if the allocation is on PML, then the Allocation PML value alone is modified.
- ☐ If risk class-wise allocation is available then only risk class-wise allocation is modified

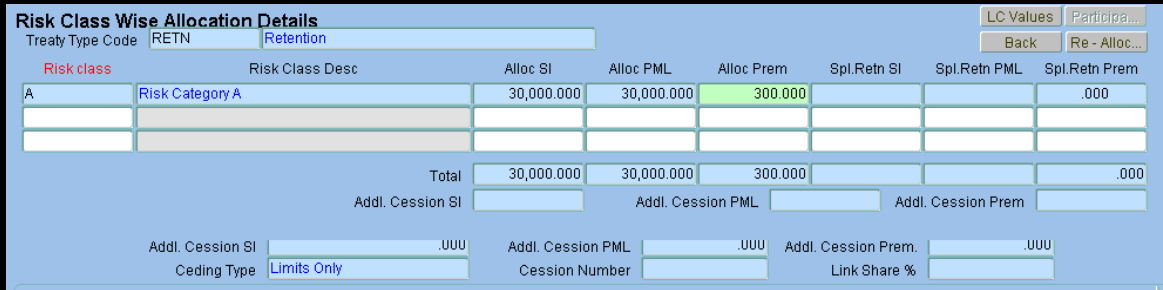
Reset Allocation

Click this button, if the user desires to revert to the original status i.e. the status before overriding.

Click 'OK' to approve or 'Cancel' to exit.

Re-allocation for Risk Class

Click this button to reallocate the treaty at risk level.



The screenshot shows a web form titled "Risk Class Wise Allocation Details". At the top, there are buttons for "LC Values", "Participa...", "Back", and "Re-Alloc...". Below these, the "Treaty Type Code" is set to "RETN" and "Retention" is selected. The form contains a table with columns: "Risk class", "Risk Class Desc", "Alloc SI", "Alloc PML", "Alloc Prem", "Spl.Retn SI", "Spl.Retn PML", and "Spl.Retn Prem". The first row shows "A" for Risk class, "Risk Category A" for Risk Class Desc, and values of 30,000.000 for Alloc SI, 30,000.000 for Alloc PML, and 300.000 for Alloc Prem. Below the table, there are fields for "Total", "Addl. Cession SI", "Addl. Cession PML", and "Addl. Cession Prem". At the bottom, there are fields for "Addl. Cession SI", "Addl. Cession PML", "Addl. Cession Prem", "Ceding Type" (set to "Limits Only"), "Cession Number", and "Link Share %".

Fig. 79 – Risk Class Wise Allocation Details

Risk Class overriding is required for the Treaty Type Codes for which allocation happens at Risk Class level in OWP Treaty Allocation

- ☐ For the Risk Class wise allocated treaties, overriding is not allowed at Treaty Type Level, where as overriding allowed at Risk Class level. The Overridden value gets back update to Treaty Type level and based on that re-allocation happens i.e it is possible to override the allocated value at risk class level and not at Peril group level
- ☐ Risk class overriding not currently supported for Link policies

LC Values

Refer LC values section for detailed explanation on LC values.

Approve

On completion of the re-allocation process, click 'Approve' for the system to approve the allocation made.

Click 'OK' to approve or 'Cancel' to exit. On approval, the allocation status in the top right corner of the header block changes to 'Approved'.

Summary

Click 'Summary' to view the summary details in base currency.

	SI	PML	Premium
Peril Group	119,999,997.000		599,999.985
Net Retention	150,000.000		750.000
Treaty	2,850,000.000		14,250.000
Treaty Spl Retn	.000		.000
FAC Surplus	116,999,997.000		584,999.985
Other Spl Retn	.000		.000
FAC Spl Retn %	97.50		
Prov FAC %	0.00		
Prov FAC	.000		.000

Fig. 80 – Summary Data in Base Currency

Click 'Back' to return to the main screen.

CLAIMS ALLOCATION

The Claims Allocation screen enables the user to view the actual claims allocation made for a Claim (estimate / payment). When a claim is registered for a policy for which policy allocation has been made (the amount to be paid by the insurance company, to settle the claims is calculated in UW) the corresponding Claims allocation materialize for the claim (estimate/payment) amount to the various treaty participants in the same proportion in which they had obtained the premium.

In addition, it assists in viewing the claim allocation made and approval of the same. There are two situations at which the claim allocation is made. They are given below:

- ☐ Estimate Allocation – on claim registration
- ☐ Payment Allocation – on claims payment

Click 'Claims Allocation' from the menu. The screen displayed is shown below:

Claims allocation **Allocation Not approved**

Office* 100 Head Office
 Business Type 1 Direct without coinsurance
 Product Code* 2001 Standard Fire Policy
 Customer Code DC0000001 Direct Client 1
 Claim No* C/100/2001/2013/000007
 Currency Code 001 US DOLLAR
 Claim Loss Dt 28/04/2013 Claim Reg Dt 28/04/2013
 Claim Est. Amt 100,000.000 In Base Curr. 100,000.000

Department Code* 20 Fire
 Policy No* P/100/2001/2013/00016
 Pol Fm Dt 28/04/2013 Pol To Dt 28/04/2014
 Claim Alloc Type Claim Allocation for Estimate
 Clm Est Code 1000001 PYMNT TO CLAIMANT/BROK
 Peril Class Code PC-1500
 Cover Code 3201 Fire & Lightning
 Risk Description 1,JHJHHHHHHHGGJ
 Our Share % 100.

Payment Estimate Allocation details

Priority	Treaty Type Code	Description	Share %	Est / Paid Amount	Tty Spl. Retn.
1	RETN	Retention	100.00000	100,000.000	.000
2	QS	Quota Share		.000	.000
3	SUR-01	Surplus		.000	.000

Treaty Code FIRE/2013 Fire Treaty For 2013
 Treaty Currency Code 001 US DOLLAR
 Ovr Spl Retn Amount
 Total 100,000.000
 Treaty Year 2013

Amounts in Base Currency

Estimate 100,000.000 Ovr Spl Retn Tty Spl. Retn .000

Fig. 81 – Claims Allocation

Query for the claim to view the claim allocation by entering the claim number in the available field. This fetches the complete details of the claim allocation for that specified claim number.

The claim allocation for the accumulated risk allocated policies can be viewed here.

☐ The user can make claim allocation, based on the loss date

☐ The system identifies the policy and endorsement details for which the policy allocation has happened as on loss date. Based on policy premium allocated ratio, the claims are allocated

TAB Estimate

In the 'Estimate' tab, the estimate of allocation made for a claim that has been registered, but 'No payment is made' is displayed. Direct overwriting of an existing estimate allocation in the estimate allocation block is possible only if it is in the 'Non Approved' status.



Reverse

Click 'Reversal' to reverse any amount waiting for payment. The screen displayed is shown below:

Fig. 82 – Reversal

Click 'Back' to return to the previous screen.



Reset Allocation

Click 'Reset Allocation' to return to the original status. The screen displayed is shown below:

Fig. 83 – Reset Allocation

Click 'OK' to approve or 'Cancel' to exit.



Override

The system does not permit any changes in the screen, after approval.

To modify an approved allocation, click 'Override'. The status of the allocation now changes to 'Not Approved'. After modification on the required allocation, click this button to effect the modification.

	☐ Override is not allowed for a Claims Payment Transaction ☐ It is not possible to overwrite the allocation amount of the Net Retention Layer
--	--



TAB Payment

All the payment details are displayed in the payment tab and no modifications are possible now. Only when the part or full payment is made for a claim, it is possible to view both the estimate and payment allocations of that particular claim. The screen displayed is shown below:

The share percentage of claims allocation displayed in this screen has to be equal to the share percentage of allocation premium in the policy allocation screen.

Priority	Treaty Type Code	Description	Share %	Est / Paid Amount	Spl. Retn
1	RETN	Retention	20.00000	200.00	.00
2	QS	Quota Share	60.00000	600.00	600.00
Treaty Code: ENGG-2011			ENGINEERING TREATY FOR 2011		Total: 800.00
Treaty Currency Code: 001			KENYAN SHILLINGS		Treaty Year: 2010
Payment Amount In Base Currency: 200.00			Spl Retention In Base Currency: 600.00		

Fig. 84 – Payment

TAB FAC Details

All the details of FAC placement are displayed and no modifications are possible here. Merely, if the FAC allocation is apportioned for the particular policy for which the claim allocation is being made, only then the FAC placement related details gets defaulted in this tab. For risk accumulated allocated policies, the FAC placement is done in this screen.

The screen displayed is shown below:

Placement No.	Coinsurer Code	Placement Date	Placement Currency	Deductibles	Share %	Claim amount	Spl. Retn. Claim
FAC/PLC/00000230		07/03/2013	001		100.00000	1,400.000	.000
Currency Desc: BAHRAIN DINAR		Deductibles in Base Currency:					
Claim Amount In Base Currency: 1,400.000		Endorsement No:					
Spl. Retn Amt In Base Currency: .000							

Fig. 85 – FAC Details

Participants Details

Click 'Participants' button to view the details of the various participants for the particular FAC.

The screen displayed is shown below:

Fig. 86 – FAC – Participant Details

To approve the FAC Details, click the 'Approve' button. The Claim FAC approval window is displayed.

Fig. 87 – Claim FAC Approval

Click 'OK'. The FAC Details is approved with the Account Document.

Acct Print

Click this button to generate the report for the FAC recovery closing slip. This button gets enabled only for approved claims.

TAB Claim Allocation for Working XOL

Based on the Working XL treaty setup, the claim allocation is done by the system automatically to settle a claim. Claim allocation happens for both estimate and settlement payment. Based on the value defined for the field, 'Generate Claim A/c Y/N' determines the accounting entry for the settlement (The allocation gets triggered at the time of payment). If the Portfolio/Class of business is already protected by the Proportional Treaty/ Facultative, then the amount considered for the XL treaty is the retention part of the claim amount after proportional treaty allocation and the FAC allocation.

The 'Claims Allocation' screen enables users to view the claims allocation made for Proportional and Non-Proportional claims. It also enables the user to view the individual treaty/Layer-wise and participant-wise allocation of claims to the Proportional / Non-Proportional treaty and the approval of the allocation.

After completion of claims allocation for the proportional, FAC & FAC XOL, the balance claim amount flows to the working XL.

The following are the steps to identify the XL Treaty:

- ☐ The application validates the level code (Working XL or Catastrophe) and ascertains that the treaty is a working XL treaty

- ☐ Based on the selection made in the 'Attach Basis' field in the 'Non-Proportional Treaty Setup' screen, the application validates whether, the claim allocation is to be handled through the Policy/Renewal Date or the Loss Date
- ☐ If the attach basis is the 'Loss Date', the application allocates the claim amount to the Working XL treaty valid on the loss date
- ☐ The application validates the treaty business type and applicable peril class
- ☐ Based on the 'Treaty On' field value (Net Retention or Net + Special Retention) in the Non-Proportional Treaty Setup, both the retention amount and the special retention amount are considered
- ☐ From the layer block, depending upon the number of reinstatement made, the application checks Priority, balance availability of the Layer Aggregate limit, and the Layer Capacity. Working XOL

TAB Working XOL

Click 'Working XOL' tab to view the working XL allocation details. The screen displayed is shown below:

Fig. 88 – Working XOL – Claim Allocation

All the details viewed in this screen are based on the 'Non Proportional Treaty Setup' and are not modifiable.

Working XL On

This field indicates whether the allocation is 'On Net Retention' basis or 'On Net and Special Retention Basis' and it is defaulted from Non-Proportional Treaty setup.

Layer Code

This field displays the layer code for the Working XL.

Working XL Current Flow Amount

Indicates the amount considered towards Working XL after allocation to the proportional treaties/FAC/FAC XOL if any exists for a current payment. This field displays flow amount of current settlement.

- ☐ Across Claim – This sub block displays the total claim paid so far for the policy-risk (shown in the header) and the total amount of claim payment considered for working XL for the same policy-risk
- ☐ Across Payment of Claim – This sub block displays the sum of various payments made so far under this particular claim-risk and the total amount considered for working XL out of the total payments

Under this two sub blocks, the details of each layer of the XL treaty is displayed.

Layer Capacity / Aggregate Limit

Displays the values based on Non Proportional Treaty Setup for each Layer.

Total Allocated Amount

This field displays the total allocated amount so far for the layer under various policies/claims. The allocated amount is always less than or equal to the aggregate limit shown.

Accumulated Allocation Across Claim

This field displays the total allocation across claims for the relevant policy-risk for each Layer based on the peril class.

Accumulated Allocation For a Claim

This field displays the total amount of payments allocated under this claim based on the peril class. This is relevant when several payments are made under the same claim-risk.

Working XL flow Amount Across Claims

This field displays the flow amount for the sum of payment or the settlement amount across the claim.

Working XL flow Amount for a Claim

This field displays the flow amount for the sum of payment or the settlement amount for the current claim.

Current Allocation For a Claim

Displays the amount of allocation made to each layer from this current payment.

Balance Amount

This field displays the Balance amount left if any under each Layer for the Policy Risk. This is zero, if the aggregate limit is exhausted or for the risk, if there is no balance left after reinstatement.

Tty Deductible (Treaty Deductible)

This field displays the amount that is deducted from the Treaty.

Clm Deductible (Claim Deductible)

This field displays the amount that is deducted from the claim.

It is possible to access the following screens from this block:

- ☐ Participant
- ☐ Base Values
- ☐ Limit Details
- ☐ Reinstatement Details



Participant

Click this button to view the layer level participant-wise allocation details for the current payment. The screen displayed is shown below:

Reinsurer Code	Broker Code	Currency Code	Share Perc	Allocated Amount
RI-000001		001	10	2,500,000.00
RI-000002		001	10	2,500,000.00
RI-000003		001	15	2,500,000.00
RI-000004		001	20	2,500,000.00
RI-000005		001	20	2,500,000.00

Currency Description: KENYAN SHILLINGS
 Reinsurer Description: MNRB Retakaful Berhad
 Broker Description:
 Amount in Base Currency: 12,500,000.00

Fig. 89 – Working XOL – Participant

The sharing of the amount between the various participating re-insurers is as per the XL Treaty setup.

Base Values

Click this button to view the layer level allocation details displayed in base currency value. The screen displayed is shown below:

Amount in Base Currency: 12,500.00
 Working XL Current Amount: 12,500.00
 Accumulated Claim Amount: 50,000.00
 Working XL Flow Amount: 12,500.00

Sr.No	Layer Code	Aggregate Limit	Total Alloc. Amount	Accum. Alloc. Across Claims	Accum. Alloc. for Claim	Current Allocation	Balance Amount
1	001	150,000,000.00	.00	.00	.00	.00	15,000,000.00

Priority: 5,000,000.00
 Limit: 20,000,000.00
 Capacity: 15,000,000.00
 Treaty Code: FIRE-ENG-XL-20
 Lyr Agg Balance: 150,000,000.00

Fig. 90 – Working XOL– Base Values

Limit Details

Click this button to view the peril group-wise limit details. The screen displayed is shown below:

Treaty Code: FIRE-ENG-XL-2011
 Layer Code: 001

Peril Group Code	Limit Capacity	Aggregate Limit	Total Allocated Amount	Accum. Alloc. Across Clm	Accum. Alloc. For Clm	Balance Amount
200-PGF	15,000,000.00	150,000,000.00	.00	.00	.00	15,000,000.00

Priority: 5,000,000.00
 Limit: 20,000,000.00
 Limit Agg Bal: 150,000,000.00
 Peril Group Desc: PERIL GROUP FOR FIRE

Fig. 91 – Working XOL– Limit Details

Peril Group Code

This field displays the Peril Group code to which this particular Claim belongs.

Limit Capacity/ Aggregate Limit

This field displays the Peril group Level limits defined in the Working XL treaty setup.

Total Allocated Amount

This field displays the Claim Amount allocated so far under this peril group for the selected layer.

Accumulated Allocation Across Claims

This field displays the total allocation under various Claims for this Policy-Risk.

Accum Alloc for Clm (Accumulated allocation for claim)

This field displays the allocation made for various payments under this Claim-Risk.

Balance Amount

The balance amount left based on the number of Reinstatements and Aggregate Limit are displayed.

The Priority and the Limit are as per the Limits definition under Peril Group in working XL treaty Set up.

Select the 'Base Values' button to view the base value details.



Reinstatement Details

Click this button to view the reinstatement details. The screen displayed is shown below:

Sr.No	Reinstatement Mode	No of Reinstat	Reinstatement Capacity	Reinstatement Balance	Reinstatement Premium	Reinstatement Amount
1	Manual	1	500.00	500.00	.00	.00

Amounts in Base Currency

Reinstatement Capacity	500.00	Reinstatement Balance	500.00
Reinstatement Amount	.00	Reinstatement Premium	.00

Fig. 92 – Working XOL – Reinstatement Details

The following details are displayed in this block:

Treaty Code

This tab refers to the Working XL treaty code. The treaty description is shown in the adjacent field.

Layer Code

Layer Code refers to the layer to which the Reinstatement details relate.

Serial Number

This refers to the serial number.

Reinstatement mode

This field defines whether the mode is automatic or manual as per the definition in the Working XL treaty setup in the 'Peril Group Limit Details' block.

Number of reinstatements

This is defined in the set up.

Reinstatement Capacity

It is the number of reinstatements multiplied by the Layer capacity.

Reinstatement Balance

This field specifies the difference between the reinstatement capacity and the reinstatements done so far

Reinstatement Premium

This refers to the Reinstatement Premium payable for the amount reinstated. This is calculated by the application.

Reinstatement Amount

This refers to the amount being reinstated. In case of Automatic Renewal, this is the XL Recovery amount for that layer. In case of manual reinstatement, the amount gets defaulted and the user is allowed to reduce the same, but it is not possible to increase the amount.

The same details are shown in base currency also. The following are the basis on which the reinstatement details screen operates:

- ☐ If the reinstatement status were set as 'Automatic' for a peril group in the Non Proportional Treaty Setup at Peril Group Limit Details block, then the reinstatement is carried out automatically when an allocation is made to Working XL Treaty based on the reinstatement factors set. In this case the 'Process' button gets disabled
- ☐ If the reinstatement status were set as 'Manual' for a peril group in the Non Proportional Treaty Setup–Peril Group Limit Details block, the user is able to view the details. If the claim payment is not allocated because reinstatement was not done earlier, the user is allowed to modify the reinstatement amount and click the process button to process the reinstatement. The system calculates the reinstatement premium, allocates the claim payment that is subject to the availability of balance after this reinstatement and also updates the reinstatement balance

The following factors are to be taken into consideration for manual processing of reinstatement.

- ☐ If the reinstatement was not carried out and the claim payment allocation had been moved to the catastrophic XL, then the user is not allowed to process the manual reinstatement for that particular claims payment
- ☐ If there are two or more payments for a claim and there is no capacity available for that Layer and it requires manual reinstatement, the manual reinstatement process has to be done for payments. Reinstatement process is not available for second payment unless it is done for the first payment
- ☐ Even before carrying out manual reinstatement processing, if there is a recovery for the same claim (due to salvage or some third party recovery) and also claims payments allocation awaiting reinstatement, allocation is triggered for the subsequent recoveries of the claim for the reinstatement value only until next payment for which manual reinstatement is required

Approval

After completing the allocation/ re- allocation process, click this button to approve the allocation made. A pop-up window is displayed as shown below:



Fig. 93 – Re-allocation – Approval

Click 'OK' to approve or 'Cancel' to exit.

Once the allocation is approved, a confirmation message is displayed. The allocation status in the top right corner of the header block is changed to 'Approved'.

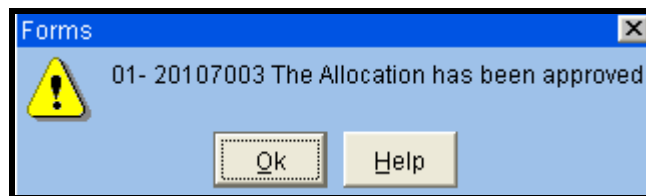


Fig. 94 – Re-allocation – Approval Confirmation

FAC OUTWARD PROPORTIONAL PLACEMENT

Whenever the sum insured value of a particular policy exceeds the pre-defined limit of the treaty program, the excess amount is ceded as the company's special retention. Transfer of the balance amount as company's special retention or Outward FAC placement is possible only if appropriate selections are made in the 'Peril Class Master'. It is possible to make the FAC placement first and then cede the balance to treaty.

	If either or both FAC Y/N and FAC XOL options are set to 'Yes', then the excess amount is ceded as FAC. If both these options are set to 'No' then the amount is ceded as Company's Special Retention.
---	--

When a ceding company desires to cede its excess sum insured amount as FAC, it generates a FAC offer document that contains details of the policy to be ceded, the risks it comprises of, total risk value, FAC value etc. and sends it to the various reinsurance companies.

If they accept this offer, then the FAC Placement is made. The screen displayed is shown below:

Outward Facultative Placement

Division* 100 Head Office Department* 10 Motor
 Doc Type Policy Business Type Direct without coinsur Customer Code CL0000003 M/S.RELIANCE HEAVY INDUSTRIES
 Prod Code* 1001 Motor Commercial Pol Fm 26/06/2013 Pol To 25/06/2014
 Policy No. P/100/1001/2013/00494 End Fm End To
 End No FAC Prov On Normal Bas... FAC Alloc. Basis Risk Alloc. On SI

Placement

Placement Header

Placement No* FAC/PLC/00000550
 Rate Type Selling Prem Calc Type Full Premium
 Place By By Company Deductibles
 Rate Basis Fixed Rate 1 1.00
 Prem Curr Code* 001 US DOLLAR Prem Rate 1 1.00
 Remarks
 Prem Round To* 00 NO ROUND OFF
 SI 100000 PML
 Org SI Org PML

Intl Coins Y/N ☐ Offer No 26/06/2013 Fac Pool Id*
 Placement Dt 26/06/2013 Placement Eff Dt 26/06/2013
 SI Curr Code* 001 US DOLLAR
 Rate 2 54.00 Rate 3 102.000
 Prem Rate 2 1.00 Prem Rate 3 1.000
 SI Round To* 00 NO ROUND OFF
 Bus Type FAC Out Local
 Prem. 1000 FAC Prem. 1000
 Org Prem. FAC A/C To Re-insurer

Risk Details

Peril Class*	Risk Id	Share %	SI	PML	Avg Rate	FAC Rate	FAC Prem
PC-1000	1,,flkg128485	40	100000		.01	.01	1000
Peril Class Desc Peril Class for Own Damage Motor		Total	100000			Total	1000
Spl Retn SI 100000		Spl Retn PML		Spl Retn Prem 1000		Place Prem	1000

Original Values

Share % SI PML
 Place Prem FAC Prem

Fig. 95 – Outward Facultative Placement

Query for the policy for which, the allocation is to be made by entering the policy number in the field for it in the header block. The other header block details like the division, department, product and other details of that policy get automatically displayed in their respective fields. Now, select the 'Allocation Basis' and 'Allocation On' options for the particular transaction from the available drop down list.

TAB Placement

Click this tab to enter all the details of the FAC Placement. The screen displayed is shown below:

The screenshot shows the 'Placement' tab interface. It includes a 'Placement Header' section with fields for Placement No, Rate Type, Place By, Rate Basis, Prem Curr Code, Prem Round To, SI, Org SI, PML, Org PML, Int'l Coins Y/N, Offer No, Fac Pool Id, Placement Dt, Placement Eff Dt, SI Curr Code, SI Round To, Bus Type, Prem, Org Prem, FAC Prem, FAC A/C To, and Re-insurer. There is also a 'Risk Details' table with columns for Peril Class, Risk Id, Share %, SI, PML, Avg Rate, FAC Rate, and FAC Prem. The table contains one row of data for 'PC-1000' with a share of 40 and a FAC Prem of 1000. Below the table are 'Original Values' for Share %, SI, PML, and FAC Prem.

Fig. 96 – Placement

This tab comprises of the following buttons:

- ☐ Approve
- ☐ Gen A/C
- ☐ Rev Place
- ☐ FAC Place
- ☐ Base Currency
- ☐ Broker Summary
- ☐ Amendment
- ☐ Participants
- ☐ Cancel Amendment
- ☐ Account Query

Placement Header

This part of the Placement block enables the user to capture all the basic information of the FAC Placement that is to be performed.

Remittance Y/N

Select the Remittance Y/N check box if the payment of money has to be done.



Placement Number

This is a unique system generated number for every FAC Placement and it is obtained through Document Number generation.

Offer Number

This number is user entered and has to be unique for every offer.

Fac Pool ID

Enter or select the pool id from the LOV. The LOV consists of pool ids that are effective as on the Placement Date. Based on the pool ID selected, the pool participants/commission is defaulted in the FAC Participant/Commission block.



Rate Type

Select from the drop down list, the rate type to be used for this particular placement. The available options are:

☐ Buying Rate

☐ Selling Rate

Premium Calculation Type

Select from the drop down list, the premium calculation type that is to be used for this particular transaction in this field. The available options are:

☐ Full Payment

☐ Pro Rate

Placement Date

Enter the date on which this placement was created.



Placement Effective Date

Enter the date from which this placement is to be used.

Place By

Select from the drop down list the excess amount is to be placed. The available options are:

☐ By Leader

☐ By Company



If co-insurers are involved, then leader does the placement else by default, it is always by the company.

Deductible

Enter the value of the deductibles applicable for that placement.



SI Currency Code

Enter or choose from the list of values, the code of the currency that is to be used for the placement. Once a code is entered, the description of it gets automatically displayed in the adjacent field.



Rate Basis

Select from the drop down list, the rate basis that is to be used for the particular placement. The available options are:

☐ Fixed – If the rate basis is selected as fixed, then the values for the rates mentioned in the rate fields, become set and modifications are not possible at the time of endorsements

☐ Variable – If this option is selected, then the values of rates specified in this section are modifiable at the time of endorsement

Rate 1, 2 and 3

Enter the values of the rate.

Remarks

Enter any remarks or comments specific to the placement.



It is possible to have multiple risks - peril class for a placement.



Premium Currency Code

Enter or select the premium currency code.

Premium Rate 1 /2 /3

Enter premium rate 1, 2, and 3 in the corresponding fields.

Remarks

Enter remarks if any.



SI and Premium Round To

Select from the drop down list, the round off type for SI and Premium. The options available are:

- ☐ No Round Off
- ☐ Next 5
- ☐ Nearest 5
- ☐ Next 10

All the other fields get defaulted with their respective values, only when an amendment is passed on an approved placement.



Business Type

This field is defaulted based on the pool id selected. This cannot be modified again.

SI

Enter the Sum Insured Amount.

PML

Enter the PML Amount

If the PML amount is entered in the policy, then RI Allocation happens on PML amount not on SI

Premium Amount

Enter the Premium Amount

FAC Premium

Enter the FAC premium amount

Original SI/PML/Premium

Enter the original amount for the Sum Insured, PML, and Premium in their respective block.

FAC Account To

Select the FAC Account To from the dropdown list. The options available are:

- ☐ Re-insurer
- ☐ Broker



Placement Details

FAC Placement takes place in two ways as given below:

- ☐ Policy-wise
- ☐ Risk-wise

The screen displayed is shown below:

Risk Details																													
Peril Class*	Risk Id	Share %	SI	PML	Avg Rate	FAC Rate	FAC Prem																						
PC-1000	1,,flkg28485	40	100000.		.01	.01	1000.																						
<table border="1"> <tr> <td>Peril Class Desc</td> <td>Peril Class for Own Damage Motor</td> <td>Total</td> <td>100000.</td> <td></td> <td></td> <td>Total</td> <td colspan="3">1000.</td> </tr> <tr> <td>Spl Retn SI</td> <td>100000.</td> <td>Spl Retn PML</td> <td></td> <td>Spl Retn Prem</td> <td>1000.</td> <td>Place Prem</td> <td colspan="3">1000.</td> </tr> </table>										Peril Class Desc	Peril Class for Own Damage Motor	Total	100000.			Total	1000.			Spl Retn SI	100000.	Spl Retn PML		Spl Retn Prem	1000.	Place Prem	1000.		
Peril Class Desc	Peril Class for Own Damage Motor	Total	100000.			Total	1000.																						
Spl Retn SI	100000.	Spl Retn PML		Spl Retn Prem	1000.	Place Prem	1000.																						
Original Values <table border="1"> <tr> <td>Share %</td> <td></td> <td>SI</td> <td></td> <td>PML</td> <td></td> <td>FAC Prem</td> <td colspan="3"></td> </tr> <tr> <td></td> <td></td> <td>Place Prem</td> <td></td> <td></td> <td></td> <td></td> <td colspan="3"></td> </tr> </table>										Share %		SI		PML		FAC Prem						Place Prem							
Share %		SI		PML		FAC Prem																							
		Place Prem																											

Fig. 97 – Policy Placement Details

The fields displayed are based the entries made in the Risk ID and Peril Class fields.



Peril Class

If it is a policy-wise allocation, then choose the appropriate peril class code to be included for placement from the available list of values. The Risk ID applicable for that particular peril class gets defaulted in its field.

Risk Id

This field displays the risk id once the peril class is selected.



Share %

Enter the share percentage of the total SI amount to be ceded for a particular risk-peril class combination.

On entering the above information, the SI and PML get automatically defaulted with their respective values.

These values get calculated by applying the share percentage on the FAC balance SI, FAC balance PML, FAC balance premium values.

Average Rate is calculated using the following formula

$$\text{Rate} = \text{Total Premium} / \text{Total SI}$$



FAC Rate

If the reinsurance participant does not accept the average or policy rate specified by the ceding company then the ceding company suggests a rate favoring for the reinsurance participants. This rate is entered by the user as FAC Rate.

On entering the FAC rate the FAC Premium gets automatically calculated by the system and defaulted in the field provided for this purpose.

Special Retention SI/PML/Premium

The special retention amount for the sum insured, PML and the premium is displayed by default after the calculations are completed.

Share %, SI, PML, Place Premium, and FAC Premium details in the original value block are defaulted once the calculation is completed.

Once all the calculations are completed, the sum of all the SI, PML and FAC Premium values gets displayed as total values. These values are updated in their respective fields in the placement header block.



Base Currency

Click the Base Currency button to view the Risk-wise Placed Value in Base Currency.

The screen displays the SI, PML, Premium and Placed Premium values in the Base currency.

Fig. 98 – Placed Value in Base Currency

Click 'Back' for returning to the Participant Details Block.



Gen A/c

This button is enabled only when the A/c type is selected as 'Account Doc. Generate Separate'. Click this button to post the FAC placement.



Account Query

This button is enabled, only when FAC placement status is GEN A/C entry.



Participant Details

Click the 'Participant Details' button to enter the FAC Participant details. The screen displayed is shown below:

Fac participants		Reinsurer Code*	Broker*	code*	Share %	Y/N	Currency	Place premium	Override premium	Spl Retn Premium	Net premium	Withdraw Y/N	Retro Y/N	Immed Ceding Y/N																																					
RL0000003	☒				10		001	250.00	250.00	.00	250.00				Copy																																				
RL0000002	☐				40		001	1,000.00	1,000.00	.00	1,000.00		☒	☒	Base Curr																																				
								Total	1,250.00	1,250.00	.00	1,250.00																																							
Inter Broker Name		Broker Name		Deductibles		Withdraw Dt		Place SI		Place PML		Cession		Tax/Vat																																					
				25,000.00																																															
Re-insurer Name		M/S.HDFC ERGO GENERAL INSURANCE		SI Currency		001		US DOLLAR				Number																																							
Prem Currency		US DOLLAR		Override Premium				Place Premium				Interest																																							
Original Values		Share %		SI		PML		Our Ref																																											
Commission Details <table border="1"> <thead> <tr> <th>Sr. No</th> <th>Flag</th> <th>Tax/Commission*</th> <th>Comm Code*</th> <th>Comm %</th> <th>Comm On</th> <th>Calc Type</th> <th>Commission</th> <th>Commission in Base</th> </tr> </thead> <tbody> <tr> <td>1</td> <td></td> <td></td> <td></td> <td></td> <td>PREMIUM</td> <td></td> <td></td> <td></td> </tr> <tr> <td></td> <td></td> <td></td> <td></td> <td></td> <td></td> <td></td> <td></td> <td></td> </tr> <tr> <td></td> <td></td> <td></td> <td></td> <td></td> <td></td> <td></td> <td></td> <td></td> </tr> </tbody> </table>																Sr. No	Flag	Tax/Commission*	Comm Code*	Comm %	Comm On	Calc Type	Commission	Commission in Base	1					PREMIUM																					
Sr. No	Flag	Tax/Commission*	Comm Code*	Comm %	Comm On	Calc Type	Commission	Commission in Base																																											
1					PREMIUM																																														
Original Values		Comm %		Commission																																															

Fig. 99 – Fac Participant Détails



Re insurer Code

Enter or choose from the list of values the code of the Re-insurer who is participating in the particular FAC Placement in this field. Once a code is entered, the description of it gets automatically displayed in the Re-insurer Name field.

Broker

Enter the code of the broker, through whom the business was obtained. Once a code is entered, the description of it gets automatically displayed in the Broker Name field.

Intermediate Broker Code

In some cases, a foreign reinsurance business is acquired through an external broker outside the country. This is however brought to us only through a local broker called as the intermediate broker. Enter the code of the broker in this field. Once a code is entered the description of it gets displayed in the Intermediate Broker Name field.

Share Percentage

Specify the share percentage of the business to be taken up by the particular re insurer.

Leader Y/N

Check this field if the particular Re-insurer is a leader. The other details namely the placement, override and net premium values get automatically defaulted in their respective fields.



The formula used for arriving at the Participant Net Premium is as follows:

$$\text{Participant Net Premium} = \text{Participant Placed Premium} - \text{Sum of (Tax + Commission + Override Commission)}$$

Retro Yes/No

Check this field if a retro business is available for a particular participant. The 'Retro Details' screen facilitates to capture separately the retro business details of participants.

Withdrawal Yes/No

This field gets enabled only when the user choose withdrawal of participant amendment. Check this field to withdraw a particular participant from the FAC Placement.

Place SI

Enter the amount in the place SI.



If the Place SI is entered then the participant share % is calculated and displayed based on the SI and vice versa.



Enter the details and click the 'Report' icon to generate the report.



Base Currency

Click the 'Base Currency' button to view the participant-wise Placed Value in Base Currency. The screen displays the SI, PML, Premium, Commission and Net Premium values in Base currency.

PLACED VALUE OF PARTICIPANT IN BASE CURRENCY

Participant wise placed values in base currency

SI: 25,000.00 Premium: 250.00 Override Premium: 250.00

PML: Commission: .00 Spl Retn Premium: .00

Net premium: 250.00

Back

Fig. 100 – Participant-wise based values in base currency

Click 'Back' button for returning to the 'Participant Details Block'.



Broker Summary

To view the FAC Placement Summary of a particular broker, click the 'Broker Summary' button. The screen displayed is shown below:

Broker Summary

Broker Code	Sum Insured	PML	Premium
B00254	5,00,000.00	2,50,254.00	5,000.00

Broker Name: MERVIN

Back

Fig. 101 – Broker Summary



Summary Details

To view the summary details in the base currency click 'Summary'. The screen displayed is shown below:

Fig. 102 – Summary Details in Base Currency

Click 'Back' for returning to the 'Outward Facultative Placement' screen.

History

Click this button to view the Outward Facultative Placement History screen.

The screen enables the user to view the previous placements.

Amendment

The system does not allow further modifications to be made to an approved placement. It is possible to make further changes to it only by means of an amendment.

Click this button to enter the required type of modification to be made.

Fig. 103 – Amendment Details

Amendment Type

Enter or choose the type of amendment that is to be passed from the LOV. The available options are:

- ☐ Nil Amendment
- ☐ Withdrawal of Participants
- ☐ Add new Participant
- ☐ Change in Participant

- ☐ Change in Commission
- ☐ Change in Risk/Peril Class
- ☐ Placement Cancellation

Amendment Date

Enter the date to pass the amendment.

Amendment Calculation Type

Select from the drop down list, the amendment calculation type to be used for the particular placement. The available options are:

- ☐ Full Premium
- ☐ Pro-Rata



Approve

On entering the above details, click 'Approve', FAC approval screen is displayed as follows:

Fig. 104 – FAC Approval

Approval Date

The system displays the current date as the approval date.

A/C Type

Select from the dropdown list the type of account.

Cust Doc Type (Customer document type)

Select from the dropdown list customer document type.

- ☐ If the parameter FAC-CUST-DOC is set as Placement wise credit note for each customer then the accounting entry is generated for each customer for each placement respectively (Placement Wise)
- ☐ If the parameter FAC_CUST_DOC is set as Single credit note for each customer across placements then the accounting entry is generated for each customer across placements (Customer wise)

Accounting Date

The system displays the accounting date.

Click 'OK' to approve. The FAC is approved with document.

SUMMARY ALLOCATION

Summary allocation is a process by which insurance companies automate and record the details of all the foreign office data and transactions that it had carried out manually prior to computerization. In such situations, it is possible to define a treaty set-up, manually calculate the premium allocated amount, claims paid and claims outstanding amounts and computerize these details through the Summary Allocation screen.

Use this screen to enter the details of the particular treaty allocation for which the summary allocation details are to be captured.

In the 'Header' block, enter the details such as division, department, treaty code etc. for which the summary allocation details are to be captured.

Summary Allocation to Outward Proportional Treaty

Company Code: 001 INSURANCE CO LTD
 Division Code: 101 Division 02
 Dept Code: 20 Fire
 Acnt Process From Yr: 2013 Acnt Process To Yr: 2014
 Period Code: 01 First Quarter
 Effective From Dt: 01/01/2013 Effective To Dt: 31/03/2013
 Revenue Type: Local
 Treaty Transaction Type: Outward Treaty Acc...
 Ceding Comp Ref.No:
 Ceding Comp Doc No:

Summary Allocation Detail

Pol Bus	Type	Treaty Code	Treaty Type Code	Bus Type	Ceding Basis	Premium	Clm OS Amount	Clm Paid Amount
1								

Treaty Code Desc:
 Pol Bus Type Desc: Direct without coinsurance
 Treaty Type Description:
 Currency Code:
 Business Type:
 Uw Treaty Open Years:

Fig. 105 – Summary Allocation to Outward Proportional Treaty

Company Code

Enter or select the company code for the summary allocation from the list of values. Once a code is entered, the description pertaining to it gets defaulted in the adjacent field.

Division Code

Enter or choose from the list of values the code of the division for which the summary allocation details are to be entered in this field. Once a code is entered, the description pertaining to it gets defaulted in the adjacent field.

Department Code

Enter the code of the department for which the summary allocation details are to be entered in this field. Once a code is entered, the description pertaining to it gets defaulted in the adjacent field.

Account Process From / To year

Enter the accounting process from and to year.



Period Code

Enter or choose from the list of values, the transaction period code of the particular allocation in this field. A few of the options available in the LOV are:

- ☐ Quarter
- ☐ Half Year
- ☐ Annual
- ☐ Ad hoc



Effective From/To Date

Enter or select the effective 'From' and 'To' dates for the covers that are being mapped.

Revenue Type

Select from the drop-down list the revenue type of the treaty allocation in this field. The available options are:

- ☐ Local and
- ☐ Foreign

Once a code is entered, the description pertaining to it gets defaulted in the adjacent field.

Summary Allocation Details

Use this block to enter the summary allocation details pertaining to the particular treaty allocation.



Policy Business Type Code

Enter or select the policy business type (underwriting) code from the LOV, the values displayed in the LOV are parameterized. Once you enter the code its description is displayed in the policy business type code description



Treaty Code

Enter the code of the treaty for which the summary allocation details are to be entered in this field. Once a code is entered, the description pertaining to it gets automatically displayed in the treaty code description field.



Treaty Type Code

Enter or choose from the list of values the code of the treaty type for which the summary allocation details are to be entered in this field. Once a code is entered, the description pertaining to it gets automatically displayed in the treaty type field.



The options available in the LOV depend on the treaty code selected in the header block.



Treaty Business Type

Enter or choose from the list of values, the code of the treaty business type for which the summary allocation is to be recorded in this field. The options available in the LOV are:

☐ Direct / Coins inward

☐ FAC Inward Local

☐ FAC Inward Foreign

Once a code is entered the description pertaining to it gets automatically displayed in the business type description field.



Ceding Basis

Select from the drop down menu, the ceding basis of the particular allocation in this field.

Premium

Enter the value of the premium amount.

Claims Outstanding Amount

Enter the claims outstanding amount in this field.

On entering the above details, the Treaty Type, Currency and Number of Open Years details get automatically displayed in their respective fields.

Claim Paid Amount

Enter the claims paid amount in this field

Click 'Approve' to approve the summary allocation.

XL PREMIUM CALCULATION

XL (Excess of Loss) refers to premiums payable by the ceding company to a Re-insurer for in excess of loss reinsurance not directly proportional to the premiums that the ceding company receives. This is because the Re-insurer does not assume a direct proportionate risk. In such a scenario, premium calculation has to be carried at the end of the year to ascertain the actual payments.

The steps involved in the premium calculation and the premium calculation logic are:

- ☐ To calculate the actual annual premium, users have to know the Gross Net Premium Income (GNPI) and the type of premium concerned. The premium, which the insurer has to pay the Re-insurer, is normally an agreed percentage of the GNPI
- ☐ GNPI indicates the original written premium for the total business covered. However, premiums ceded under the proportional reinsurance have to be deducted from this if the XOL covers the insurer's retention after proportional reinsurance. The remaining premium amount is known as the GNPI. The GNPI is not known till the end of an accounting period. The terms of the treaty stipulate whether the GNPI to be used in calculations is based on the written, earned or collected premium
- ☐ Three different premium calculation methods are applied for each layer (a horizontal segment of the liability insured) through the Non Proportional Treaty Setup at the Masters level. They are:
 - o Fixed Amount: In this method, there is a fixed annual premium. The fixed sum represents both the minimum premium and the final premium. The premium is payable in advance as a lump sum or in instalments. There are no premium adjustments at the end of the year. The GNPI is irrelevant for this type of premium
 - o Flat Rate: During the accounting year, the insurer pays the Re-insurer the deposit premiums on the agreed due dates. At the end of the year of cover, the actual annual premium is calculated on the basis of the accepted percentage of the GNPI. The deposit premium has to be deducted from this to arrive at adjustment premium

Calculation Logic for Flat Rate:

For Flat Rate = Actual GNPI * Adjustment Rate.

Burning Cost: The percentage depends on claim experience. At the end of the year of cover the relationship between the claim burden and the GNPI is calculated. A minimum and a maximum percentage are stipulated in the treaty (Example: 4 to 8%). With this type of calculation too, a deposit premium is paid for part of the year and an adjustment is made at the end of the year of the cover.

Calculation Logic for Burning Cost Method:

For Burning Cost Rate= (Claim Burden *100/GNPI Premium) * Loading factor NR(Numerator) / Loading factor DR(Denominator)

Claim Burden – Outstanding Claims (at the time of XL Premium calculation) which has to be paid by the XL Treaty for that treaty period.

- ☐ Compare the above Burning cost Premium Rate with Minimum & Maximum Rate entered in the setup – if it is less than the Maximum Rate then the Minimum Rate becomes the Burning cost Rate. Then Actual premium = Burning cost Rate * Actual GNPI.
- ☐ If it is higher than the Maximum Rate then the maximum rate becomes the Burning cost rate.

Then the Actual Premium = Burning cost Rate * Actual GNPI.

- ☐ Compare the Actual Premium with Minimum Premium – if it is lesser than the minimum premium then pay the minimum Premium to the XL Participant. Else pay the actual premium.

Points to be taken into consideration before premium calculation are:

- ☐ Premium calculation is possible only for those treaties that have been setup through the Non Proportional Treaty Setup screen
- ☐ Only the treaty codes for which the XL premium has not been calculated is displayed in this screen
- ☐ Details are picked up from the current amendment
- ☐ It is not possible to carry out the premium calculations in the following situations:
 - o Before the completion of the 'Effective To Date' entered in the Non Proportional Treaty Setup screen
 - o If premium calculation for a layer is less than the minimum premium, then minimum premium is taken into consideration
 - o Adjustments, if any, are taken into account while premium calculation processing
 - o If refund Y/N is set as a condition in the treaty setup screen, then the refund is carried out through this screen



For more information on Non Proportional Treaty Setup, refer to the respective user manual.

The explanation in the following pages enables the user to understand these processes in detail.

Query for the claim for which the claim allocation is to be viewed by entering the Treaty Code From-To range in the fields available for this purpose. Select 'Fetch' to fetch the complete details.

The screen displayed is shown below:

INSURANCE CO LTD

XL Premium Calculation

Company Code* 001 INSURANCE CO LTD
 Division Code* 100 Head Office
 Department Code* 20 Fire
 Treaty Code Fm* fire/2014/xol FIRE XOL 2014
 Treaty Code To* fire/2014/xol FIRE XOL 2014
 Processing ID
 Processing Date

Treaty Details

Treaty Code	Level Code	Attach Basis	Cover Type	Currency Code	Estimate GNPI	From Date	To Date	Process Y/N

Treaty On
 Treaty Desc
 Level Desc
 Attachment Desc

Cover Desc
 Currency Desc
 Estimate GNPI in Base Curr

Buttons: Fetch, Log Deta..., Process, Approve, Post, Reprocess, Agent Query, Level Det

Fig. 106 – XL Premium Calculation

Processing ID and Processing Date fields display default values on approval.

Fetch

Click 'Fetch' button to fetch the completed details for XL Premium calculation.

XL Premium Calculation

Company Code* 001 INSURANCE CO LTD
 Division Code* 100 Head Office
 Department Code* 20 Fire
 Treaty Code From* fire/2014/xol FIRE XOL 2014
 Treaty Code To* fire/2014/xol FIRE XOL 2014
 Processing ID 012
 Processing Date 18/03/2014

Treaty Details

Treaty Code	Level Code	Attach Basis	Cover Type	Currency Code	Estimate GNPI	From Date	To Date	Process Y/N
fire/2014/xol	04	01	02	001	322,143.00	01/01/2014	31/12/2014	☒
								☐
								☐
								☐

Treaty On ON NET RETN AND SPL RETN
 Treaty Desc FIRE XOL 2014
 Level Desc Working XL
 Attachment Desc On Loss date

Cover Desc Open Cover
 Currency Desc US DOLLAR
 Estimate GNPI in Base Curr 322,143.00

Fig. 107 – XL Premium Calculation - Fetch



Process

Select the check box corresponding to the record and then click 'Process' to process that particular record.



Log Details

Click the 'Log Details' button to view the log details of the previous processes. The screen displayed is shown below:

Log Details

No Of Treaties Processed 0
 No Of Treaties Not Processed 1

Error Det... Back

Fig. 108 – XOL – Log Details

The screen displays the number of treaties processed as well as not-processed.

Click 'Error Details' to view the error details. The screen displayed is shown below:

Treaty Code	Treaty Description	Eff From Date	Eff To Date	Remark
fire/2014/xol	FIRE XOL 2014	01/01/2014	31/12/2014	Approve all FAC Claim Allocations for the Treaty Effe

Fig. 109 – XOL – Log – Error Details

 Remark is an application-generated value to indicate the type of error.

Treaty Details

The Treaty Details block displays the Treaty Code-wise Treaty details.

Treaty Code	Level Code	Attach Basis	Cover Type	Currency Code	Estimate GNPI	From Date	To Date	Process Y/N
fire/2014/xol	04	01	02	001	322,143.00	01/01/2014	31/12/2014	☒
								☐
								☐
								☐
								☐

Treaty On	ON NET RETN AND SPL RETN	Cover Desc	Open Cover
Treaty Desc	FIRE XOL 2014	Currency Desc	US DOLLAR
Level Desc	Working XL	Estimate GNPI in Base Curr	322,143.00
Attachment Desc	On Loss date		

Fig. 110 – XOL – Treaty Details

Processing of selected treaty codes is to be carried out either by selecting 'Select All' checkbox to select all treaty codes displayed in this multi record block or by selecting individual records by selecting 'Process Y/N' checkbox available adjacent to each record.

 To ensure that the processing is carried out as desired, view the details displayed in the other dependent blocks through the 'Layer Details' block and then on ensuring that the records displayed matches the requirement, select the appropriate records for processing.

All the details viewed in this screen are determined by the setup in the Non Proportional Treaty Setup screen. Details are non modifiable.



Layer Details

Click this button to view the treaty code-wise layer balance and actual/adjustment premium and actual/adjustment reinstatement premium details. The details displayed in this screen are dependent on the treaty code record selected in the Treaty Details multi record block. The screen displayed is shown below:

Layer Details

Treaty Code: fire/2014/xol FIRE XOL 2014
 Currency Code: 001 US DOLLAR
 Level Code: 04 Working XL

Buttons: Back, Base Val..., Premium..., Participant

Sr No	Layer Code	Treaty Bus Type	No Of Reinst	Prem Cal Method	Actual Prem	Adjust Prem	Actual Reinst Prem	Adjust Reinst Prem
1	001	01	2	02	59,971.55	29,917.55	40,500.00	139,414.64
2	002	01	1	02	39,981.03	7,805.43	18,000.00	61,962.06
3	003	01	1	02	79,962.06	35,475.66	36,000.00	123,924.12

Layer Desc: LAYER 1
 Treaty Bus Desc: Direct/ Coins Outward
 Prem Cal Desc: Flat Rate
 Reinst. Calc Method: 01 Amount
 Refund Bal YN: ☐

Actual GNPI: 1,288,048.64
 Min Prem.: 13,500.00
 Dep Prem.: 13,500.00
 Loading Factor DR: 0

Min Rate: .00
 Max Rate: .00
 Adjust Rate: 4.66
 Loading Factor NR: 0

Fig. 111 – XOL Layer Details

All the details in this screen are displayed based on the setup in the 'Non Proportional Treaty Setup' screen. Details are non-modifiable.

Base Value

Click 'Base Value' to view treaty code-wise layer balance details displayed in the base currency value. The screen displayed is shown below:

Base Currency

Treaty Code: fire/2014/xol FIRE XOL 2014

Buttons: Back

Sr No	Layer Code	Treaty Bus Type	Actual Gnpi	Actual Prem.	Adjust Prem.	Actual Reinst Prem.	Adjust Reinst Prem.
1	001	01	1,288,048.64	59,971.55	29,917.55	40,500.00	139,414.64

Layer Description: LAYER 1
 Treaty Bus Type Description: Direct/ Coins Outward

Dep Premium: 13,500.00
 Min Prem.: 13,500.00

Fig. 112 – XOL – Base Currency

All the details in this screen are displayed based on the setup in the 'Non Proportional Treaty Setup' screen. Details are non-modifiable.

Click 'Back' button to move back to the 'Layer Details' screen.

Premium Dtls

Click the 'Premium Details' to view premium details (Net retention, FAC placement, unplaced, other special retention and treaty special retention premiums) displayed in base currency value.

The screen is displayed as given below:

Premium Details

Buttons: Back

Amounts in Base Currency :

Net Retention Premium	46,616.92	Unplaced Premium	1,234,171.72
Fac Placement Premium	1,022,814.63	Other Spl Retn Premium	.00
Special Retention Premium	2,256,986.35	Treaty Spl Retn Prem.	7,260.00
Payment Allocated Amount	450,000.00	Estimate Allocated Amount	450,000.00

Fig. 113 – XOL Premium Details

All the details in this screen are displayed based on the setup in the 'Non Proportional Treaty Setup' screen. The details are not modifiable.

Click 'Back' button to move back to the 'Layer Details' screen.



Participant Details

Click 'Participants' button to view the details of the various participants for the particular FAC.

The screen displayed is shown below:

Participant Details

Back Peril Cla...

Sr. No.	Re-Insurer Code	Broker Code	Re-insurer Share %	Actual Premium	Actual Reinst Prem	Adjusted Prem
1	RI0000001		100	59,971.55	40,500.00	169,332.19

Re - Insurer Name Swiss Re Re - Broker Name

Premium in Base Currency

Actual Premium 59,971.55 Actual Reinst Prem 40,500.00 Adjusted Prem 169,332.19

Fig. 114 – XOL – Participant Details



Peril Class Premium Details

Click 'Peril Class' button to view the details of the peril class premium for multiple peril class.

Peril Class Premium Details

Back

Peril Class Code	Peril Class Desc	Currency Code	Broker Code	Peril Class Perc	Actual Prem	Actual Reinst Prem	Adjusted Prem
PC-250101	Peril Class for 2501 Material Damage	001		15.95153	9,566.38	6,460.37	27,011.08
PC-250102	Peril Class for 2501 Third Party	001		0	.00	.00	.00
PC-1501	Peril Class for 1501	001		1.30107	780.27	526.93	2,203.13
PC-1503	Peril Class for 1503	001		0	.00	.00	.00
PC-1504	Peril Class for 1504	001		0	.00	.00	.00

Currency Code Desc US DOLLAR Broker Code Desc

Premium in Base Currency

Actual Premium 9,566.38 Actual Reinst Premium 6,460.37 Adjusted Premium 27,011.08

Fig. 115 – XOL – Peril Class Premium Details



Reprocess

Reprocess button is to be used to revise the earlier premium calculation.

Click 'Reprocess' to reprocess a unique processing id for the particular premium calculation.



Approval/Post

Once the user views the record, select the particular record from the Treaty Details multi record block and click 'Process' to process that particular record.

Once the processing is complete, click 'Approve' for the application to approve the premium calculation made.

Select the 'Post' button to post the premium calculation details to the 'General Ledger' module.

Account Query

This button is enabled, only when FAC placement status is GEN A/C entry.

Account Entry Query

Customer*

Assured*

Collection No*

Policy No*

Endorsement No*

Claim No*

Sr No

Lot No

Customer Name*

Assured Name*

Collection Date

Treaty A/C Process ID.

012

Currency*

Placement No.

No	Doc No	Code	Doc Date	Division	Dept	Main A/c	Sub A/c	Dr Cr	Curr	FC	LC1	LC2	Due Date
1	2014030059	CN100	18/03/2014	100	20	2202003	RI0000001	C	001	140117.99	140,117.99	7,706,489.45	
2	2014030059	CN100	18/03/2014	100	20	3203001	3203002	D	001	140117.99	140,117.99	7,706,489.45	
1	2014030060	CN100	18/03/2014	100	20	2202003	RI0000001	C	001	2203.13	2,203.13	121,172.15	
2	2014030060	CN100	18/03/2014	100	20	3203001	3203002	D	001	2203.13	2,203.13	121,172.15	
1	2014030061	CN100	18/03/2014	100	20	2202003	RI0000001	C	001	27011.08	27,011.08	1,485,609.40	

Customer

RI0000001

Customer Name

Swiss Re

Narration

Being Outward XL

Main Acnt Desc

RE-INSURANCE PAYABLES - XOL

Sub Acnt Desc

Swiss Re

Tran Desc

Credit Note Operations Head Office

Division Desc

Head Office

Curr Desc

US DOLLAR

Dept Desc

Fire

Assured

Assured Name

Ad Pol No

Treaty Code

fire/2014/xol

End No

Layer Code

001

Cln No

Perill Class Code

PC-1500

Activity Code 1

Activity Code 2

Analysis Code 1

Analysis Code 2

Fig. 116 – Account Query

INWARD PROPORTIONAL TREATY TRANSACTION

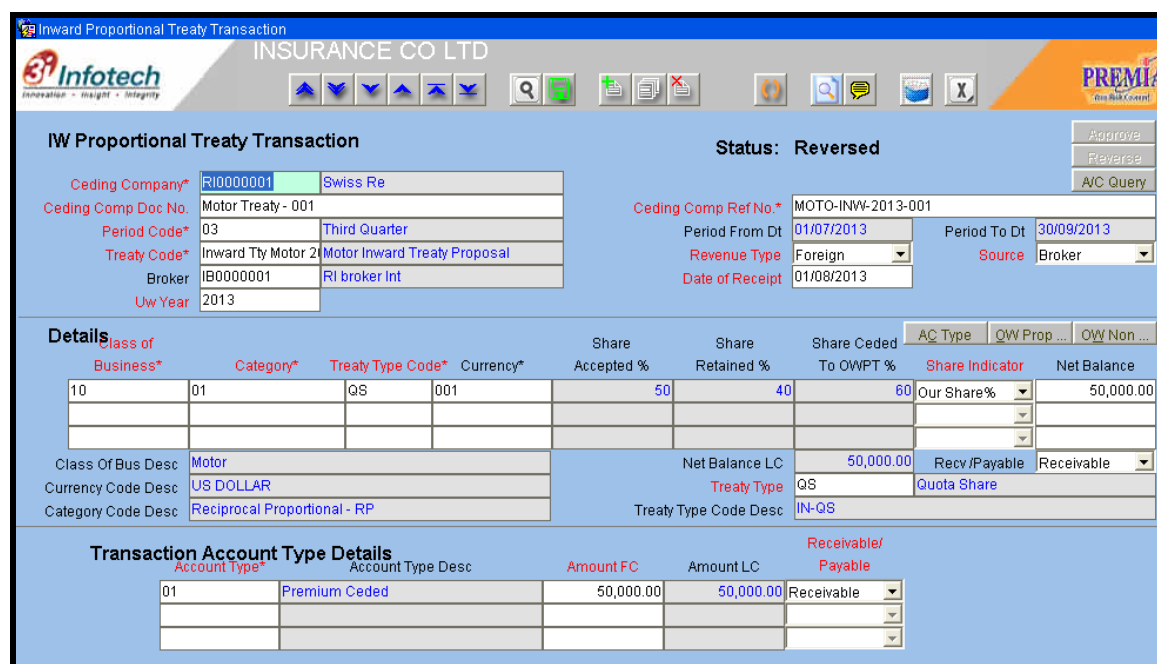
Normally the participants (or Re-Insurer's) in the Outward Treaty business have inward businesses. Based on the Outward Treaty Accounting Process Period, the accumulated Boudreaux statement is prepared by the ceding company and sent to the OWPT participants who provide the Inward business transaction details for the OWPT re-insurer.

Like OWPT the Inward setup is defined for each class business-wise along with the Process Period & Terms details. Based on the Process Period the INWPT details are captured.

Few Insurance companies do both, Direct & Re-Insurance business. In return they are ceded to OWPT and also they become one of the participants in OWPT of other Insurance or Re-insurance companies to get the inward business.

Click 'IW Proportional Treaty Transaction' from the menu.

The screen displayed is shown below:



The screenshot shows the 'Inward Proportional Treaty Transaction' screen for 'INSURANCE CO LTD'. The status is 'Reversed'. The screen is divided into several sections:

- Header Section:** Includes the Infotech logo, company name, and navigation icons.
- Transaction Details:**
 - Ceding Company*: R10000001 Swiss Re
 - Ceding Comp Doc No.: Motor Treaty - 001
 - Period Code*: 03 Third Quarter
 - Treaty Code*: Inward Tly Motor 2 Motor Inward Treaty Proposal
 - Broker: IB0000001 RI broker Int
 - Uw Year: 2013
 - Ceding Comp Ref No.: MOTO-INW-2013-001
 - Period From Dt: 01/07/2013
 - Period To Dt: 30/09/2013
 - Revenue Type: Foreign
 - Date of Receipt: 01/08/2013
 - Source: Broker
- Details Section:**

Class of Business*	Category*	Treaty Type Code*	Currency*	Share Accepted %	Share Retained %	Share Ceded To OWPT %	Share Indicator	Net Balance
10	01	QS	001	50	40	60	Our Share%	50,000.00

Class Of Bus Desc: Motor
Currency Code Desc: US DOLLAR
Category Code Desc: Reciprocal Proportional - RP

Net Balance LC: 50,000.00
Treaty Type: QS
Treaty Type Code Desc: IN-QS
- Transaction Account Type Details:**

Account Type*	Account Type Desc	Amount FC	Amount LC	Receivable/Payable
01	Premium Ceded	50,000.00	50,000.00	Receivable

Fig. 117 – Inward Proportional Treaty Transaction

Header Block

The header block of the screen displays the following fields.

Ceding Company

Enter or select the name of the customer code from the LOV. The customer description is displayed in the adjacent field.

Ceding Company Doc No

Enter the transaction document number of the ceding company.



Ceding Company Reference No

Enter or select the reference number from the LOV. The following fields default the values from the Inward Proportional Setup screen:

☐ Treaty Code

☐ Revenue Type

☐ Source – If the source type selected is 'Broker', then enter the broker details in the 'Broker' field.

☐ UW Year



You are not allowed to modify the field details.



Period Code

Enter or select the transaction period code from the LOV. The description for the code is displayed in the adjacent field.



Select a valid period code. This enables the user to select the relevant Treaty Type Code available for that period.

Period From/To date

This field displays the transaction period 'From' and 'To' dates in the respective fields.

Date of Receipt

Enter or select the inward transaction receipt date from the calendar.

Click 'Save' to save the details entered.



Approve

Click 'Approve' to approve this Inward Proportional treaty transaction. On approval, accounting entries are passed for the amounts entered of the Account Types entered in the Account Types block and the amounts ceded to Outward Non-Proportional Treaty. The amounts ceded to Outward Proportional Treaty are inserted as Summary Allocation so that the accounting of amounts ceded to Outward Proportional Treaty is posted by the Outward Proportional Treaty Accounting Process.



Reverse

Click this button to reverse the transaction. Reversal accounting entries are passed for the transaction account types and amounts ceded to the Outward Non-Proportional Treaty. Reversal of accounting of the amounts ceded to the Outward Proportional Treaty is possible by passing the reversal summary allocation.

Details block

This block allows the user to enter the details of the IW Proportional Treaty transaction. The screen displayed is shown below:

Details				Share	Share	Share Ceded	AC Type	QW Prop ...	QW Non ...
Class of Business*	Category*	Treaty Type Code*	Currency*	Accepted %	Retained %	To OWPT %	Share Indicator	Net Balance	
10	01	QS	001	50	40	60	Our Share%	50,000.00	
Class Of Bus Desc: Motor				Net Balance LC: 50,000.00			Recv/Payable	Receivable	
Currency Code Desc: US DOLLAR				Treaty Type		QS	Quota Share		
Category Code Desc: Reciprocal Proportional - RP				Treaty Type Code Desc		IN-QS			

Fig. 118 – IW Proportional Treaty Transaction – Details block



Class of Business

Enter or select the class of business from the LOV. The description of the class is displayed in the 'Class of Bus Desc' field.



Category

Enter or select the inward treaty category from the LOV. The description of the category is displayed in the 'Category Code Desc' field.



Treaty Type Code

Enter or select the treaty type code from the LOV. The description of the code is displayed in the 'Treaty Type Code Desc' field.

Currency

Enter or select the treaty currency code from the LOV. The description of the currency code is displayed in the 'Currency Code Description' field.



The following fields are displayed with values:

- ☐ Share Accepted % – Displays the percentage of share accepted by the Re-insurance company
- ☐ Share Retained % – Displays the percentage of share retained by the Re-insurance company
- ☐ Share Ceded To OWPT % – Displays the percentage of share ceded to the Outward Proportional Treaty by the Reinsurance Company.

Share Accepted %

Enter the share accepted percentage by the Inward Treaty Company. This is less than or equal to the Share % offered.

Share Retained %

Enter the share percentage retained by the Inward Treaty Company. The remaining percentage is ceded to the OWPT.

Share Ceded to OWPT%

It is the share percentage ceded to Outward Proportional Treaty.

$$\text{Share Retained\%} + \text{Share Ceded to OWPT\%} = 100.$$

If Share % ceded to OWPT is greater than 0, then the OWPT Treaty Type Code to which this share is ceded is captured in the OWPT block.

Share Indicator

Specify the share by selecting the share percentage from the drop-down list. The available values are:

- ☐ 100% – 100 percent of share is ceded to Outward Proportional Treaty by the Reinsurance Company
- ☐ Our Share % – The share percentage entered

Net Balance

This field displays the net balance of the receivables and payables entered in the 'Account Type' details block in foreign currency.

Recv/Payable

Select from the drop-down list whether the transaction is receivable or payable.

Treaty Type

This field displays the type of treaty and its description.

Click 'Save' to save the entered details.

Account Type

Click this button to view the transaction account type details.

The screen displayed is shown below:

Transaction Account Type Details				
Account Type*	Account Type Desc	Amount FC	Amount LC	Receivable/ Payable
01	Premium Ceded	50,000.00	50,000.00	Receivable

Fig. 119 – Inward Proportional Treaty – Transaction A/C type

Account Type

Select the transaction account type from the LOV. The description for the account type is displayed in the adjacent field.

Amount

Enter the transaction amount in the prescribed foreign currency.

Receivable/Payable

Select from the drop-down list whether, the transaction is receivable or payable.

Total

This field displays the total transaction amount.

Click 'Save' to save the entered details.

Outward Proportional Treaty

Click this button to view the outward proportional treaty details. The screen displayed is shown below:

Outward Proportional Treaty				Treaty Type	Reciprocity	Premium FC	Claims Paid FC	Claims O/S FC
Treaty Code	Treaty Desc	Code	Treaty %	No				
MOTOR/2013	Motor Products Treaty for 2013	QS	100			30,000.00		
Treaty Type	QS	Quota Share			Treaty Type Code Desc	Quota Share		
Curr Code	001	US DOLLAR			Premium LC	30,000.00		
					Claims Paid LC			
					Claims O/S LC			

Fig. 120 – Outward Proportional Treaty

The block displays the following details:

- ☐ Treaty Code
- ☐ Treaty Type Code
- ☐ Treaty %
- ☐ Reciprocity Details
- ☐ Premium – On saving the Account Type details, the Percentage Ceded to Outward Proportional Treaty (defined in Treaty Setup) is applied on the Premium amount entered in the 'Account Types' block and apportioned to each treaty code/treaty type code which is based on treaty percentage is displayed here. The user is not allowed to modify this value
- ☐ Claims Paid – On saving the account type details, the percentage ceded to Outward Proportional Treaty (defined in Treaty Setup) is applied on the claims paid amount entered in the 'Account Types' block and apportioned to each treaty code/treaty type code which is based on treaty percentage is displayed here. The user is not allowed to modify this value
- ☐ Claim O/S – On saving the Account Type details, the percentage ceded to Outward Proportional Treaty (defined in Treaty Setup) is applied on the Claims outstanding amount entered in the 'Account Types' block and apportioned to each treaty code/treaty type code which is based on treaty percentage is displayed here. The user is not allowed to modify this value
- ☐ Treaty and Treaty Type Description

Outward Non-Proportional Treaty

Click this button to view the outward non-proportional treaty details. The percentage retained by the Re-Insurance Company may be ceded to the XL Treaty through this block.

A sample is shown below:

Outward Non-Proportional Treaty						
Treaty Code	Treaty Code Desc	Layer Code	Layer Desc	Premium FC	Claims Paid FC	Claim O/S FC
5001/2001/50012	Motor working XL	001	LAYER 1	10,000.00	10,000.00	
Curr Code	001	LOCAL CURRENCY		Premium LC	36,700.00	
				Claim Paid LC	36,700.00	
				Claim O/S LC		

Fig. 121 – Outward Non-Proportional Treaty

The block displays the following details:

- ☐ Treaty Code
- ☐ Layer Code
- ☐ XL Premium – User entered value. It should be less than or equal to the Net Retained Premium amount(Net Retained % applied on the Premium entered in the Account Types block)
- ☐ XL Claims Paid – User entered value. It should be less than or equal to the Net Retained Claims Paid amount(Net Retained % applied on the Claims paid entered in the Account Types block)
- ☐ XL Claim O/S – User entered value. It should be less than or equal to the Net Retained Claims Outstanding amount(Net Retained % applied on the Claims outstanding entered in the Account Types block)
- ☐ Treaty and Layer Description

Click 'Save' to save the entered details entered.

End of Document